# Ep #11 | WTF Goes into Building a Fashion, Beauty, or Home Brand? Nikhil w/ Kishore, Raj, and Ananth

[Speaker 1] (0:00 - 2:14)

So I have been looking into consumption and each one of you, I will explain how, but brings a totally different insight into consumption. I want people who want to build a brand today, young guys, zero to one, to learn everything from all of your experiences. So I have been looking into consumption.

We created a fund to invest into companies around consumption. There seems to be a double standard in a way, wherein the reported numbers on the top are looking good, but everyone I talk to on the ground is talking about how consumption seems to have dropped in the last two or three months. This could be in travel, this could be in fashion, this could be e-commerce.

Across segments, very unlike a year leading up to an election, consumption seems to be dropping. As an investor and also talking to people who want to build a brand from zero to one or to scale a brand in consumption, which I broadly believe is the larger India opportunity, we have too few independent Indian brands in consumption which have scaled. So I thought this would be opportune.

The timing is great. And each one of you, I will explain how, but brings a totally different insight into consumption. Don't be fooled by Raj, I think people have seen one facet of Raj, but the other more interesting facet I think we'll all get to learn today, as I have in my time with Raj.

Since you're here for the first time, would you like to tell us a bit about yourself? How did Anant begin? Where did he begin?

How did you arrive at Mensa or creating Mensa? Give us like a few minutes.

[Speaker 2] (2:14 - 2:16)

I just want to make sure it's not boring.

[Speaker 1] (2:16 - 2:16)

Yeah.

[Speaker 2] (2:17 - 2:22)

Actually by chance and a little bit random part. I did 15 years in consulting.

[Speaker 1] (2:22 - 2:23)

Before that, start from the very beginning.

[Speaker 2] (2:24 - 3:26)

Born in Chennai, grew up in Chennai, did engineering. Parents, my father was a professional, worked in the auto industry. He worked at a company, Hindustan Motors, which actually I think makes, or used to make among the more iconic cars, the Ambassador and the Contessa.

So he sort of did that. So I grew up in Chennai, but I spent a bit of time in Calcutta, a bit of time in Indore, all of that. Did engineering, which seemed like the logical thing at that time.

You know, you did engineering or were a doctor. The startup world actually hadn't really, you know, made it to. This was 94.

This is when I graduated. So 98 is when I graduated from college. Then I went and did engineering again.

And I always thought I wanted to be an auto guy. My dream job actually at that point was to design engines at Cummins. Instead I joined McKinsey, which is a consulting firm.

They paid slightly more. I had a loan.

[Speaker 1] (3:26 - 3:28)

How much did McKinsey pay back in the day?

[Speaker 2] (3:28 - 3:31)

McKinsey at that time for an analyst would pay $50,000.

[Speaker 1] (3:32 - 3:34)

Wow. And this was in the US, I'm guessing.

[Speaker 2] (3:34 - 4:26)

This was in the US. So I joined in the US. And they were hiring engineers?

They were hiring engineers. So I was among the first automotive manufacturing analyst type engineers that they hired. At that time McKinsey was getting into auto and operations.

So since I didn't do automotive in real life, I thought I'll do it through consulting. I always thought I'd do it for two years. I ended up staying for 15.

So lived in China for about 3-4 years. US, 6-7. And then came back and spent about 4-5 years.

China when? 2002 to 2005. So anyway, to cut the long story short, I did McKinsey for a long time.

I came back to India because my wife wanted to come back to her family-run business, Diagnostic Labs. So we came back to Chennai and started the McKinsey office there. Did that.

Got elected senior partner and then left. Did Myntra, which is my fashion experience, which is quite unusual.

[Speaker 1] (4:26 - 4:28)

How did you go from that to being CEO of Myntra?

[Speaker 2] (4:29 - 4:57)

A bit random again. I think I met Sachin, Bini and Mukesh. What did you think of them personally?

What did I think of them personally? I think each of them brought very, very different things to the table. Mukesh was all about people and culture.

Sachin was all about vision, big picture. Bini was the ops guy. Execution, ops, etc.

So I thought they were a very interesting group of people. They had just bought Myntra when I met them. I actually, this happened because one of my...

[Speaker 1] (4:57 - 4:59)

The good and the bad. They're friends of mine.

[Speaker 2] (4:59 - 5:01)

They won't feel bad. They're friends of mine as well.

[Speaker 1] (5:01 - 5:03)

What is the bad part? You said three really...

[Speaker 2] (5:03 - 6:43)

No, I think the bad part is, by the way, I think they could have figured out more complementarity amongst each other. They didn't get along? No, I think at that time they all got along.

Now, I think as things evolve and companies evolve, I think they all evolved into very different people. Who was right and who was wrong amongst the three of them? I don't think one was right or one was wrong.

I think, by the way, it is still the most successful exit that I think India has produced. So I think they did something right. Much more right than wrong.

Since you're their friend, maybe you know a little bit more. But essentially... So it happened by chance.

So I do a lot of stuff based on instinct in people and some macros. So it may not be quite like investing, but for me, people matter. So you make the bet on the person.

And I thought they always put the company first and I bet on them. I think e-commerce was a 10-year trend. So bet on that.

What year was this? This was 2015. So 14 and 15 is when I started with Myntra.

And actually, by the way, fashion in e-commerce was a very logical choice. It was the only one with high gross margins. At that time, beauty, etc.

came much later. So decided we'll try it. What's the worst that can happen?

Turned out to be great. Really enjoyed the experience. So that was my first...

I mean, at that time, by the way, just to give you perspective, I didn't know the difference between a knit and a woven. I never... I mean, I was an automotive, a knit garment and a woven garment.

Or a denim. I mean, I could tell a difference between a casting and a forging, but that wasn't particularly helpful. So did that for four years.

Really enjoyed it. Thought there was something interesting about building. Flipkart, sold to Walmart.

Flipkart had thought I would be more entrepreneurial.

[Speaker 1] (6:44 - 6:45)

How big was Myntra during your time?

[Speaker 2] (6:46 - 6:50)

It sort of went from, call it 200-250 million to a little over a billion and a half.

[Speaker 1] (6:50 - 6:51)

Of sales?

[Speaker 2] (6:51 - 8:57)

Of sales. GMB would have been higher, right? So it went...

Actually, it was... And the private brand business of Myntra, at the same time, also went from 7-

8% to call it almost 30%. Which is what drove profitability.

So we were among the most profitable pieces of the Flipkart ecosystem. Not amongst. We were the most profitable piece of the Flipkart ecosystem.

So I think it was quite valuable. So did that. Then thought I would do something more entrepreneurial.

So I invested some money into a company called Medlife, which is an e-pharmacy business. Why e-pharmacy? I think, by the way, here I should have done more homework.

Gross margins were lower, so I should have picked that up. But it seemed interesting. Medlife was a company which was completely privately funded.

So Prashant was the founder, he was part of the Alcom family. And Tushar basically put all of their personal money in. There were no external investors.

It was a small business at that time. 40-50 crores a month. Relative to the Myntra scale, right?

So got in. Got in as the CEO. I also put in money.

I bought 10% of the business. There were no external investors, so it was relatively easy to put in money. Put some money in.

Went through a humbling experience trying to raise money. You know, I had done a bunch of raising money through the Flipkart ecosystem and everything seemed easy. You sort of go out independently and try and raise money.

I think it's quite tough. We were not able to raise money at Medlife. We went through multiple iterations.

I think at that time, if you remember, WeWork happened, right? And then everything went into a freeze. And then right after that, COVID happened.

So, you know, you got into this. But we got quite lucky. COVID, which destroyed many other businesses, actually created a huge tailwind for e-pharmacy, right?

Because everybody started shopping online. The government changed regulations and looked at it more favorably. Consolidation started to happen.

Netmeds got bought at that time by Reliance. Just before this. And then we were the independent one.

1MG got bought by Tata's. So we got bought by PharmEasy. Turned out to be a very good deal at that point in time.

[Speaker 4] (8:57 - 8:58)

Share swap, not cash, right?

[Speaker 2] (8:59 - 9:59)

But essentially they provided lots of liquidity because after that they continued to raise and raise and raise, right? So after the PharmEasy sort of buy, I was trying to figure out what I wanted to do. I could have gone and been an investor or joined a venture capital firm.

I know you just did a podcast recently. But I felt like I was an operator. Just very interesting thing, I think, is in India, we're mostly still an unbranded market.

I think in almost all spaces. Especially in fashion? Especially in fashion.

Also true in beauty. Also true in home decor, which are the three spaces that we're in. So, large unbranded market.

Second is, I think the friction of building brands is becoming less. You know, call it for 140, 150 rupees. Maybe the rate has changed slightly.

But 140, 150 rupees, you can get to 23,000. Go to 26,000. You mean as a delivery fee?

As a delivery fee. I mean, you know, if you think about Unilever, you think about Marico. Is that time dependent?

[Speaker 1] (9:59 - 10:03)

If you want to deliver in one day versus one week, does the price change?

[Speaker 2] (10:03 - 11:25)

Not really. So, I think there's breakpoints. I think there's a within two day, two to two and a half day delivery.

And then there is a two and a half to five, six day delivery. Is that also based on weight? It is based on weight.

So, most of, actually volume value ratios are among the most efficient in fashion. And in beauty. Right?

It's very bad when you do large appliances. Because you ship large amounts of air. So, but now for at least fashion, that category where it's not very heavy and not very volumetric.

For 140 rupees you can get to, or beauty, you can get to most parts of India. So, you don't need a very large distribution network to reach customers at least in the initial stages. Second, I think

brand building, now influence of brand building happens a lot actually online.

E-commerce and fashion is maybe 10-11% roughly. Overall e-commerce is slightly lower given grocery will bring it down. But I would say what is influenced online will be 50%.

Right? So, brand building can happen very differently. So, that was the second thesis.

The third is it's very easy to start in India, very hard to scale in India. I think the scaling is boring. It's about efficiency.

You know, we made jokes about time and efficiency. I think efficiency is really what drives a lot of scale. You have to do performance marketing well.

You have to do sourcing well. You have to design well. These are all like boring things after you get the product market fit right to continue to scale.

[Speaker 1] (11:26 - 11:33)

And I felt that was... If you were to say 100 rupees spent on fashion in India, Yeah. How much is spent where?

Online versus offline?

[Speaker 2] (11:33 - 11:36)

Online will be 10-11 rupees. Right? The rest will be offline.

[Speaker 1] (11:37 - 11:38)

How much is unorganized?

[Speaker 2] (11:38 - 12:27)

I would say still, I mean, Kishore may also have a point of view on this. I would say, by the way, 60% is still disorganized. Right?

I think ready to stitch is still a very large segment. Most of ethnic, which is a very large portion of fashion, is still unorganized. You go to your nearby tailor.

You go to your nearby store. It's not really a brand. Right?

Is that close to being disruptive? I think there is... I think it's a five-year journey.

I don't think it's like it happens overnight. Right? I think the first big push has happened already.

So, to give you a sense, Nikhil, I think, Myntra used to be, when Myntra started, right, Myntra used to be 2-3% fashion penetration online. It's now 11%. I mean, obviously, by the way, growth

of Myntra, growth of AGO, growth of XYZ.

[Speaker 1] (12:27 - 12:29)

And this is between 2015 to now.

[Speaker 2] (12:30 - 12:50)

2015 to now. When the market itself is growing, and this is all branded, right? So, I think there's a real opportunity in my mind.

I think it will continue cyclically for the next 5-10 years. This penetration will go up. I think, if I remember the numbers correctly, and this is a little outdated, but China is in the mid-20s in terms of penetration in fashion.

The US is 17-18.

[Speaker 1] (12:50 - 12:52)

By penetration, you're talking about online sales?

[Speaker 2] (12:52 - 12:54)

Online penetration too, as a measure.

[Speaker 1] (12:54 - 12:56)

And how quickly is this market growing?

[Speaker 2] (12:57 - 13:11)

The overall market is growing a little bit over GDP. Branded is growing 2-3x faster because unbranded to branded is happening. And online, by the way, will grow faster.

We can talk about the current situation. But if you take a 3-4 year view, it's growing reasonably fast.

[Speaker 1] (13:12 - 13:15)

And can you also explain what Mensa is and the scale today?

[Speaker 2] (13:15 - 14:26)

Yeah. So, I don't want to get into a lot of scale and so on, but I think we have, it's essentially a house of brands. We have about 20 brands.

We have brands in fashion, beauty and home. Why those three categories? One is because I

knew something about it.

Second is it's a high gross margin category. Also, it's a large stamp. What are the margins typically?

50-60% gross margin. In beauty, of course, it's higher. But in fashion, at least 55-60%.

In beauty, 70-80%. Right? Depending on what area of beauty that you get to.

Perfumes is high, etc. So, we are trying to build a house of brands. It's a very simple thesis.

We get buildings which are half-finished, but with a good basement and a good foundation. And we build them out into, hopefully, skyscrapers, right? I mean, the number of thousand-crore brands in the country is very, very, very few.

We spoke about this a little while ago. I think the goal for me, I think, is over the next 5-7 years, could you build 5-6 thousand-crore brands? Right?

In each of these spaces. And I think it's possible. I think you can build them very differently.

You can build them more efficiently. Lots of lessons learned from the previous experiences. So, trying to see if you can do it more efficiently and effectively this time.

[Speaker 1] (14:27 - 14:29)

And Mensa is doing about 200 million now? Sales?

[Speaker 2] (14:29 - 14:29)

Yes.

[Speaker 1] (14:30 - 14:31)

And raised about 200 million?

[Speaker 2] (14:31 - 14:32)

Yes.

[Speaker 1] (14:32 - 14:34)

And not burning much money anymore?

[Speaker 2] (14:34 - 14:40)

No, we're not burning at the EBITDA level money. But I think, you know, there's still working capital investment and so on.

[Speaker 1] (14:40 - 14:45)

Because a lot of people watching this are not just entrepreneurs trying to start a business.

[Speaker 2] (14:45 - 14:46)

Yup.

[Speaker 1] (14:46 - 14:47)

But also investors.

[Speaker 2] (14:47 - 14:47)

Right.

[Speaker 1] (14:48 - 14:54)

What is a good multiple to pay while you're investing in a fashion? A. And in a beauty?

[Speaker 2] (14:54 - 15:14)

B. Brand? Yeah.

So, I mean, look. From an EB to EBITDA multiple, I think, you know, a lot of the FMCG brands trade at 40-50. EB to EBITDA.

And I think fashion, by the way, Can you explain what EB to EBITDA is? Sorry. Enterprise value to the earnings before interest, taxes, depreciation, amortization.

[Speaker 4] (15:14 - 15:15)

How do you arrive at enterprise value?

[Speaker 2] (15:16 - 15:22)

Enterprise value is the overall value of the business. Right? Which is, what is the value of the equity of the business?

[Speaker 1] (15:23 - 15:27)

What if I were to ask you for a simpler multiple? In terms of sales?

[Speaker 2] (15:27 - 15:30)

So, I think a revenue multiple is what I think you're looking for.

[Speaker 1] (15:30 - 15:34)

Are you considering sales as revenue? I'm thinking about… It's the same.

[Speaker 2] (15:34 - 15:35)

It's the same in this case, right?

[Speaker 1] (15:35 - 15:36)

No, I'm not.

[Speaker 2] (15:36 - 16:25)

There is no GMB when you're running a brand, right? So, when you're running a brand, I think it's accounting revenue, right? I mean, whatever gets recorded as accounting revenue.

Are you also a platform where you sell all the brands? No, you're not. No, we're not.

So, we do have D2C sites for each of our brands, but we are not a platform. I don't want to compete with my end customers, whether it's a Myntra or an Amazon or a Flipkart, right? I think there, by the way, the cost of traffic is very high.

And you've spent a lot of money building it. Does that make sense? Yeah.

So, sales to multiple, I think, varies, Nikhil. My sense is, I think a 5x would be interesting. On fashion?

5x on fashion would be interesting. Beauty? Beauty, I think, between 4 and 6.

No, actually, maybe 6, 7. I think food will be probably lower. Will be 3, 4.

[Speaker 1] (16:25 - 16:27)

By food, you mean like QSR, fine dining?

[Speaker 2] (16:27 - 16:38)

QSR, yeah, yeah. We don't do it. I mean, in Mensa, we don't do it.

But if you actually did like a fresh food with a cloud kitchen type thing, I think the multiples would be low. Yeah.

[Speaker 1] (16:38 - 16:41)

Is backward integration a big part of Mensa?

[Speaker 2] (16:41 - 16:55)

Yes, yes. We would like to. We're starting to do a little bit of it.

I mean, we have one peanut butter brand which has a captive manufacturing. Because there, I mean, literally, you, I mean, the taste is everything.

[Speaker 3] (16:55 - 16:56)

It's a small machine, yeah.

[Speaker 2] (16:56 - 17:20)

Yeah, yeah, it's a small machine as well. So, we do that. We would like to backward integrate.

We would like to sort of make, have more control over supply chain. But roughly, Nikhil, going back a little bit to what do we do, just to simplify a little bit, right? I think we want to build global consumer brands out of India.

I think we want to use technology to do it slightly differently and more capital efficiently. I think that's it. That's a little bit of what we're trying to do.

[Speaker 1] (17:20 - 17:34)

If I had to phrase it in my own language, can I say you pick a bunch of medium-sized brands and hope by putting them together, adding backward integration and tech, together they'll be more valuable than they are on their own?

[Speaker 2] (17:35 - 18:28)

Not really. I think, by the way, the synergy part of it is for sure true. But I think the reality is you do a lot of work in brand building and growing them and so on, right?

So, it's not just the synergy across a portfolio. It is, so we have 20 brands. There are 10 brands that are what we call breakout brands, which are growing much, much faster than the market, profitable, blah, blah, blah.

So, you really invest in brand building. So, the way I think about it is Unilever and P&G built brands a certain way because there was a certain set of constraints. I think we can build brands very differently because the constraints are very different.

And so, over the next 10-year period, can you build out a fairly large consumer brand business out of India? But I, by the way, think there's a global opportunity because I think the arbitrage at some level, both in distribution and in sourcing, is also very high. So, you can actually build it out for the world.

And I think that's the exciting opportunity.

[Speaker 1] (18:29 - 19:04)

So, by the end of today, two objectives. One, if somebody is starting a brand, I think a lot of people in India right now want to start a restaurant, food brand, fashion brand, makeup brand, perfume brand, mixer brand. There's so many different things that people are trying to do.

I think we need to get them from zero to one and walk through all the intricacies of that. We need to figure out where the black holes are, where something needs to be built. And if you're building it, how do you build it?

[Speaker 2] (19:04 - 19:10)

But is there a way I can ask you some questions? Of course. What do you want to ask?

We'll let it flow.

[Speaker 1] (19:10 - 19:36)

So, we both went for breakfast before yesterday. And he was being so cagey about so many personal details of his life. So, Anant is a very colorful character.

He collects wine. He has 6,000 bottles of wine. 3,000.

3,000 bottles of wine stored in a vault in Chicago. And he's obsessed with wine. I know Kishore is also into wine.

So, you both can connect.

[Speaker 3] (19:36 - 19:37)

I'm not at all into wine. But anyway.

[Speaker 1] (19:38 - 19:38)

You're not? No.

[Speaker 2] (19:39 - 19:39)

Okay.

[Speaker 1] (19:40 - 19:42)

I know Raj is not into any.

[Speaker 2] (19:42 - 19:43)

He doesn't drink. Yeah.

[Speaker 1] (19:44 - 20:08)

Yeah. But we'll come back to the personal side of your story later. Raj needs no introduction.

Raj is more popular than many people I know. But the one thing people don't know about Raj is his insight into consumption is really different. He has spent a large part of his life building a detergent brand.

[Speaker 4] (20:09 - 20:09)

Yeah.

[Speaker 1] (20:09 - 20:45)

And if I were to tell you a personal story, he started a new company called House of X. And when he was starting that company, we both were talking about, you know, how we can work together on it. And the very, very impressive thing about Raj is we were trying to beat him down on the valuation and the price and trying to get 20%, 30% into this company because evidently we believed in Raj and all that he can accomplish.

But in 24 hours or 48 hours, he went to another venture capital fund, Lightspeed.

[Speaker 4] (20:46 - 20:46)

Yeah.

[Speaker 1] (20:46 - 20:55)

And he raised more money at three times the valuation. And the duration between beginning and end of that conversation was less than 48 hours.

[Speaker 2] (20:55 - 20:56)

Fabulous.

[Speaker 1] (20:56 - 21:47)

And I found that incredibly impressive. And maybe you start there. What convinced whoever at Lightspeed to hear your pitch and fire that quickly?

Is it just that Indian VCs don't do diligence or is it something else? I genuinely don't know about this, honestly. What worked?

I think two or three things which I would like to say, which I believe that it worked. One of them

was before I started pitching to you or anyone or like your friends, a larger group, I got it tested by Anant, I got it tested by you, I got it tested by Varun and Ghazal. I went down and I actually got my pitch crafted by at least 12 or 13 style founders in India who I know.

I think that's such an incredible insight.

[Speaker 2] (21:48 - 21:48)

It's a great insight.

[Speaker 1] (21:48 - 22:47)

Anyone pitching. So I actually reached out to all of them, flied down, sat with them, tried to understand and asked everybody to just not give me feedback. Actually asked them to play devil's advocate.

I was like, just beat me down. You know, why do you think this, like I am coming here and I know this will work. Tell me why this will not work.

And because they gave me a lot of loops, probably that helped me. That was first. Second, I think the, like why a lot of funds were interested in doing so.

First, there was a growing interest in this space where can you build media-led brands, content-led brands, creator or influencer industry-led brands. There was an interesting space because this was really popping in China, Korea and US. Like this was, there were a bunch of companies were doing.

And especially when you, like different ways, China has like live commerce and stuff. Korea is more into beauty. But different way that people were coming up with it.

Sorry, when you said China is 20% online, how much of that is streaming?

[Speaker 2] (22:48 - 22:50)

I don't have the number off the top of my head.

[Speaker 1] (22:50 - 22:51)

But a large portion.

[Speaker 2] (22:51 - 22:52)

But I think now there's a fairly large chunk.

[Speaker 1] (22:53 - 22:53)

50%?

[Speaker 2] (22:54 - 22:55)

Live streaming is big.

[Speaker 1] (22:55 - 22:55)

It's big.

[Speaker 2] (22:55 - 23:05)

15-20% of that will be live streaming now. 15-20 or 50? No, I don't think it's 50.

I don't think it's 50. At least we should check the facts. But my sense is it'll be like 15-20%.

[Speaker 1] (23:05 - 24:10)

It can't be so much. It will not be so much. What do you think about live streaming works?

Why do people shop so much on live streaming? So I'll tell you. I think.

Please go ahead. I'll complete the loop and then we'll come to live streaming. So I think there was like a growing interest in it.

And the third reason why people sort of maybe believed in what we were doing is because of my past experience and the team which were helping me doing it. So my past experience was I started doing business when I was 16 with my father. And he was a small detergent manufacturer who used to completely discard branding.

Like he used to not believe in detergent. Interesting. He was like, I want to build a great product and if I build a great product it'll work.

So there was no marketing, no sales team, no distribution, no branding. He's like, this will work. I'll give it to one guy and then it'll automatically.

And he was doing it for 30 years. Right. And he was able to do like, I think, when I joined, he was doing around 40 lakhs a year in revenue.

So that was a business scale.

[Speaker 4] (24:10 - 24:10)

I joined.

[Speaker 1] (24:11 - 25:45)

And then when I joined it and I took over, we divided the company into two parts. That one was market development, one was product development. We learned that through PNG.

So I took over the market side, build distribution, went on villages to villages, built a distribution and built a stellar distribution of 200 distributors and scaled that brand. Like within 18 months we were 10x of what we were doing. Then another 18 months we were like 10x of what we were doing.

So just scaled. And we went on from like a small factory to now like four, five. So what worked?

That was. In branding and marketing, the detergent. Two things which were really, really different, which I believe we were doing.

We went to villages where people thought nobody will buy premium. So what we essentially started doing, our detergent was 75 rupees a kg, which was at that time Tide was doing. Okay.

And usually in villages there was Ghadi and Veel, which were doing absolutely bang on which is 50 rupees and below 50 rupees. So we went to these villages. We told them, every time you are wearing expensive clothes, this is an expensive detergent for your expensive clothes.

Hmm. So that clicked on in smallest in the remotest of villages where there were 10,000 population, 20,000 population. So I went on really deep.

So from there on the demand started beginning. The second thing, the second insight, I want to really thank sir. It came from Big Bazaar.

My schooling was done there. And what I saw in Big Bazaar, there was my biggest homework I used to do. Okay.

After my college, after my work, I used to stand in Big Bazaar for like hours and for months. How old were you? I was 17.

Very weird kid.

[Speaker 4] (25:46 - 25:46)

Yeah.

[Speaker 1] (25:48 - 27:03)

How many kids stand in Big Bazaar at 17? I don't think it's a weird kid. It's just, I think I was so insecure that I wanted to get rich or make money so quickly.

Why? That I was fine. I think I come from family where I was always an inferior kid.

To? To everybody. My cousins were stoppers.

Or academically. Academically. Then everywhere.

I was not able to speak in English properly till I reached 12th. So, social group were making fun of me. Tell us a bit about that.

Where did you grow up? Indore. So, I was in Indore and school called National Public School.

What Marwadi family? Sindhi family. Sindhi family.

How can you not be good at business? Yeah. Like in your home.

I learnt it from my mother's stomach. That was a learning. I saw my father growing.

So, I went from, I actually saw my father growing from in number, if you want to put it in lifestyle cycle, from one BHK to a bungalow. Like I saw his first car which was third hand Santro it happened in front of me. His first Activa happened in front of me.

So, I think that helped me a lot. And because I was not, and I was in a school where everybody, you know, typical like Indore tier 2 city where 2 or 3 of your friends are like politicians.

[Speaker 4] (27:04 - 27:04)

Right.

[Speaker 1] (27:04 - 28:02)

You know like, this happens. 2 or 3 friends are like someone's son. Or someone's uncle or uncle owns like a BMW.

So, you're always like jealous of them. So, because I was like kind of inferior to people who had money, more power than me. Not able to speak in English.

Not like academically good. So, I was like I want to prove myself. I want to go out.

And that's why like I used to just find out opportunities where I can do it. And the obvious choice was because my father is into it. Let me help him scale because I didn't know In fact, before that I tried, I applied in like 60-70 companies, FMCG companies for internship.

Nobody replied. So, nothing worked. So, I stood in Big Bazaar.

I saw something very weird which I thought was very insightful at that time. This is 2013-14. I guess 2014.

Probably. So, everybody was moving. This is Indore showroom.

Treasure Island. Everybody was moving from solids to liquids. And that was very, very killer for me.

As detergent.

[Speaker 3] (28:02 - 28:03)

No, no, no.

[Speaker 1] (28:03 - 29:00)

Everything. So, from bathing soaps you were going to shower gels. Hand soaps to hand wash gels.

Dish wash bath to dish wash gels. What year was this? 2013-14.

Just started. Just started, right? And all the ads on television by so Lifebuoy, Detol they were big.

They were doing only hand washes. They stopped advertising. So, I was like because they are advertising liquids.

Yeah. In Big Bazaar the biggest, the biggest their display is of these products, of these products. So, I was like, okay.

That's interesting. And people were buying. And this was significantly at a higher price.

And people were spending less time while choosing their liquids while then soaps. So, I was like, people spend less time. People are giving more money and the ads are also increasing.

Killer, killer category. Okay. So, I saw that.

And then at that time in Big Bazaar, Yeah. and in all Kirana stores and everywhere there used to be more at that time as well. How does one spot these trends for somebody trying to build 0 to 1?

[Speaker 3] (29:01 - 29:04)

So, I like to go on this.

[Speaker 1] (29:04 - 29:44)

So, I saw that. And at that time, how my framework was. Why dishwash gel I chose and that became one of the biggest products.

Dishwash gel because there was a lot of options in hand wash. Big Bazaar also had a brand SACH. S-A-C-H I guess.

There were a lot of products. There were a lot in shower gels. There were only two in dishwash gel.

There were only two. Women print. So, because there were two products, I thought there's an opportunity because there are two products I can do.

And they both were very distinctively coloured. Green and yellow. So, I was like, two different products.

Yellow may be opportunity. Green may be opportunity. Let's try to do something.

And did you figure this out by sitting in a supermarket? Yeah. In front of kirana stores.

I saw that in kirana as well.

[Speaker 4] (29:44 - 29:45)

So, I did an experiment.

[Speaker 3] (29:46 - 30:47)

I'll tell you something. I'll tell you why it works is with every transition there is something. You know, every marketer's dream is to increase the per kilo or per litre price of everything.

From soap to what you call liquid is an increase of price and upgrading of customers. And something comes about. Like, modern retail came about and they were able to sell a new category and a new product.

And Big Bazaar always worked on category creation. So, any new categories, I think we were the player that time to create a new category and move up the ladder for the consumers. So, it's a simple story of a biscuit.

Parle-G. Parle-G is 100 rupees a kilo. And you can now go up to cookies which is 100 rupees a kilo and go up to chocolates which start from 1000 rupees a kilo.

So, it's always upgradation. I think after liquid the tablets have come in now. Correct.

Why is it dependent on how much the shipping cost is? No, no, no. It's all about upgrading your life.

Everything does the same job. So, a biscuit, a 100 rupees glucose biscuit is the vanity and the ego which you create through marketing and brand building.

[Speaker 1] (30:47 - 31:07)

Also, I believe that if you can find out a way to make people lazy, you can do a great job. Like,

you will be able to sell more. If you cut down the time taken.

If you cut down the task. So, powder. Think of it.

You open powder. You have to put up a scoop or pick it up and put it in. You don't know how much you're putting.

You don't know how to carry it.

[Speaker 3] (31:07 - 31:23)

I think all the brand marketers do something called neurolinguistic programming. They condition your brain to look at things in a different way and accept what they are saying. So, it was like the classical advertising of coke.

It was always shown on a beach and it quenches your thirst. They will show hot summer.

[Speaker 2] (31:23 - 32:01)

And whenever you're drinking coke, you used to feel that it's quenching your thirst. I was going to say, I think, if you start now, I think you can be much more, I think there's a lot more data available than there was earlier. So, I have, by the way, a few brands where the product development happens primarily through thinking through search.

So, I have a brand called Botanic Hut. Thinking through search. Yeah.

So, what happens is Search on Google. Search on Google. Search on Amazon.

Search on Flipkart. Search on whatever else. How do you get that data?

It's an API that you can integrate with. So, Amazon allows you to integrate and allows you to get the data. It's completely legitimate.

You don't get competitive data.

[Speaker 1] (32:01 - 32:04)

How much does it cost? Can somebody building a brand afford that?

[Speaker 2] (32:04 - 33:02)

Yes. It's very inexpensive. So, if you're starting now, sorry, I'm forgetting the name, there is third-party software which costs like in the hundreds of rupees a month type thing, right?

And it tells you what people are searching for and all these. It gets you what people are searching for and that's a very good way to sort of figure out where are the null sets. So, what people look

for is where are people searching and not finding anything?

And that's what you start launching, right? So, you know, we have launched a bunch of interesting products, right? You know, including vitamin C serums, et cetera, which are not new, but they are searching for a different format of a vitamin C serum.

They are searching for vitamin C 50 ml. And you find that there is not that many that are there in the 50 ml. So, I think the amount of data that's available and free and easy for anybody watching this podcast is quite stunning.

And therefore, you can be much much better in my view. I don't think it takes away anything from going and seeing, right? But you can also use this to make a better decision.

[Speaker 1] (33:04 - 33:05)

This is not part of the podcast.

[Speaker 2] (33:08 - 33:23)

I've heard so many different stories about this podcast. I don't know which part is real and which part is not. You can ask.

That's good. You can take a walk. Guys, I didn't realize this.

Do you know the number of transacting customers online in India?

[Speaker 3] (33:23 - 33:24)

How many?

[Speaker 2] (33:24 - 33:26)

How many? 10 crores? 100 million.

[Speaker 3] (33:28 - 33:29)

Nikhil, I was just thinking.

[Speaker 1] (33:29 - 33:33)

You designed it this way. It's very offline first. It's digital first.

[Speaker 2] (33:34 - 33:34)

It's social first.

[Speaker 1] (33:34 - 33:35)

Yeah.

[Speaker 2] (33:35 - 33:37)

So, that was the thought process.

[Speaker 1] (33:37 - 33:41)

Because this is the combination of this is today's brand building, right?

[Speaker 2] (33:41 - 33:46)

I'm actually very curious to learn about this. Social and commerce.

[Speaker 1] (33:46 - 33:46)

Yeah, I know.

[Speaker 2] (33:47 - 33:47)

And hype.

[Speaker 1] (33:49 - 33:51)

Yeah. So, we were why did people invest?

[Speaker 2] (33:51 - 33:53)

Yeah. Yeah.

[Speaker 1] (33:53 - 36:12)

So, because of this background where I was doing this, two things worked really well. One was, we went to village and village. Where, like, smallest cities where people thought that nobody will buy premium.

And we were massive believers that if you can sell, like, if you can teach them the value of it, they'll buy. Obviously, the volumes are going to be less. But, maybe there's worth a shot.

Because, you don't stand a chance in front of Unilever or P&G in the place where they're anyway dominant. Okay, that was first. And second was marketing or branding.

How do I say? Framework that I still use. Is, we say, like, I believe in, if I have, let's say, 200 rupees, I would only pick up one person instead of trying to promote it to 200 people.

At that time, everyone believed that, people used to believe that if it looks good, it sells. Right? This was the basic belief in distribution.

Like, if you're available, you can sell. So, how do I get my brand seen more? So, the first thing was, do I have enough money to get seen?

Do I have enough marketing brain to get seen? So, none of this is there. I was like, okay, let's compare me versus Vim.

Because, Vim was our biggest competitor in Dishwash Giles. So, Vim has more money than me to advertise in India. Yes.

Vim has more money than me to advertise in my state. Yes. Vim has more money to advertise me in my city.

Yes. But, does he have more money to market to these 10 houses in my colony? Probably not.

Because, if I have only 10,000 rupees, and if I'm only promoting in one colony, I'll be seen in that entire colony versus a MNC brand. Is that an important insight? If you're starting a fresh micro geography.

So, in distribution, like physical distribution, this worked well. Because, my whole colony started believing that this brand must be something new. Because, in the beginning, in distribution, people...

So, here's what I believe. Like, you know, there's a journey which a customer goes through. Conversation, convincing, and conversion.

Okay. So, first is, the customer asks himself or herself. They converse with themselves that, hey, have you seen this somewhere?

Maybe it looks good. I've seen it a lot. Is it happening everywhere?

So, that's a conversation going on. There's something.

[Speaker 4] (36:13 - 36:13)

Right.

[Speaker 1] (36:13 - 36:32)

Then, second is convincing. The convincing is, you talk to your friends, you see someone else buying it. Or maybe, in distribution, like India, where the physical distribution happens, the shopkeeper is a key influencer to convince you.

He's like, sister-in-law, take this. Shopkeeper said it, sister-in-law, you will take it. You will take it.

Brother will take it.

[Speaker 2] (36:32 - 36:34)

How do you convince the shopkeeper?

[Speaker 1] (36:34 - 36:36)

Margins. And I'll come to that.

[Speaker 2] (36:37 - 36:52)

It's all incentive-driven. But your point, if you start something new, my sense is, I think, being a shark in a pond is always better than doing something else. I don't know whether that's distribution or a niche, right?

If you want to launch an ethnic, I wouldn't go against the big guys.

[Speaker 1] (36:52 - 36:56)

So, you're saying, when you're beginning, be big fish, small pond, not small fish in the sea.

[Speaker 2] (36:56 - 36:59)

I think so. My read, right?

[Speaker 3] (36:59 - 37:13)

Do you agree, Kishore? No, I would, I would, obviously that is correct, but I would come into a, I will come into the market by another route. Hmm.

So, that's what they have done in a way. So, you will find a niche and enter into the market. Yeah.

By a different way.

[Speaker 1] (37:13 - 38:22)

So, that's the second thing which worked for us because we used no parking boards, digital boards, posters, just in one area. So, it looked like... No parking boards?

So, in, in tier two, tier three cities, there's a no parking board which people put in their bungalows to advertise. You put a no parking and up and down of that you have. You have your advertisement.

So, we used all of that, right? Then we, what we started doing is we stood on a transporting place where we like, because we wanted to expand out of our city, Indore. So, we said, these transport guys, your rickshaw, whatever your rickshaw, the loading car is, I'm gonna repair it.

Okay. I'll repair it for you. From the, just from the aesthetics of it.

So, the aesthetics and the repairment would take us like 1,000, 2,000, 3,000 bucks. But then in exchange, I would paint my, paint a whole rickshaw into Jadu. So, I got like thousands of these rickshaws who would roam around the entire state and then there was a number and people started calling.

So, this is what we did. We went really, really narrow. So, you're saying people who do not consider real estate, I'm considering auto rickshaw real estate.

[Speaker 4] (38:22 - 38:22)

Oh.

[Speaker 1] (38:23 - 40:19)

If they don't consider it an asset today, you can convince them to brand your product and make it an asset. So, that's what happened. And then, so, I did that.

Then I left all of it. So, I left. Three months I was still in home.

I started creating content at home. In Indore? In Indore.

And in three months, I scaled from, I had like 50,000 followers already. I scaled from 50 to 300k because I learned patterns of around top 100 brands in the world what they were doing right. Learned that pattern.

Started creating content. Reached 300k. Got my first brand deal.

Came to Bombay. Is there also a learning there for family businesses? Yeah.

I mean, from day one set expectations right. I don't, or probably the second one would be if I was convincing enough probably or I would have stayed enough, then things would have gotten sorted. So, yeah, coming, like cutting the story.

So, I left, came to Bombay, started hustling again. And there was time where the first money which I got from brand deal, I put it in like advance rent of three months. And I was, I had like a good house.

But I didn't have furniture. So, I was sleeping on floor for a month. Because I was like, if brand deal comes up, I'll get money.

Explain brand deal. New guy, has 300k followers on social media. Yeah.

Moves to Bombay. How much does a brand deal pay? Okay.

So, I'll tell you brand names and what paid me. The first brand deal was ever 70k rupees from

UpGrad. That was upfront.

They paid me. They were like, put up a story, tell our courses are there and digital marketing and content. They paid 70k rupees.

That 70k gave me money. To come to Bombay. Then while, in 10 days, I was living in a hotel.

During those 10 days, I got a deal from KEI wires, Pink Insurance and Amazon. Sellers. How I got this?

I started DMing them on Instagram. And asked them that, hey, I can do this, this, this. Started telling them concepts of what I can do with them.

Together, these three brands paid me around 9 lakhs.

[Speaker 2] (40:19 - 40:20)

Wow.

[Speaker 1] (40:20 - 40:22)

That 9 lakh became my six months runway in Bombay.

[Speaker 2] (40:23 - 40:29)

And they paid you 9 for how many, sort of, a long period of engagement? 2 to post each.

[Speaker 1] (40:30 - 40:56)

And then rights, I sold my, so I sold my rights to one of these brands, I don't remember which one, for six months to advertise on my face. So that, I learnt. And then, it was all cold DMing.

Once I did that, and then once you start popping up, automatically you start doing it. One quick lesson, if you want to put it out, everybody, whoever is creating content, reach out to B2B brands more than D2C brands. And I'll tell you why, right?

[Speaker 2] (40:56 - 40:58)

You mean platforms when you say B2B?

[Speaker 1] (40:58 - 41:47)

B2B is like, let's say Amazon, or Adobe, or Google, or Meta, WhatsApp, right? They pay you way a lot. And then money.

D2C brands have no money. Is that how it works? You reach out to brands, not wait for them to

come to you?

Now they come to us. And still there's a mix of inbound and outbound. In the beginning, I used to do the outbound.

And why B2B brands work better? Because, there's no one literally promoting them. So, if you can align your content with what Adobe wants to promote, like how would you promote Adobe?

So, if you can align your content with that, there's a higher chance that you'll get paid versus a D2C brand. D2C thinks of performance. D2C thinks, I gave 1 lakh, how much did I get in sales?

Adobe can't do that with you. So, the influencer medium might be influencing a lot in sales, but we'll never truly know because it might not translate into direct sales.

[Speaker 2] (41:47 - 41:53)

Exactly. That's right. I think that's a problem even now.

I think, for everybody who uses influencers, right? Attributability.

[Speaker 3] (41:53 - 41:57)

But it's still better than what advertising we used to do. That is true.

[Speaker 2] (41:58 - 41:59)

No doubt at all.

[Speaker 1] (41:59 - 43:25)

Yeah, that's the content I did. And then, I built, I learned a few patterns. Grew from 0 to now in 2 years, 400 million views a year.

Wow. Give us the top 4 patterns you learned. Because that again is something so many people want to emulate.

Number one, there's a format that I follow, which is called ECG. So, you create 5 pieces of content which is evergreen. So that people, which was relevant something yesterday, it's going to be relevant today and that's going to be relevant tomorrow.

So, what this is going to do is, keep your audience engaged. Like, I'm making something in my topic. Okay.

C is controversial. Okay. So, I create 3 pieces of content which are controversial, which are going to reach to masses.

So that, even if it's my niche, I'm going to talk about controversial stuff. So, let's say, even if it's business, I'm going to talk about the businesses which tank, the things which are going down, all of that stuff. Because that will get me so many views and new audience.

And then 2 pieces of content are growth. So, growth is only growing my core community. So, I believe, so our why of what we do is, to create more leaders and help them become personal brands.

So, I really love, because personal brand has shaped me into who I am. So, like, I want to do that. So, I create 2 pieces of content for that community to help them grow.

Because these are the people who are going to actually become your promoters. And this is 5, 3 and 2 every month? 5, 3 and 2.

I do, depending on, like, it can be a month, it can be a week, it can be whatever. I create a content every day.

[Speaker 2] (43:25 - 43:28)

And does that help? The frequency helps? Like, constant?

[Speaker 1] (43:29 - 43:44)

No, there's nothing related to frequency. See, at the end of the day, what you really want to do is, there's another one thing, quick hack, is respect the platform if you want platform to respect you. For example, you read annual reports and annual announcements of these platforms.

[Speaker 4] (43:44 - 43:44)

Yeah.

[Speaker 1] (43:44 - 45:08)

Okay, Google, Facebook. What are they focusing on? So, Facebook will automatically say, hey, this year, we rank here and here.

We're going to promote short content. So, you know that you're not going to talk about anything else. Twitter talked about that we want to increase people's average duration per user.

So, it means that the threads will work. Because how will you do it? LinkedIn said that he wants to make LinkedIn a fun workplace to be.

Twitter, you say threads will work if you write a long tweet. That was, I'm telling you, at that time when I did, I don't know what's going right now. And what did you say for Instagram?

Instagram wanted to promote short content. When I started, I was doing this. And then LinkedIn said that we want to make a fun environment workplace to do it.

Fun means everybody was doing text. Can I do videos, dumps, and posts? Very interesting.

So, whatever the platform wants to promote, if your interests are aligned with that, they'll push you way faster than anyone else. So, that was the second thing which I did. And then a bunch of things.

The third and the most important thing which I believe people do wrong in social is they try to make branded content, performance content, and shareable content together. And it's a losing strategy. So, look at brands, right?

They would promote, these are the five things that we stand for. Who the f**k?

[Speaker 4] (45:08 - 45:08)

No.

[Speaker 1] (45:10 - 46:30)

We don't. If you want to do it, do it in like phases. Like once in a while you're talking about values, once in a while you're doing it, right?

Now, the only thing if you want to grow, you should think about how can you make people share more or save more. Nothing else matters. Nothing else matters.

Engagement, yeah. Engagement, likes don't matter, views don't matter, comments don't matter, shares and saves. And how do you get people to share?

So, there are different tricks you do it, right? Based on content. One of the basic contents is if you're an educational content, right?

Pick up your target audience. Either you attack your target audience or you make them feel smart. Or you attack them.

You break their belief system. So, you'll get polarizing audience. But half of the polarizing audience will share everywhere.

Interesting. One thing which you can do, you can play on the relationships. Right?

You can take one side of a relationship and make a content, let's say for every girlfriend to share it with the boyfriends. Every boyfriend to share it with their fathers, right? So, you play on that.

So, there are multiple ways you can do it. So, you just think about how you can make your

content share. Because that's all matters.

This is incredibly useful. Everybody starting a brand from zero to one in today's world also has to build a social media following.

[Speaker 2] (46:30 - 46:30)

Yeah.

[Speaker 1] (46:31 - 46:34)

It's a big advantage, right? Their own distribution. Sharing and sharing.

[Speaker 2] (46:34 - 46:35)

Sharing and sharing.

[Speaker 1] (46:35 - 46:36)

And ECG.

[Speaker 2] (46:38 - 46:39)

Very useful, yeah. Very helpful.

[Speaker 1] (46:39 - 47:04)

Very valuable. Kishore, everybody knows already. He's been here and he's like the original rock star of this particular podcast.

Would you like to tell us what have you been doing since March? And any insights you're seeing in the market since then? Are you seeing that drop in consumption I was talking about earlier?

[Speaker 3] (47:06 - 47:19)

Yes, we are talking to a lot of people. But I think this year is what you call Adhik Maas. Diwali is one month later.

Correct. It's one month ahead.

[Speaker 4] (47:19 - 47:19)

Yeah.

[Speaker 3] (47:19 - 47:28)

And unfortunately, every marketer follows the calendar month. And that's a serious issue. In

India, you should follow the festival calendar.

[Speaker 2] (47:28 - 47:29)

Correct.

[Speaker 3] (47:30 - 47:37)

So, that's why I think there will be a little bit of mismatch. Secondly, I think inflation might be playing a little bit here and there.

[Speaker 1] (47:38 - 47:43)

Do you think interest rates have gone to that point where they've started seriously hitting consumption?

[Speaker 3] (47:43 - 47:49)

I think the data of FMCG which came in for August was quite disappointing.

[Speaker 4] (47:49 - 47:50)

Was disappointing.

[Speaker 3] (47:50 - 47:59)

It was showing 11% lower than last month. And even year to year it was around 12-13% lower. I think that metric is true across the board.

[Speaker 1] (47:59 - 48:34)

Yeah. Me and Anant were at a dinner and I was asking one payment gateway guy, one electric vehicle guy. I was asking Anant about the growth in fashion.

Everybody offline seems to be saying consumption has fallen off in the last two months. I don't know how accurate these numbers are. But Amazon India grew by just about 5% this year.

Flipkart, 7-8% based on higher end electronics and premiumization which seems to be growing. But everything seems to be slowing down. And I was trying to figure out is that it?

Like festivals?

[Speaker 3] (48:34 - 49:32)

Is there some festivals I always believe there are multiple reasons for anything to happen. Like five elements make the planet, I think there are multiple elements which creates the market or makes the market go lower. So there are multiple, I think interest rate is one of the things, festival

calendar is another thing.

Thirdly, there is a, there was a little bit of fatigue also, because after COVID the consumption came about and then the fatigue factor also set in. I personally believe the inflation has played, I think we are getting formalized as an economy and formal economy is more expensive than an informal economy. I think that's playing around a little bit.

For the first time, the formalization is quite complete now. And that is, that means 18% extra. And I think that's a big, that's a big, big thing.

Is that a big hit, this GST component? For a consumer it is. For one segment of the population, maybe not, but for the rest of the segment of the population.

[Speaker 1] (49:33 - 49:38)

How much do you think in India in terms of trade happens offline and how much happens with GST?

[Speaker 2] (49:39 - 50:01)

I think the formalization is quite there now. I think almost there. I don't think, I think there'll be very few leakages.

So I mean, I just wanted to add, I think by the way, on the consumption, I'll cover a little bit of the online, just a couple. My sense, by the way, is you really accelerated the online adoption and increased consumption for those 12, 14, 18 months during COVID, right? I think now it's stabilizing again.

Right?

[Speaker 3] (50:01 - 50:03)

So you... But even, what he's talking, even offline is showing some fatigue.

[Speaker 2] (50:03 - 50:13)

So offline, by the way, I think two thoughts that I have. I think your point on inflation, I think is absolutely true. The other is, I mean, if you do really compress the season, it's...

[Speaker 3] (50:14 - 50:40)

No, I have another story also to talk about here, which will be interesting. I think there are, a consumer has a budget. I remember a time when mobile phone was just launched and mobile became an item of fashion and which used to change every six months.

And that time, the money, the budget of the consumer went away from fashion to mobile phone. Correct. So there are so many new interests which has developed.

[Speaker 2] (50:40 - 50:45)

And also, for example, travel has come back. India consumption, in my mind, people are spending on experience.

[Speaker 1] (50:45 - 50:51)

In fact, even this year, I was reading a stat that live shows, live concerts and clubs are growing the fastest.

[Speaker 3] (50:53 - 51:08)

So what FMCG product would you add in the experience category? I did not experience. But look at the restaurant business, a lot of new restaurants, a lot of new experiences coming up and everything is getting adopted in a way.

So there are new categories which are emerging.

[Speaker 2] (51:08 - 51:48)

I think health as a focus has been interesting. I mean, you know, for us, one interesting thing is, we have a peanut butter brand called My Fitness. I mean, I didn't think that peanut butter was that large a category, but it's growing like crazy because what's happening is people actually want to, the mother feeding the jam sandwich is now saying, I want to do something healthier for the child.

The vegetarian who's working out, by the way, wants to sort of have some protein. So it's interesting. So there's consumption shifting into more healthy eating, for example, right.

And that, by the way, there's no growth slowdown. So I think your point of budget getting re-split into various other parts of consumption, I think is probably one of the biggest reasons. Also there.

Yeah.

[Speaker 1] (51:49 - 51:52)

Any other trends you're noticing in the last three, four months?

[Speaker 3] (51:53 - 52:24)

The trend which is definitely emerging or which is being discussed is how a lot of new digital brands are shaping up. And there's a new story which everybody's coming out with and a story is building that brand. So that's what something which we are observing and we believe that's

another opportunity because it's catering to one segment of the population.

And that population has a lot of disposable income and they are experimenting with lots and lots of things. So me and Kishore were on a call recently.

[Speaker 1] (52:24 - 52:30)

He was sharing his insights on, can I say demographic, geographical insights?

[Speaker 3] (52:30 - 53:09)

Yeah. Should we go through that entire thing just so that people can learn from it? No, I was presenting something which was saying that 30 million, what do you call, 3 crore households in this country are basically contributing to 60% of India's consumption.

And I was talking about value-added consumption and in terms of value. And within that 3 crore or 30 million families, there is a Singapore, which is let's say 60 lakh people. We are exactly consuming like that, behaving like that.

Then there is a Poland, which is another two and a half, three crore people.

[Speaker 2] (53:09 - 53:10)

Interesting.

[Speaker 3] (53:10 - 54:48)

Very interesting. Similar GDP, similar per capita. And then there is Mexico, which is around 7-8 crore people.

You want to talk about India 1, India 2, the distinction? No, that theory we did speak about last time also. And I think this time you have gone like a little bit in depth, right?

Yeah, we've gone quite a lot in depth. I believe that the rest of India, which is the balance India, which is Singapore, Poland and Mexico, they are like sub-Saharan numbers, 1100 per capita. And the value-added consumption, we don't see value-added consumption in this large group, which is nearly 1.3 million people, 1.3 million. So the consumption which is happening, which is value-added, is a much smaller group, maybe around 10-12 crore people. And this 10-12 crore people can be represented as what I say, India 1. India 1 is anybody who has domestic help, they don't do some things on their own.

And then there is India 2, which helps you to lead a better life. The drivers, the helpers, the plumes, the maids, the watchmen, the liftmen. And they are huge in numbers.

For everyone in India 1, there are three, three and a half India 2s. And then there is India 3, which

is the farm laborers. They make their ends meet and they are all government aid.

So where will the consumption ultimately happen? And where will the value-added consumption happen? Because the economy has to grow, the value-added consumption has to grow.

And India has been created in a different, our societies have been built in a very different way, wherein the consumption is more by people who have reached somewhere. And we don't give enough money to India 2 to make them.

[Speaker 2] (54:48 - 54:50)

But is India 1 growing quite fast?

[Speaker 3] (54:51 - 54:52)

That's not growing so fast.

[Speaker 2] (54:52 - 54:53)

Okay.

[Speaker 3] (54:53 - 55:25)

Which is growing fastest, India 1, 2 or 3? I think, I would say India 1 is only growing maybe, maybe a percentage a year, maybe less than that. In terms of consumption?

No, 1% adding up to that. And India 2? India 2 is growing because India 3, the people coming to India 2, they are the larger chunk in any case.

So you're saying the middle class is getting bigger? I don't know. Middle class is defined by income groups and all.

Can I add something on India 1, India 2, India 3?

[Speaker 1] (55:26 - 55:30)

Because I've been spending a lot of time on that, because I read it in It Happened in India before.

[Speaker 3] (55:31 - 55:32)

I still stick to that.

[Speaker 1] (55:34 - 56:07)

So I believe like India 1, India 2, India 3 definitely has to do a lot with income. But it also has to do with awareness and choices. So I'll give an example.

India 1, India 2, India 3, just like, you know, put them for lack of better words, customer 1, customer 2, customer 3. They all exist in the same house with the same income group as well. And I'll tell you why.

Okay. Explain same house, same income group. So I'll give you, let's say me, my brother, my father, okay?

My father would use one soap, he'll pick up a dove, he'll wash his hair, wash his face, wash his whole body. He'll do one product.

[Speaker 4] (56:08 - 56:08)

Yeah.

[Speaker 1] (56:08 - 56:10)

Right? He's using less products. Just 50 to 200 products.

[Speaker 4] (56:10 - 56:11)

Yeah.

[Speaker 1] (56:11 - 56:22)

I would do a face wash, a shampoo and a body wash. My brother would do a shampoo, a conditioner, a face wash, a scrub or like 10 things. Right?

So he's India 1.

[Speaker 3] (56:22 - 56:25)

He's using like 10,000 products. All you all three are India 1.

[Speaker 1] (56:26 - 56:35)

Yeah. No, I'm saying that customer 1, customer 2, customer 3, like comparatively, my father would use only 25 to 30 products around him. Yeah.

[Speaker 3] (56:35 - 56:38)

He's consuming less number of items or SKUs as we call it.

[Speaker 2] (56:38 - 56:39)

So that's exactly.

[Speaker 3] (56:40 - 56:42)

But ultimately we'll come in that same family of India 1.

[Speaker 2] (56:42 - 56:53)

No, but Kishore, your point is, by the way, there is, call it, see, I think one is the number of customers, which is you're saying, call it 100, 110, 120 million, roughly, right? That's what you're saying.

[Speaker 1] (56:53 - 56:56)

If you assume for four people per family, 30 million families.

[Speaker 2] (56:56 - 57:08)

So the second, by the way, is maybe the number, let's just take that number for a minute. The consumption of those 100, 120 million, I think the point Raj is trying to make is it continues to increase. Yes.

Yeah, it is increasing. There's no debate.

[Speaker 3] (57:09 - 57:14)

But he's saying that a very low percentage. But that, no, that consumption of this 12 crore people is close to 800 billion plus.

[Speaker 1] (57:16 - 57:23)

No, I feel people who have that number going up, the consumption is going up for this India 1.

[Speaker 3] (57:23 - 57:24)

The consumption is going up. Yeah.

[Speaker 2] (57:24 - 57:34)

But then why is that not reflecting in, say, Amazon, Flipkart? It's reflecting. No, but see, I don't think you can take one quarter worth of data and analyze this, right?

I mean, and you can't. Yeah.

[Speaker 3] (57:35 - 57:46)

How much do you think it's going up by percentage wise? You said 800 billion. I think it's growing a lot.

On this India 1. You would say upward of 20-30%? Maybe in excess of 10% for sure.

[Speaker 1] (57:46 - 57:54)

Do you think it's growing because of increasing consumption or premiumization? Is the volume growing or is the price point?

[Speaker 3] (57:54 - 58:03)

I think they have discretionary income and they have surplus incomes and they have to spend that money like in his family, like the next generation is consuming more than the previous generation.

[Speaker 2] (58:04 - 58:09)

It is both, I think. For sure there's premiumization. But I also think people buy more things.

[Speaker 4] (58:10 - 58:10)

Yeah.

[Speaker 2] (58:10 - 58:15)

Yeah. Right. I mean, you just end up buying more things.

So we did some analysis.

[Speaker 3] (58:15 - 58:16)

We did some analysis.

[Speaker 2] (58:16 - 58:16)

Yeah.

[Speaker 3] (58:16 - 58:29)

Anant was India 1 consumes close to 100,000 items in their lifetime. India 2 is maybe 10,000. India 3 is 1,000.

And would you like to list the top items?

[Speaker 1] (58:30 - 58:34)

I know you have it in your research. Where does India 1 spend the most money?

[Speaker 3] (58:34 - 59:19)

I think there's lifestyle food. But I think the look at the kind of food is which is getting consumed

today. By India 1, I would say the Singapore and the Poland side.

I think they have premiumized to a great, great extent from asparagus to avocados to health food. Everybody is consuming, every family member is consuming a different kind of breakfast and different kind of food. I think going out again by India 1, which is Poland and Singapore is significant.

Even Mexico in a way. So how would you categorize the income ranges of Singapore, Poland and all? Singapore would be, I would say, more than a family household income of 30-40 lakhs plus.

And what percentage of? That will be a small percentage. I would say no, this will be around 60 lakh plus.

[Speaker 2] (59:20 - 59:28)

Yeah. I mean, Singapore income will be closer to 100-120k. So it's closer to like a 90 lakhs.

[Speaker 3] (59:30 - 59:36)

And Poland would be in excess of 20-25 lakhs. And Mexico would be much little less.

[Speaker 2] (59:36 - 59:37)

Yes.

[Speaker 3] (59:38 - 59:58)

Maybe around 12 lakhs. Majority of India 1 is in Mexico, right? Majority is in Mexico, around 8 crores.

Another research which we found out was the total package good consumption in India, package good in value terms is 70% of excess is by this India 1. Beauty close to 85%.

[Speaker 4] (59:58 - 59:59)

Yeah.

[Speaker 3] (1:00:00 - 1:00:07)

And eating out in restaurants close to 78%. So it's significant in high 50s, 60. Fruits 60-70%.

[Speaker 2] (1:00:07 - 1:00:15)

Yeah, yeah. But I would say going back to, you know, you're talking about brand building, right? I mean, 120 million is still a very large number.

Huge number.

[Speaker 1] (1:00:16 - 1:00:22)

But I'm guessing for anyone planning to build a brand 0-1 has to focus on that 120 million.

[Speaker 2] (1:00:23 - 1:00:41)

Yeah. I think has to focus on a much narrower piece. Where you want a margin of more than 40-60%.

Correct, correct, correct. I have, yeah. I have, I've now met some 800-900 of these founders, right?

832 I think is the exact number. But I think there's a clear pattern on what works and what doesn't work for the first 20 crores.

[Speaker 1] (1:00:41 - 1:00:52)

Are there any other insights here? Like out of this 120 million, how many of them prefer paying through UPI, credit card, cash? What percentage may be online versus offline?

[Speaker 2] (1:00:53 - 1:00:54)

This 100 million will all be online.

[Speaker 3] (1:00:55 - 1:00:56)

Also online.

[Speaker 2] (1:00:56 - 1:01:00)

I think my sense is, by the way, they may not do all their purchases online, but they will 100% be online.

[Speaker 3] (1:01:00 - 1:01:01)

They would have experienced online definitely.

[Speaker 2] (1:01:01 - 1:01:08)

They would have experienced online definitely. So they have a credit card or UPI? 100%.

More likely UPI than credit. UPI more than credit.

[Speaker 3] (1:01:09 - 1:01:12)

Credit card also 3 crore users, 3.5 crore users in this country. So they will all come here.

[Speaker 1] (1:01:13 - 1:01:19)

And are these users, this 120 concentrated in between the metropolitan cities?

[Speaker 3] (1:01:19 - 1:01:22)

I would say the top 100 cities. Significantly.

[Speaker 2] (1:01:23 - 1:01:24)

But top 100, right?

[Speaker 3] (1:01:24 - 1:01:24)

Not metro.

[Speaker 2] (1:01:24 - 1:01:26)

I mean, it's like very large as a spread.

[Speaker 3] (1:01:27 - 1:01:28)

How much do you think will be in the metros?

[Speaker 1] (1:01:29 - 1:01:43)

Because I'm trying to think of someone. It will be 60% plus. So if you open 10 stores, have an online thing distribution in 10 cities, you cater to 60% of the 120 million?

Yeah. For the value-added consumption.

[Speaker 3] (1:01:44 - 1:01:45)

When the margins are higher.

[Speaker 1] (1:01:46 - 1:01:48)

Explain what is value-added?

[Speaker 3] (1:01:48 - 1:02:00)

Value-added is how much value you are taking. If you are buying a product or making a product at 1 rupee, at what multiples you are selling it? It has to be in excess of 3 times.

In that value-added ratio of creating a brand. Yeah. Then you are creating a brand.

[Speaker 2] (1:02:01 - 1:02:14)

By the way, one slight thing on the same topic. It was quite interesting for me. If you take the top 100 cities, at least in the e-commerce world, the outside metro cities, I don't know the exact split, is growing much, much faster.

But it will be growing.

[Speaker 3] (1:02:14 - 1:02:30)

But you have to see the value of the merchandise which you are selling. I believe India is all about per kilo realization. Whether it's a garment, whether it's a towel, whether it's a FMCG product or whether it's a detergent.

It's a per kilo realization of something and where you can reach.

[Speaker 2] (1:02:31 - 1:02:47)

Yeah. No, the reason I am saying is when we launched, I mean at least in Myntra when we launched premium products, it was quite interesting. Always, by the way, the places that didn't have the malls but in the top 100 cities would sell the most.

I mean Polo Ralph Lauren when we launched would sell in like Nellore and Chittoor and so on.

[Speaker 3] (1:02:47 - 1:02:49)

Yeah, but it would sell. But how many people from that city?

[Speaker 2] (1:02:49 - 1:02:54)

Actually, if you add up all of them, it was a reasonable choice. You add up all the cities put together but add up for a particular city.

[Speaker 3] (1:02:54 - 1:03:06)

There is a store in Bombay, Hermes. So, it's the most popular brand of the world. 60 people account for 80% of the business.

And that's among the top few stores of Hermes in the world.

[Speaker 2] (1:03:06 - 1:03:07)

How much does Google account for?

[Speaker 3] (1:03:07 - 1:03:13)

And they are typically Bombay based? They are, I don't know. I don't buy anything from them.

No? So, I'll tell you what.

[Speaker 2] (1:03:13 - 1:03:15)

For yourself or for friends?

[Speaker 1] (1:03:16 - 1:03:37)

I'll tell you in the last 3-4 years, I've completely stopped buying from ultra luxury brands like Hermes and LV and all that. Because I feel they play you. Their entire marketing strategy seems to be to offend and get some kind of a reaction out of you and then buy from them.

[Speaker 4] (1:03:37 - 1:03:37)

Right.

[Speaker 1] (1:03:37 - 1:04:15)

You know, they'll tell you. Nikhil has achieved Nirvana. You know, that is the most offensive thing.

Like to go to a shop where they are marking up a product one is to a thousand times. And then saying you can't buy this product until you build a relationship with us. Get on a list.

Do all of these hoops that you have to jump through. It's not because they can't manufacture more of that. They can go make a million of those bags and stuff.

But that strategy of being arrogant has worked so well for them. That I think people have to be cognizant to that.

[Speaker 3] (1:04:15 - 1:04:33)

And you know, kind of like. So, Nikhil, in early days, like Big Buddha was created on 3 things. Greed, fear and we used to call it altruism to a certain extent.

The brand can be built on this. Greed is that it is available at a lower price. Fear is that it won't be available after a while.

[Speaker 4] (1:04:34 - 1:04:34)

Yeah.

[Speaker 3] (1:04:34 - 1:04:38)

And secondly, all the brands are built on appealing to your ego and vanity.

[Speaker 1] (1:04:39 - 1:04:55)

How does Big Bazaar do it? For example, like a budget supermarket. Distinguish themselves from Hermes or Hermes or however you call it.

Like what is the differentiation? What part of ego are you going after? We are going after greed and fear.

[Speaker 3] (1:04:55 - 1:05:03)

And they are going after your ego and vanity. Yeah, I think all fancy shopping is based on manipulation.

[Speaker 1] (1:05:03 - 1:05:18)

I feel when you go buy a BMW, for example, it has very little to do with how the car truly feels. But it is the perception subconsciously sold to you that a certain kind of person drives this kind of a car.

[Speaker 4] (1:05:18 - 1:05:18)

Of course.

[Speaker 1] (1:05:19 - 1:05:39)

Because in isolation, if we were not to be social beings, if you had a BMW at home, after one week you are not going to go look at it, admire it and drive it and be like, wow, this is amazing. Correct. Any car you will get bored of, right?

It's like everything else in life. But I think that marketing messaging, right? Like what BMW has created.

[Speaker 4] (1:05:39 - 1:05:39)

Yeah.

[Speaker 1] (1:05:39 - 1:06:07)

They have forgotten the car for a second. It's the ultimate driving machine. This person who you aspire to drives this car.

I think we have to figure out how to help people who are building brands zero to one build what BMW built in a different manner for a different world. I think Raj will have some insights there because he's kind of building that bridge with House of X. So I'll tell you, it's not only luxury brands.

I think this also must do.

[Speaker 2] (1:06:07 - 1:06:08)

Every brand does the same thing.

[Speaker 1] (1:06:09 - 1:06:37)

They try to play on showing you an ideal image of somebody you will become. Like the classic examples in India I could give is the complete man. Thank you.

Like the complete man layman. What they would do is, hey, a man, if you want to be a complete man, you would wear this. It's an ideal situation.

So they always do that. It doesn't go with luxury. It goes with every, everywhere.

In fact, it goes with kids as well.

[Speaker 4] (1:06:37 - 1:06:38)

Like I'm a complaint girl.

[Speaker 1] (1:06:39 - 1:06:50)

I'm a complaint boy. Everybody, they got a reason to do this. So at the end of the day, you want to tell stories.

And that's how you sell. And one of the classic examples is you sell an ideal state who you're not.

[Speaker 2] (1:06:51 - 1:06:53)

So there's nothing new in it.

[Speaker 1] (1:06:53 - 1:07:13)

There's nothing new in it. And in fact, one of the big, like, what I believe in is, so let's say luxury brands don't want to sell it to people who have money. They want to sell it to people who don't have money.

And the reason is that. Like that's how they are able to build their brands in that way. So they want to sell it to like, you're not their ideal TG Nikhil.

[Speaker 3] (1:07:15 - 1:07:32)

But, you know, they want to sell it to someone who will save for this LV bag for months and then come out. That's not happening in India yet. Yeah.

No. It's still there and I think it's happening in China and a lot of other countries. And the US maybe.

US, not in India yet.

[Speaker 1] (1:07:32 - 1:07:41)

I can tell you, I don't have any data. But my experience amongst my friends, people are saving up for the cars which they want to show off. People are saving up for the watches they want to show off.

[Speaker 2] (1:07:41 - 1:07:42)

Cars and watches, yes.

[Speaker 1] (1:07:42 - 1:07:44)

And the biggest thing that is happening is shoes.

[Speaker 2] (1:07:44 - 1:07:44)

Sneakers.

[Speaker 3] (1:07:45 - 1:07:46)

Sneakers just started happening, yes.

[Speaker 2] (1:07:46 - 1:07:48)

So people are saving up for sneakers.

[Speaker 3] (1:07:48 - 1:07:48)

Not for handbags and all yet.

[Speaker 2] (1:07:49 - 1:07:51)

Not? Not for handbags, not for clothes yet maybe.

[Speaker 3] (1:07:51 - 1:07:55)

But your point is different. Girls are saving for handbags.

[Speaker 1] (1:07:55 - 1:08:04)

Like a lot of my friends, and I can name 20 at least, not more than that, but 20 who have been saving to buy an LV bag on their birthday. Or like a Gucci bag. Interesting.

[Speaker 3] (1:08:05 - 1:08:06)

We are out of touch here.

[Speaker 1] (1:08:07 - 1:08:48)

So our generation, people do save up to buy this. And in fact, surprising, boyfriends and girlfriends save up to gift to their partners. Right?

This is, and it's happening. A lot of people can relate to it. Because we do save.

Somebody was telling me 70% of iPhones in India are bought on credit. Do you think that's true for bags and sneakers as well? Are people borrowing to buy these things?

I don't know about bags specifically. Sneakers, I know there are a lot of people who do buy on credit. There is a monthly payment system with retailers.

In fact, a lot of my friends, what they have started doing is that it's my birthday, so like you know, have friend peer-to-peer lending. And then they would buy something expensive to show it off and then do it.

[Speaker 2] (1:08:48 - 1:08:55)

By the way, I think it's the fast, so there's a product called BNPL. BNPL is among the fastest growing in all e-commerce.

[Speaker 1] (1:08:55 - 1:09:08)

Is that important? Like if you're building a brand from zero to one, if you just figured out a niche, you started building a consumer brand there, how do you integrate BNPL? You're a new company, you're starting at zero.

[Speaker 2] (1:09:09 - 1:09:15)

I think, by the way, BNPL gets automatically integrated as you think about e-commerce or even your own website.

[Speaker 1] (1:09:15 - 1:09:19)

Once your platform is scaled, then do people come and approach you or from the very beginning?

[Speaker 2] (1:09:19 - 1:09:21)

You can do that from day one. I think you can do it from day zero.

[Speaker 1] (1:09:21 - 1:09:24)

You do that with your credit card company or your payment gateway?

[Speaker 2] (1:09:25 - 1:09:43)

You can do it with your payment gateway. So once you have a payment gateway and some data, there are multiple firms that allow you buy now, pay later facilities. Obviously, by the way, the Flipkarts, the Amazons of the world all have inbuilt programs that are quite large.

But even if you're a D2C website, you can get buy now, pay later.

[Speaker 1] (1:09:43 - 1:09:50)

Do they share a part of the carry on the interest they charge with the platform? Of course. Of course.

And what is the rate of interest typically?

[Speaker 2] (1:09:51 - 1:09:59)

I think it's high. I don't remember the date off the top of my head. The interest off the top of my head.

20 plus? Yeah, 20 plus for sure. 20 plus for sure.

[Speaker 1] (1:09:59 - 1:10:32)

Right. And very specifically, because we're talking about this particular influencer led sales world. Now beyond these LV and all of that, what is quiet luxury?

Why? What part of someone's psychology is making them buy something for a crazy price while it should not look like it is expensive? What is working there?

Anyone can answer that. Because I've read about this. That show is there, no?

I think quiet luxury in India is not yet a big of a concept.

[Speaker 3] (1:10:33 - 1:10:34)

There are customers.

[Speaker 1] (1:10:34 - 1:10:34)

There are customers.

[Speaker 2] (1:10:35 - 1:10:38)

But it'll be a TG which is very, very small TG.

[Speaker 1] (1:10:38 - 1:10:41)

I mean. But it's still interesting if it's working. Conscious capitalism?

[Speaker 2] (1:10:42 - 1:10:58)

Yeah. So I would say Nikhil, firstly, by the way, my sense is, I think the market in India for, I think we're not yet evolved to a stage of restrained capitalism where you don't want to actually demonstrate that you bought something expensive. I think that market is very, very, very small.

[Speaker 3] (1:10:59 - 1:11:08)

But I think the people who have arrived in life and they don't need to prove anything to anybody can easily move there. But then why are they spending so much? Like, my point, my question is, I buy everything.

[Speaker 2] (1:11:08 - 1:11:15)

No, but for example, do you think a Patek is quiet luxury? I'm just, you know, in my mind, would that be? Depends on which.

You can't see it, right?

[Speaker 4] (1:11:15 - 1:11:16)

Depends on which model of Patek.

[Speaker 2] (1:11:16 - 1:11:19)

No, if you don't buy a complication, you buy like a regular one.

[Speaker 1] (1:11:19 - 1:11:49)

If you buy like a Nautilus or something, it is not quite luxury. Because it's evidently an expensive watch that a lot of people know about. If you buy a Patek Constellation or a Grandmaster Chaim or something.

But I think regardless of that, I'm trying to figure out why somebody is paying $1000 to buy a t-shirt which looks like a $100 t-shirt or $550. So, I tell you, okay, so this is what my belief is. This is nothing to do with data, but like a psychology which I see in people, right?

[Speaker 2] (1:11:49 - 1:11:49)

Yeah.

[Speaker 1] (1:11:49 - 1:11:55)

So, all of us and everyone, we all do things to signal something.

[Speaker 2] (1:11:55 - 1:11:55)

Okay.

[Speaker 1] (1:11:56 - 1:11:58)

So, signaling value for everyone is high.

[Speaker 2] (1:11:58 - 1:11:58)

Yes.

[Speaker 1] (1:11:59 - 1:12:18)

Some people do signaling through just appearance. Some people do that by doing certain amount of deeds. And some people do it by stories.

So, for example, you want to talk about let's say an expensive watch in your hand which a large majority of people can't see or understand.

[Speaker 4] (1:12:18 - 1:12:18)

Yeah.

[Speaker 1] (1:12:18 - 1:12:43)

But you want to share that with your friends or the five people who care about. Because they'll ask you. So, you get your signaling value by stories.

And that's quite luxury. So, a quite luxury group will be able to spot on a t-shirt which is really expensive but it just looks like a normal t-shirt. So, you want to signal that particular value.

So, it just depends on as a human being who do you want to signal to. So, it's bragging value amongst your immediate family.

[Speaker 3] (1:12:43 - 1:12:44)

Who do you want?

[Speaker 1] (1:12:44 - 1:12:46)

Who do you care about signaling? And it's a very small community.

[Speaker 3] (1:12:46 - 1:12:50)

Very, very small. Very well said. I would say like I don't wear a watch nor a ring.

[Speaker 1] (1:12:50 - 1:12:51)

Yeah.

[Speaker 3] (1:12:51 - 1:12:57)

Nothing. I don't show any brand on my clothes ever. Maybe that's the personality you want to show.

[Speaker 1] (1:12:58 - 1:12:59)

Yeah. Because that's the signaling value you want to show.

[Speaker 2] (1:12:59 - 1:13:03)

I actually really I also thought it was quite insightful. I think signaling is the key sort of in this.

[Speaker 1] (1:13:04 - 1:14:13)

So, this message of what you want to signal is it authentic and organically personality type which determines what you want to signal or is it what is cool in society at that point of time? Is that a manipulation too? I genuinely believe it goes on three steps.

Okay. First is because you just want to become cool amongst your peers. So, whatever is trending you want to do that.

That's a certain level of signaling. Once you're done with that then it goes with your preferences and choices. And then third is to achieve objectives that you want to achieve.

So, first example is like if I am let's say a 50,000 rupee to 1,00,000 rupee income person I want to buy a really expensive shoe to show off my friends. Because that's the physical value. This is cool.

This new Jordan is becoming cool. I want to show that off. Because it's trending I want to show that.

Once I reach an upper level of income or whatever Go with all the brackets. It's just interesting. Okay.

So, you're a 1 to 5 lakh person per month income. And then when I reach I feel this stays on with different products till a crore.

[Speaker 4] (1:14:14 - 1:14:14)

Yeah.

[Speaker 1] (1:14:14 - 1:15:25)

And then after a crore 1 to 1 crore. 1 to 1 crore. Like 50,000 to 1 crore.

This is just different. The things keep changing. Today you might just show off like a small watch.

Tomorrow I'll show off like a big car. So, till 1 crore it goes there. After like a crore to couple of crores I don't know that bracket.

I'm just making it up. I'm just telling because of people. I can spot people who I can think of but not the income.

So, this is the second group. They go with preferences and choices. Okay.

Like I want to signal that I am health conscious person. I am a not branded person. I prefer that I am environmentally friendly.

So, that's why there's Beko here. Like you know this is just a signaling value which you just put it out people that these are my preferences and choices. This is what I stand for.

And the third level which I go for which is which I've seen like ultra rich people I've had like few encounters with people. They show off a certain level of image for a certain objective. And they want to do that signaling because their larger purpose is around that.

Explain. So, somebody would not be really really let's say show off with brands and stuff.

[Speaker 4] (1:15:26 - 1:15:26)

Yeah.

[Speaker 1] (1:15:26 - 1:15:47)

Because they don't want other people to think that they are the branded stuff. They want to be like hey I have money but I don't want you to see that I have this money. Then the signaling value can be somebody does like a great charity doesn't speak about it.

So. And want to hear it from other people. That oh he did that she did that.

Right. He doesn't want to talk about it.

[Speaker 2] (1:15:47 - 1:15:48)

She doesn't want to talk about it.

[Speaker 1] (1:15:48 - 1:16:00)

Because that's the signaling value that I want to put out. That for your larger purpose you want people to think that you are too much into charity that's why you don't talk about it. Because if you talk about it you technically come down to below level number.

[Speaker 3] (1:16:00 - 1:16:06)

So, Nikhil it's a very basic human trait that everybody is you and vanity has to be massaged in some way. Correct. Agreed.

[Speaker 4] (1:16:06 - 1:16:07)

100%. Correct.

[Speaker 3] (1:16:07 - 1:16:11)

It can be done in a reverse way and it can be done in a absolutely opposite way.

[Speaker 1] (1:16:11 - 1:16:33)

I think the interesting part here is how people evolve to figure out what their signaling mechanism is and what they want to signal. And is there an insight from them from that category to build a brand to these people. Because these are things you can utilize.

Content you consume and people you hang out with. Large majority of influence happens with that.

[Speaker 2] (1:16:33 - 1:16:37)

See, I think community to brand building is the next big thing in my view.

[Speaker 1] (1:16:37 - 1:16:37)

Yeah, yeah.

[Speaker 2] (1:16:38 - 1:17:35)

Elaborate on that. So, at least in the online world again, right, I think my view is look, I mean, there are a ton of influencers and I think there's two sitting here. But I'm saying it is after a point it's not about some influencer coming and telling.

It is about what your friends and your community that you trust sort of feel. I'll give you an example. We have a, again, gardening.

Like random, right? But gardening is very community-based. Because you exchange tips, you

think about why plants die and, you know, what do you need to do and so on, right?

And so, having influencer-based marketing sometimes may or may not work. But actually, if you have a closed Facebook group and there are many, many, many Facebook like Insta groups, et cetera, where people genuinely actually talk about what their problems are. And in those, if you start to infiltrate and say the brand comes organically, that's a very different way of building a brand.

[Speaker 4] (1:17:35 - 1:17:36)

Right?

[Speaker 2] (1:17:36 - 1:17:49)

And I think it's a very organic, always-on way of building a brand. And I think there are interesting involved categories where this community-based brand building is starting to be quite interesting. Right?

And I think it's very sustainable. It's less expensive. It takes longer to build.

But it's much more sustainable.

[Speaker 1] (1:17:51 - 1:19:52)

I'll add on to that. That's exactly what we're trying to accomplish with House of X. Right?

That's bang on. We're not doing influencer-led marketing. We do attention and community-led marketing.

Because here's what I believe in. Content builds community. Community brings culture.

And culture changes the way you buy. Right? That's exactly the pattern.

So that's why you need a content person who can create such a content on such a niche. Who can create a community around it. How important is it for somebody starting brand zero to one?

To be able to create content and create community. I think that's the way forward. And I'll tell you a logical reason behind it.

Take care. The biggest reason that I feel is point of sale. Every time the majority of influence happens on point of sale.

There's obviously different parts. Digital, discovery, different, different percentage. But the large majority happens on the point of sale.

So earlier the point of sale used to happen on kirana stores. Wherever. So there would be so

think about it.

In a random day I ran out of my toothpaste. I use Colgate. I go to my kirana store.

And there's no Colgate available. He's like, Bro, take a close-up it's really good. I'll buy a close-up and get home.

That's point of sale. I'm influenced. If I like the flavour, done.

I'm never using Colgate again. Okay. So that used to be the old way of doing it.

The second wave which I think we're going through right now was retail and marketplaces. Where you go in search of something and you get convinced to buy something as well. That is Big Bazaar way, Amazon way or all the places where you explore certain things.

So that's where the point of sale used to happen. Now where the point of sale is, the influence is happening. On the right there on the content.

So you're exploring Instagram every day. You're seeing or YouTube right now. You're seeing, Hey, this person is using this mixer.

He's liking it. I'll click and see. He clicks it.

Then and there Instagram auto-fills your information and then you can check out. Depending on your income level.

[Speaker 4] (1:19:52 - 1:19:53)

Yeah.

[Speaker 1] (1:19:53 - 1:20:37)

You can just check out. Somebody buy like a 50 rupee or 100 rupee product there right off the bat. Somebody would buy like a 10,000, 12,000 or 10 lakh rupee product right off the bat.

But the point of sale is changing and because the point of sale is constantly changing because the content we consume. I think that's why people need to build content-led communities in order to go ahead. Now does that mean that the kirana and the marketplaces and online is going to die?

Not at all. Dead with marketplaces kirana died? No.

So every time a new layer gets add-on you just have to capitalize on all three. But I think there's an interesting play that you can start building community or creator-led commerce and start making products there. And then eventually once you have enough money you can play on other platforms.

[Speaker 2] (1:20:37 - 1:21:22)

So I just had one question actually and then a comment. I think the comment is I fully agree on the brand building through community. I think the question I had actually was when you're in a mind state of consuming content many times you don't transact.

Because you're not going to buy. I mean when you're reading an article you're not necessarily in the mood to buy. The reason marketplaces like Myntra, Amazon, Flipkart, etc.

work is you go in with an intent to shop. Right? There's a commerce intent.

Have you seen are you seeing that change where people are actually buying more? Because Insta shopping hasn't really taken off globally. Right?

In any meaningful manner. I mean at the Instagram level. But streaming in China has.

See that's the only exception that I can think of. And that is also by the way shopping led streaming.

[Speaker 1] (1:21:22 - 1:21:50)

Because his point is bang on that when you go with the mindset of consuming content do you shop or no? So live streaming and social commerce is working because people go with the mindset that I want to buy. I'm going to get a great deal I'm going to buy.

That's the mindset they're going with. Can I ask you a question? If you're shooting this podcast and say we're shooting this show three years from now if somebody likes the shirt you're wearing they can just click it and it'll get bought in a second.

[Speaker 2] (1:21:50 - 1:22:24)

You think the world will go there? I by the way I mean never say never but my sense is I think that will still be a very small percent. Because I think human beings are still human beings.

Right? Now or later. And I think by the way if you're watching something on content right?

You're trying to learn how to build a brand. Right? And I think that's what you're really focused on.

You're not focused particularly on shopping. Now will some percentage convert? Of course they will.

But can you do brand building that way? 100%. I agree with the community point which is what we originally spoke about.

And the brand building through community. I think that will happen for sure.

[Speaker 1] (1:22:25 - 1:23:29)

So yours I want to complete that loop that when people go on to consume content right? I think it's very difficult for us to decide if I am today in a mood to buy or no. So because mostly majority of time of younger people of everybody in fact now is spent on consuming content through different means.

Either by YouTube, Instagram, social media platform or anything. You don't actually know whether you're in a mood to buy or no. You don't know it's the first day of salary or it's the last day of salary.

It's just you're in a hope that okay I'm going to create content. So I was talking about three C's right? Conversation, convincing and then conversion.

All three can happen just there. I can have a conversation the brand building gets the brand gets built. That I'm talking about hey this t-shirt is amazing.

And we talk about I can do little convincing where we can talk about quite luxury and stuff like that. And then someday there will be technology where you can directly buy and convert. There will be small percentage of conversion but large percentage of convincing and a larger percentage of conversation starts.

[Speaker 2] (1:23:29 - 1:23:57)

See I have I think great framing. I think only tweak I would add to it is I think there are categories that are inspiration and browse led and there are categories that are functional. Right?

Just broadly. If you think about browse categories where you need to be nobody needs to buy three shirts or two dresses. You don't.

Right? You buy because you're inspired to buy. Yeah see the whole point of this right this is like a charity project like I keep saying this every You want people to learn something.

[Speaker 1] (1:23:57 - 1:24:04)

I want people who want to build a brand today young guys zero to one to learn everything they might need.

[Speaker 2] (1:24:04 - 1:24:04)

Okay.

[Speaker 1] (1:24:04 - 1:24:05)

From all of your experiences.

[Speaker 2] (1:24:06 - 1:24:06)

Sure.

[Speaker 1] (1:24:06 - 1:24:13)

Like I don't mean like 20% of it 30% of it we want to teach them a 100%.

[Speaker 2] (1:24:13 - 1:24:13)

Got it.

[Speaker 1] (1:24:13 - 1:24:19)

Because eventually we need more brands in India which are going to scale which are Indian led Indian owned all of that.

[Speaker 2] (1:24:19 - 1:24:19)

Yeah.

[Speaker 1] (1:24:20 - 1:24:23)

So I think next section we'll take a one minute break.

[Speaker 2] (1:24:23 - 1:26:13)

No but are you going to give us food at some point or no food? Yeah yeah food. You guys ready?

So I think the question was starting just getting started right and I think my perspective comes from sort of talking to a bunch of entrepreneurs who have sort of built businesses call it between zero and 25-30 crores were the people that I initially spoke to to try and get there. I think there are some patterns on what you need to do and I think the break points for me are zero to 20 20 to 100 100 to 500 and 500 and above right in terms of net revenue we're talking about crores crores so in the first zero to 20 crores in my mind I think it is all product driven word of mouth driven community that we talked about and content driven but it is not performance marketing driven you should have great reviews you should have great repeat rates you should have great social media following you should be part of a community right I think if you can build it that way you're building it in a very healthy manner so the product quality is probably the most important thing in my mind to get right followed by content and community followed by distribution strategy I think you talked about distribution strategy I think from zero to 20 crores if you can keep an 80-20% where 80% is e-commerce platforms and 20% is DTC it's a great mix because then you have enough consumer data but you also have reach that you can actually get to so my theory is if you can get the first 20 crores this way it's like a very healthy way to grow if you're going to start a brand

[Speaker 3] (1:26:13 - 1:26:19)

I don't agree at one place 80% marketplace marketplace is very difficult to build a brand and talk about the brand

[Speaker 2] (1:26:19 - 1:26:35)

you get the top line yes no but yes and no I think it depends on what the platform is I think for example if you can actually take part in a program within an Amazon or a Myntra I think you can actually get to showcase it I'm saying look

[Speaker 4] (1:26:35 - 1:26:36)

it's the easiest

[Speaker 2] (1:26:36 - 1:26:51)

way to I think there are ways to grow in my view I think for example if you are a DTC star program and you can actually sort out an interesting deal in Myntra it's a great way to grow because you have a brand page you're able to represent it right

[Speaker 3] (1:26:51 - 1:26:55)

but you are representing a brand in the way they want you to represent that's the challenge

[Speaker 2] (1:26:56 - 1:27:37)

yes I think within some constraints for sure but I still think by the way it gives you see for me I'm not trying to fully do brand building yet I'm trying to make sure there's product market fit and make sure that this see if you're a new person starting off what do you need you need to you need to sort of get to some scale if you need external funding you need to be able to get external funding and you need to start having enough runway for you to be able to build from the 20 to 100 right so for me it is very practically right if you focus 100% on DTC for example I think you could represent the brand but you'll end up bleeding money which means by the way you'll have to raise money much sooner right

[Speaker 3] (1:27:37 - 1:27:49)

I personally believe a little bit differently I believe if the brand is not right the packaging is not right the color is not right there are color codes there is brand codes for everything yes and if you don't get it right nothing will go right

[Speaker 2] (1:27:49 - 1:27:55)

I by the way think the opposite I think there are lots of bad brands that get sold through

performance marketing

[Speaker 3] (1:27:55 - 1:27:56)

no it's not about

[Speaker 2] (1:27:56 - 1:28:17)

just give me one minute right just to complete this right so I can tell you 50 brands in Myntra that basically grew on subsidy right which is either you threw a discount at it or you threw a performance marketing at it but it can't sustain beyond a certain number because repeats don't come right so I'm saying the first 20 crores may get the consumer right I'm not talking

[Speaker 3] (1:28:18 - 1:28:29)

overall if you don't get the brand right because I personally believe brand is like making a spaceship people take it very lightly every because brand has to communicate a lot it has to emote with you it has to

[Speaker 2] (1:28:29 - 1:28:30)

talk to you

[Speaker 3] (1:28:30 - 1:28:33)

and if that is not correct great product also can't do anything

[Speaker 2] (1:28:33 - 1:28:39)

but I'll tell you by the way just one thing I think having a great brand view and not a great product

[Speaker 3] (1:28:39 - 1:28:41)

has to be right

[Speaker 2] (1:28:41 - 1:28:45)

right no I'm saying you have still a chance to correct the brand from 20 to 100 if you have to

[Speaker 3] (1:28:45 - 1:28:48)

take a chance it will not work you will not reach 20 crores

[Speaker 2] (1:28:48 - 1:29:03)

I think you can right so give us an example yeah so and the product was great I'll give you an example I think Dennis Lingo which is a brand of ours wasn't particularly built as a brand it was a

20 crore

[Speaker 3] (1:29:03 - 1:29:07)

it works in India we started a brand called John Miller people accepted it as a

[Speaker 2] (1:29:07 - 1:29:23)

American brand Peter England by the way did it right same thing you used it but there is a brand thought there I think there is a brand thought there but I'm saying the first see the most limited time when you want to start something is your time the question is

[Speaker 3] (1:29:23 - 1:29:26)

what are the four things you focus on of course

[Speaker 2] (1:29:27 - 1:29:30)

that I'm not disagreeing with Kishore but if you don't

[Speaker 3] (1:29:30 - 1:29:34)

get the brand right nothing goes right that's my theory we have seen it all I have a

[Speaker 2] (1:29:34 - 1:30:06)

different theory we may not have to agree on it right but my different theory by the way is that I think it is important to be consistent it is important to have great product quality but I don't think you need the complete brand definition because I think a brand can continue to evolve from 20 to 100 crores just different theory and it will be interesting to sort of debate out because I can give you multiple examples of companies where if you don't get the product right and there is a lot of focus on brand building you know getting the brand story the brand book right brand book and brand doesn't make

[Speaker 3] (1:30:06 - 1:30:14)

a brand anyway I think we are saying the same thing but coming from a

[Speaker 2] (1:30:14 - 1:30:14)

different point

[Speaker 1] (1:30:15 - 1:30:17)

of view can I digress you a little

[Speaker 2] (1:30:17 - 1:30:17)

bit

[Speaker 1] (1:30:17 - 1:30:45)

so many large brands in India from Louis Philippe to Peter England to a certain extent Jockey Jockey might be a franchisee but the others we put foreign models on a brand that has nothing to do with anything outside of India and call them names like John whatever and Peter whatever it worked for a long time

[Speaker 2] (1:30:45 - 1:30:53)

will it work I don't think so I mean I think so for example we have a brand called Karagiri and it's working just as well

[Speaker 4] (1:30:53 - 1:30:54)

and it's for sarees the

[Speaker 2] (1:30:58 - 1:31:53)

you know if you can find the right name that actually see you're wearing western wear at some level why is it that a Peter England or an Alan Sully has some appeal it's where you actually look at click through rates long time ago and you find that the click through rates are actually different so purely economically the click through rates on performance marketing were higher now I think that was 15 years ago sorry that was 5-7 years ago

[Speaker 1] (1:31:53 - 1:31:55)

you're saying when you had a white person

[Speaker 2] (1:31:55 - 1:31:57)

as a model the click through

[Speaker 1] (1:31:57 - 1:31:58)

was higher

[Speaker 2] (1:31:58 - 1:32:00)

yeah the click was higher this was 7-8 years ago

[Speaker 1] (1:32:00 - 1:32:00)

why

[Speaker 2] (1:32:00 - 1:32:11)

I don't know it's a belief system maybe it's a mindset right as we sort of think about maybe people think it's more premium I don't know but I think there is some

[Speaker 1] (1:32:12 - 1:32:16)

instinctive mindset that we believe that western products are better than Indian ones

[Speaker 2] (1:32:16 - 1:32:34)

I think for sure there is but you know look I mean I'm not a big into theory right but the facts are the following the click through rates on one were better than the other right I mean and that was a fact and I think will it change I think the answer is it will but it will be slow progression it's not going to change overnight right so going a little

[Speaker 1] (1:32:34 - 1:32:47)

has it changed if I were to be building a brand of t-shirts today yeah should I call it John Jacob and get some white South Serbian models to look like American models on the campaign I

[Speaker 2] (1:32:47 - 1:33:23)

don't yeah so I think it's a good question it does it does so I think a brand name I agree a little bit with Kishore I think you have to think through it carefully and thoughtfully I think the name has to mean something and it has to be as there is see people don't remember facts people remember stories I think we spoke about this slightly earlier so the brand name has to have a brand story associated with it it may not be fully crafted but you need you need a germ of an idea right in terms of what that is and that needs to be consistent will I launch a t-shirt brand with a with a Western sounding name possible possible but

[Speaker 1] (1:33:23 - 1:33:24)

you have to think

[Speaker 2] (1:33:24 - 1:33:28)

through it I'll tell you I'll want to add on this

[Speaker 1] (1:33:28 - 1:34:02)

right it definitely works more like even we've seen examples after examples yeah but I think now that you can change that with content and community again the reason why I'm saying this is every time you buy a brand you need to feel proud so if you can make people feel proud in an Indian brand they'll buy it in a Serbian brand they'll buy it something from Greece coming from a

buy in an Indian brand Serbian brand they'll Greece coming from a buy in an Indian is this you need to find out your people who can actually find you worthy enough and they can be proud in buying your things I think

[Speaker 4] (1:34:02 - 1:34:03)

now why does this

[Speaker 1] (1:34:04 - 1:34:28)

now why does this fair-skinned foreign looking model and foreign names work because it's not just you who's making that community proud there are 500 other brands also trying to do it so that's why it just works better because there are 500 people trying to make this look really good explain explain so example let's say Peter England is trying the same thing John Jacobs is trying to train the John Miller is trying to do the same thing Dennis Ling was trying to do the same I'm just giving example

[Speaker 2] (1:34:28 - 1:34:29)

yeah sure

[Speaker 1] (1:34:29 - 1:35:12)

there are 20 more people apart from you who are showing this as a premium brand that's why the consolidated money just grows up there and makes you feel more upgraded and premium versus you individually just pushing it but can you individually do it yes the biggest community and content led example is Baba Ramdev right you can sell that you can do it and make it super Indian and actually do it that's the biggest creator led story in India that has happened I'm going to reframe reframe my question barring content and community neither of which I have I want to start a t-shirt brand today yeah when I'm going to put some print on the t-shirt which is in English what is the path of least resistance where do I have the most daily so firstly by

[Speaker 2] (1:35:12 - 1:35:24)

the way sorry sorry sorry I just had a slightly different framing of this right if I want to start a brand today I don't know by the way unless there's something reasonably unique about the t-shirt brand with some meaning that I want to start whether I would start a t-shirt

[Speaker 1] (1:35:24 - 1:35:25)

really good quality

[Speaker 2] (1:35:25 - 1:35:39)

yeah it's too generic and too general right I think so the first thing to do is you know how crowded

is the space how large is the space and do I have a unique value proposition so for example I won't launch one more ethnic brand

[Speaker 1] (1:35:39 - 1:35:45)

how does someone learn that how does someone learn that if I'm thinking of t-shirt yeah how do I learn how crowded is the

[Speaker 2] (1:35:45 - 1:35:54)

space I think the easiest way actually in the most practical way is to go search for t-shirts on Myntra and find how many choices and how many brands you have it's a representation of the market

[Speaker 1] (1:35:54 - 1:35:56)

you'll have that for every category

[Speaker 2] (1:35:56 - 1:37:01)

you have it for a lot of categories but I'm saying you know some categories are low ASP and huge variety what is ASP average selling price right so low ASP products with high high competition is not something that I would go and do a brand and see if you want to launch something right so the first you know 20 the question is focus we spoke about this earlier also focus on something which is a niche be a shark in a pond right for the for this so that you can actually differentiate in some meaningful manner at least for the first 20 crores right just to complete my framing since it's taking a little bit of time the 20 to 100 crore in my mind the skill especially if you're doing it online has to be around most efficient performance marketing most efficient use of community for brand building so that you don't spend a lot of money on brand building but you build it organically how would you do that the more content that gets which trans which travels and more people that get eyeballs without you paying Google tax and Facebook tax how do you do that it's viral content it's around continuously putting out content it's around creating a community is that the

[Speaker 1] (1:37:01 - 1:37:06)

key then today to build a brand is it content and community not just for influencer led brand but all

[Speaker 2] (1:37:06 - 1:37:55)

brands I think it is a large part of it but it is not the only part of it I think it's a big part of brand building between 20 and 100 crores because it's a less it's a more so again I'll give you an example for us we do a lot of our brand building through men's XP and idea it doesn't cost us we own the content platforms for the 20 to 100 crores it's the most effective way to do it because you

spend 1-2% of your revenue as opposed to 4-5% of your revenue and you get to the same kind of reach right and and that is an easier and more cost-effective way of doing it I think the hard part and the boring part especially if you're more online offline also I think we I'm sure you will have added points on the online side knowing how to do growth hacking or performance marketing on Amazon, Flipkart, Myntra, Google, Facebook is a core skill between 20 and 100 crores.

[Speaker 1] (1:37:56 - 1:37:57)

Can you tell me what is growth hacking?

[Speaker 2] (1:37:58 - 1:38:36)

Yeah so in an offline space your shelf space and your location matters yes where you're placed matters. In the online world the first six swipes on a mobile phone are the only thing that matter after that by the way your attention span you know you never get rid of reach right so you search for trousers right you find you find a bunch of trousers you swipe the phone six times the first six pages matter now the first six pages you can get two by two ways one is by paying Amazon Flipkart, Myntra, Nika etc a lot of money which is you pay for it and you get a slot.

[Speaker 1] (1:38:37 - 1:38:38)

How much does it cost?

[Speaker 2] (1:38:39 - 1:39:04)

I think it varies by category few hundred rupees. For t-shirt? For an SKU so just think about it a t-shirt for a t-shirt sells for call it 399 right you may end up paying 30% hundred rupees for a for performance marketing and getting a slot so it's quite expensive to do so what is growth hacking how do you get to those spots without paying for it and how do you do it?

[Speaker 1] (1:39:04 - 1:39:05)

You're saying hundred bucks per click.

[Speaker 2] (1:39:06 - 1:39:25)

See by the way the cost per click will be less the cost per click for an average t-shirt will probably be in the 30-40 range but you'll need to sort of do performance marketing for a long period of time you have to do to stay there for a long period of time right and the conversions are not that high so there's cost per click and there's cost per conversion right and there's a long drop between the two just

[Speaker 1] (1:39:25 - 1:39:34)

because if you're the platform guy here give me like three specific hacks which can bring down this cost for me who started a new t-shirt brand.

[Speaker 2] (1:39:34 - 1:40:47)

Very simple you have to find out it's a little bit like what Raj said you have to find out what each platform values. Myntra values freshness. Myntra values?

Fresh stock so new styles coming on all the time. Therefore if you want to make Myntra your primary platform you basically have to introduce more frequent drops and you have to get tagged to what's new so it's an easy hack right so you explain tag to what's new. Let me give an easier example because Myntra is the more complicated one.

Amazon values consumer reviews and ratings. Yeah so getting the first hundred reviews and ratings right through customers through friends through family or legitimately there's an Amazon wine program that you can do all of that actually matters the most for you to be placed on top. So do you manufacture these ratings?

You don't manufacture them you actually by the way make it happen through Amazon has a program where basically people give honest reviews but you can pay Amazon for a review. Right so there's no problem whatever the review is the review is if the product is good quality you can actually do it. I'm sure there are lots of ways to do it outside but I'm saying that the legitimate way to do it is Amazon has a wine program which is very very cost-effective.

[Speaker 1] (1:40:47 - 1:40:47)

Spell wine.

[Speaker 2] (1:40:47 - 1:40:53)

B-I-N-E. Right where you can basically sort of get the first hundred reviews or hundred ratings.

[Speaker 1] (1:40:53 - 1:40:58)

So I'm a t-shirt company I figured out some co-packer who makes t-shirts.

[Speaker 2] (1:40:58 - 1:40:58)

Yeah.

[Speaker 1] (1:40:58 - 1:40:59)

I want to print something on it.

[Speaker 4] (1:40:59 - 1:41:00)

Yeah.

[Speaker 1] (1:41:00 - 1:41:01)

I printed it.

[Speaker 4] (1:41:01 - 1:41:01)

Yeah.

[Speaker 1] (1:41:02 - 1:41:03)

I go to Amazon.

[Speaker 2] (1:41:03 - 1:41:03)

Yeah.

[Speaker 1] (1:41:04 - 1:41:08)

I get it listed. How does the listing happen? Like how do you get it listed on Amazon?

[Speaker 2] (1:41:08 - 1:41:26)

Yeah so I think this is like getting back to very 101. Yeah. But I think the first thing is you have to register as a seller.

Okay. Which is a little bit of a process. Amazon is very easy and self-serve.

Very democratic. Flipkart and Myntra are very hard. So what do you need to register as a seller?

You just need a GST number, a company, right? There's nothing that's needed.

[Speaker 1] (1:41:26 - 1:41:27)

So you need a private limited company.

[Speaker 2] (1:41:28 - 1:41:42)

No no no. You can do a proprietorship as well. You can do a proprietorship.

Most companies, a lot of companies sellers are actually proprietors. So it's very easy on an Amazon. Little less easy on Flipkart.

Harder on Myntra. Harder on AGO. I think in that order.

[Speaker 4] (1:41:42 - 1:41:43)

Why is that?

[Speaker 2] (1:41:43 - 1:41:56)

As far as fashion. Because Amazon is the most self-serve of the lot. Which is you don't need to talk to a person in order to make this happen.

Right. In most other platforms you have to talk to somebody and that takes time, effort and convincing.

[Speaker 1] (1:41:56 - 1:42:05)

I'm sorry. Sorry I'm going back a step. But if I have an idea of how a t-shirt should look, how do I find the right manufacturer for it?

[Speaker 2] (1:42:05 - 1:42:08)

So, I mean, there are many ways you can do it.

[Speaker 1] (1:42:08 - 1:42:10)

But how do I find a good one?

[Speaker 2] (1:42:10 - 1:42:23)

Yeah. So there is a list of maybe 50-100 manufacturers. So firstly, by the way, it depends on your order quantity.

I think depending on every size, there are people who can actually manufacture it for you. And where do I find this list of 50? No, t-shirt is, you go to Tirupur and you walk around and you can get t-shirt manufacturers.

[Speaker 1] (1:42:23 - 1:42:26)

Online or India Mart. Online or India Mart.

[Speaker 2] (1:42:26 - 1:42:27)

And you can find a manufacturer, right?

[Speaker 1] (1:42:27 - 1:42:30)

The quality is definitely not that far.

[Speaker 2] (1:42:30 - 1:42:32)

But you can get like a sense of what you can do.

[Speaker 4] (1:42:32 - 1:42:32)

Yeah.

[Speaker 2] (1:42:32 - 1:42:56)

So, Nikhil, by the way, sorry, maybe taking even more of a step back. You know, I think brand building requires a little bit of thinking and effort, right? You can't come and suddenly say, so for example, if you want to go start a t-shirt brand, I think it's actually quite difficult to do because you need some level of expertise.

You do need to understand something about t-shirt manufacturing and so on. There needs to be something, you can't, I mean, it's like meat, right? As opposed to, you know, you can't just do starter, right?

[Speaker 1] (1:42:56 - 1:42:59)

How do you inculcate that learning?

[Speaker 2] (1:42:59 - 1:43:02)

Can I add something to this? Please, please.

[Speaker 1] (1:43:02 - 1:43:33)

How to start a brand thing because I think I've started a lot of it and failed at it multiple times. And I've done this trading, buying from India Mart and selling on Amazon. I've done this like as a side hustle for the longest time.

Say that again. So, I used to, what I used to do, I used to buy from India Mart and sell it on Amazon. Okay.

So, there was no brand, nothing. I saw that the mops were growing in India. The thousand rupee mop, I don't know if you've seen this.

Yeah, yeah. Right, that, I don't know how to explain. The one which sucks up the food.

[Speaker 2] (1:43:33 - 1:43:35)

Yeah, yeah, yeah. So, I saw that that was popping.

[Speaker 1] (1:43:35 - 1:44:06)

There's another bucket where you squeeze it in. So, you can go on India Mart from Gujarat, you can get somebody to give you that 200 to 300 rupees. You call it and then you list it on Amazon and you sell it for 1000 rupees.

And then, you get like 100-150 rupees per. How much commission does Amazon charge? So, it depends on different categories, different, but, there's so many, you know, that's Amazon's, I think, the biggest problem.

There's no exact transparency on everything on commission basis. Because there is, definite 22% is somewhat, which you end up paying.

[Speaker 2] (1:44:06 - 1:44:14)

I would say, by the way, lowest is 15, highest is 35. Right, yeah. Depending on what you do.

So, you feel like it's, that is something which you face problem if you're starting out.

[Speaker 4] (1:44:15 - 1:44:15)

Yeah.

[Speaker 1] (1:44:16 - 1:44:53)

So, I used to do this, I used to sell vegetable choppers. I ended up making 10 lakh rupees as profit of vegetable choppers. Because I bought a 50 rupees sold for 400.

This, I used to do on Amazon. So, I'll tell you, in this thing which I learnt about how to start a brand, there are two definite questions that you've got to ask yourself. First is, what is your strength?

Some people's strength might be getting products in cheap. Because, what you can buy can be sold cheap. Right.

If you can't buy it in cheap, you can't sell it. So, if your strength is not negotiating and buying and have control over sourcing, you can't do that. So, let's say that's not your strength.

[Speaker 2] (1:44:54 - 1:44:54)

Yeah.

[Speaker 1] (1:44:54 - 1:45:15)

Then, is your strength building content, community, something like that? Can you do that? What if my strength is design?

So, let's say, yeah, I'm coming to that. Let's say, you design, that's a product differentiator. Okay.

So, now that's your strength. Yeah. So, do you have, I think there are three types of strengths.

One is brand building and content. Second is sourcing. Third is unique innovation and design and

everything of that sort.

[Speaker 2] (1:45:15 - 1:45:21)

And the fourth is your ability to, some people have a dramatically better ability to growth hack Amazon, growth hack Flipkart.

[Speaker 1] (1:45:22 - 1:45:23)

I was coming to that.

[Speaker 2] (1:45:23 - 1:45:29)

Is that such a big distinction? I think so. Yeah, yeah.

Absolutely. In this new world, I think it is for sure.

[Speaker 3] (1:45:30 - 1:45:34)

Even in the old world, if I have connections. Yeah, the entry and the shelf space.

[Speaker 1] (1:45:34 - 1:45:42)

Yes, exactly. So, even in the old world, if I have connections with Big Bazaar or D-Mart, I can probably get listed and start selling much faster than anyone else.

[Speaker 2] (1:45:42 - 1:45:42)

Yeah.

[Speaker 1] (1:45:42 - 1:45:52)

So, that used to happen. How does someone build, this I find more interesting than the rest. How does someone build the knowledge of these growth hacks or hire someone who has that knowledge?

[Speaker 2] (1:45:52 - 1:45:54)

I think, can I just take that?

[Speaker 1] (1:45:54 - 1:45:54)

Yeah.

[Speaker 2] (1:45:54 - 1:46:01)

Maybe you can add to it, right? So, Amazon is the most straightforward to become more expert

on because I think there is lots of case law.

[Speaker 1] (1:46:02 - 1:46:02)

Knowledge available.

[Speaker 2] (1:46:02 - 1:48:05)

Knowledge and availability because you have it, it's happened in the US, it's happened elsewhere. And therefore, by the way, it's easier to learn. And the algorithms are more transparent.

You can go read up online and you can figure out what to do. I would say most of the other platforms, Flipkart is almost there as well. I think getting closer and closer to self-serve and Walmart and so on.

I think on Myntra, et cetera, the way I would sort of think about it is I would actually go talk to ex-Myntra people. The most practical way to do it is to go talk to two category managers. So, let's say I want to do t-shirts since it seems like your favorite brand to launch.

I would go talk to the category manager on t-shirts, right? Or actually, I would go talk to them and say, firstly, is there an opportunity for a t-shirt? Is there an opportunity at a certain price point?

Is there an opportunity at a certain design? So, people are looking for plus sizes, people are looking for oversized, whatever, right? People are looking for pop culture, like what Raj was saying.

Whatever it is. I would get some insights from one of these guys to narrow this down. In terms of what does it take to growth hack on Myntra, by the way, I'm now finding more and more blogs that are available and so on.

I don't know if you guys have searched for it, but it's quite interesting. People talk about Myntra being a visibility-led platform. So, there are two types of platforms.

One is you go search for something and you get to a product. The other is you go browse for something and you get inspired to a product. So, that's visibility-led.

The other is search-led. Amazon is search-led. Myntra and AGO are visibility-led.

There, the real thing to understand is what are all the visibility triggers? So, you go look for filters. What's new?

What's hot? You know, price low to high. Right?

Size. Right? So, you go keep looking for what is it that the platform looks for.

It's no different than his idea on Google and Facebook on Insta. Insta wants to do reels, therefore, he does reels. Myntra wants to sell what's new and therefore, you figure out how to hack that way into it.

So, that's how you go find out. I think the easiest is to, there are now some online resources, but talking to a few ex-people is the most practical way to get started.

[Speaker 1] (1:48:06 - 1:48:36)

Can I add a layer on there? The other most important, so, these are the skills that you can develop on Go and you can talk to these people and you can do it. The second most important question you should ask yourself is, where is my ideal customer spending time?

So, I'll give you an example of a pizza company that did crazy, really, really well in this. This is in US. So, they found out that their ideal TG is spending a lot of time on multiple platforms.

One of them needs to be dating sites. Dating apps.

[Speaker 4] (1:48:36 - 1:48:36)

Right?

[Speaker 1] (1:48:37 - 1:49:00)

So, let's say, pick up a Tinder or a Bumble or something like that. They started showing ads there. And they were like, if she gives you a number faster than we deliver our pizza, you get 30% off.

Now, that's a growth hack. Yeah. This is what a growth hack means.

So, you need to ask yourself a question. Now, imagine that's a massive, massive, massive technique. Because a lot of people would do it just to satisfy their ego, not because of that.

[Speaker 4] (1:49:00 - 1:49:00)

And correct.

[Speaker 1] (1:49:01 - 1:49:36)

So, you need to ask yourself, where are your people spending time and need to find out underpriced attention in that. Because if you can't find underpriced attention, that's very hard to sell a very, very, you know, difficult product or as basic product as T-shirt. And now, coming to the starting point where you asked me, if you want to start a T-shirt company, how would you do it?

So, here I ask a question myself. If I don't have a differentiated product, I try to think if I don't have a unique selling preposition, I ask myself, do I have a unique show-off preposition? Really?

Because you can show-off preposition.

[Speaker 2] (1:49:36 - 1:49:38)

Branding proposition. Branding proposition.

[Speaker 1] (1:49:39 - 1:50:28)

You can do it. Let's say I have none of this. I don't know how to show-off because design comes in the show-off play.

You're a great designer. You can build something that people will show-off. If, let's say, I don't have any of this.

I always ask myself a question, what's pre and post? Because, so this goes in the, my most FMCG, like, you know, not clothing, like not fashion. I would like personal grooming and stuff like that.

Right? So, if there's a shampoo market which is popping in India, I don't want to launch another shampoo. I would ask myself a question, what can I do to sell somebody who's using shampoo after shampoo?

Post product or a pre product? Or pre, before shampoo, what they can do? Or post shampoo, what they can do?

Because that's how I get an entry to somebody who uses exactly my thing. And once I get an entry, automatically, I'll start selling my other products as well.

[Speaker 2] (1:50:28 - 1:50:46)

Yeah. And by the way, the way we sort of, I mean, the way I would sort of do it, just building a little bit Raj on that is, pre post is one. I think, literally, by the way, again, I go back to the very basic thing.

Amazon, actually, you can go and find out long tail key search words.

[Speaker 4] (1:50:46 - 1:50:46)

Yeah.

[Speaker 2] (1:50:46 - 1:51:29)

You can find out where there is null search. You can say, by the way, in the last month, what are

the search results that led to zero? And you find all of them.

And you stack rank them by volume. And then you say, that's what I want to go do. I'm saying this, I think, unfortunately, I mean, since this is a podcast where people want to, I think there's so much of data out there.

If you actually make a little bit of effort, you could actually make dramatically better judgment calls than 90% of the population, right? And this growth hacking applies to Google and Facebook the most. So if you start D2C, right, the real question there is, how do you not pay as much Google and Facebook tax?

And there, there's an entire science behind it, right? How do you actually think about SEO? How do you think about the structure of your website?

How do you think about what keywords to bid on?

[Speaker 1] (1:51:29 - 1:51:32)

How do you think about But that's beyond, you're saying, 25 to 100, the next phase.

[Speaker 2] (1:51:32 - 1:52:41)

That's the 20 to 100. So, 0 to 20, I know we had a slight difference, but not dramatic, but my sense is, great product, initial brand value proposition, 80% marketplace, 20% D2C. 20 to 100 crores, by the way, continue to crack something that's unique.

It can be, I think, to Raja's point, it can be sourcing, it can be design, it can be whatever. And crack performance marketing, whether it's Google, Facebook, Amazon, content, whatever it is. Build something around it.

100 and about, 500, you have to figure out how to make offline work, which is a different skill set for a lot of people who have started it this way. You have to figure out and really make sure that the product goes from push to pull. What do I mean by push to pull?

What is the percentage of organic sales versus what is the percentage of adrenaline sales, which is performance marketing? That percent from 20 to 100, maybe call it 50-50, performance and organic. 100 plus that performance based sales should come down to 30%.

Because if it doesn't, 30-40%, it doesn't, it just, the cost of it keeps going up and up and up and up in the Amazons of the world.

[Speaker 1] (1:52:41 - 1:53:48)

You know, one interesting thing how you can build a brand is also, that used to happen in offline. At least, you look at categories which are super unorganized and what is getting organized. So,

for example, Atta.

So, I read, this is again 2013-14, I read that 94% India still buys Chakki Atta. That was 2013. I was like, okay, because 94% is still unorganized.

The way it's like not, it's just going away from cities. Probably, there's going to be a time where this won't happen. And that's why there's an opportunity to build an Atta brand.

Makes sense. Any opportunity you're seeing now? Unorganized to organized?

I think toilet, specifically, I see as an opportunity. Give me an example. Like, cleaners and so on.

Toilet cleaners, pre-sprays, post-sprays, you know, seed sprays. I don't know, I don't know what product. I've not spent enough time.

Like that Serona is doing a lot of this. Be safe. Yeah, yeah.

I've not spent enough time to understand what products, but I think toilet as a category is popping up because a lot of people now just don't want their house to smell good, but also their toilets to smell good.

[Speaker 2] (1:53:48 - 1:53:53)

I think pets is the other big one. Yeah. It's immediate and people are spending.

Go for it. Yeah, so, I mean, look.

[Speaker 1] (1:53:53 - 1:53:56)

There's one new store which has opened here which is huge.

[Speaker 2] (1:53:56 - 1:54:03)

Heads Up A Tails. Yeah, Heads Up A Tails. So I think pets is interesting.

I mean, you know, everybody's heard of dinks. Apparently there's something called dink quad.

[Speaker 4] (1:54:04 - 1:54:04)

What is dinks?

[Speaker 2] (1:54:05 - 1:54:13)

Dual income, no kids. Right? My daughter was explaining now this to me saying there's dink quad, there's double income, no kid with a dog.

[Speaker 1] (1:54:14 - 1:54:14)

That's me.

[Speaker 2] (1:54:15 - 1:54:18)

Right? Not double income yet, but yeah. But I didn't even know.

[Speaker 1] (1:54:18 - 1:54:19)

Second income is in Indore.

[Speaker 4] (1:54:19 - 1:54:21)

Yeah, yeah. Second income is in Indore.

[Speaker 2] (1:54:21 - 1:54:36)

So, so, so, this population is growing and they spend on the dog or the cat as much as they spend on their baby, right? I mean, or child. But I think this is an interesting space.

There's a market and I think it's going to explode. Singapore.

[Speaker 4] (1:54:37 - 1:54:38)

Yeah, that's like very small market, yeah.

[Speaker 2] (1:54:39 - 1:54:44)

Singapore, but I think Singapore will spend. We were talking about naming a brand in between for a second.

[Speaker 1] (1:54:44 - 1:54:58)

How does, how does one figure out what to name a brand? Let's stick to the t-shirt example. What should I name this brand I'm starting?

Let's say I have borrowed, managed to get 10 lakh rupees.

[Speaker 3] (1:54:58 - 1:55:41)

I'm starting a t-shirt brand. I need to figure out the name first. How do I go about naming my brand?

So, I'll tell you a colleague of mine who's a brand authority in a way and his daughter started a brand and she started exactly with a t-shirt and she named a brand Creatures of, Creatures of Habit. In the first instance, I didn't understand much and it was a D2C brand and I think they are, they are now profitable. What worked?

I think the brand, the product. But the name worked for a particular reason, Creatures of Habit? I think, I think the D2C world is accepting a little bit of an odd name.

Story. A story. It's telling a story.

[Speaker 4] (1:55:41 - 1:55:41)

Yeah.

[Speaker 1] (1:55:42 - 1:55:59)

By the way, new research there is, just adding to this, 9 out of 10 Gen Z's believe in advertising. Yeah. Maybe different ways, different sorts.

But if you tell them that you are advertising, people are receptive to see that advertise and buy something on that.

[Speaker 4] (1:55:59 - 1:56:00)

There is no level of mistrust.

[Speaker 3] (1:56:00 - 1:56:12)

So you can name your brand anything. You can name your brand Nikhil also. Yeah.

And we can create a story around the word Nikhil and that's what I was going to say. But if your word inherently has a story in the word, is it a? It helps.

[Speaker 2] (1:56:12 - 1:56:18)

It helps. Of course it helps, right? I mean, we have Tesla and you are running an electric car company.

It helps, right?

[Speaker 1] (1:56:18 - 1:56:21)

Can you just come up with a name for a t-shirt company which has a story in the name?

[Speaker 2] (1:56:23 - 1:56:24)

Can I add?

[Speaker 1] (1:56:24 - 1:56:46)

I wouldn't choose any name which is popular. I would choose a name which is easily available on SEO. Correct.

I would come up with something which has no meaning. Yeah. Because if you choose a word which has meaning, then you are fighting against something already.

So would you say something which doesn't have a meaning truly but sounds like it means a certain thing?

[Speaker 2] (1:56:46 - 1:56:48)

It sounds like something interesting. It sounds interesting.

[Speaker 1] (1:56:49 - 1:56:53)

I'll give you an example of our brand recently we named Blanco. It's a perfume brand.

[Speaker 4] (1:56:53 - 1:56:53)

Yeah.

[Speaker 1] (1:56:54 - 1:57:23)

So we named it Blanco because King, in his day to day lingo in language, he uses Blanco as a substitute for winning lifestyle and confidence. So he has given meaning to Blanco like white. Blanco is, it has no meaning.

But Blanco is is equal to Blanco sounds like a very French way to say white. It could be. So it just means confidence in winning.

So he is giving a meaning to the name which has no meaning. And then it catches up on the story.

[Speaker 3] (1:57:23 - 1:57:40)

Nikhil, my nephew started a brand on gut health. And they were working. The whole insight was there are good bacteria and there is bad bacteria.

So how should you and we want to attack that good bacteria has to be more to kill the bad bacteria.

[Speaker 4] (1:57:40 - 1:57:40)

Yeah.

[Speaker 3] (1:57:41 - 1:57:54)

So we worked on along with them and we called the brand the good bug. And it caught on quite well. Had the brand not been the good bug I think the story would have been different.

That's a good name actually.

[Speaker 2] (1:57:54 - 1:57:55)

Yeah, that's a good name.

[Speaker 3] (1:57:55 - 1:57:56)

So everybody liked that name.

[Speaker 2] (1:57:56 - 1:58:20)

No, but or peanut butter, right? My fitness. That's a great name.

It's a great name. But doesn't that get lost? My fitness?

No. Actually by the way trademark is available which is why it was done. But My Fitness is extendable, right?

And basically you have to take a brand positioning. You can either say mother giving the child healthy things which is one positioning. The other is you're an athlete or a gym goer who needs protein.

In which case My Fitness is a perfect fit.

[Speaker 1] (1:58:20 - 1:58:27)

Is there another trend that anything food where you add fitness is just selling more today? No.

[Speaker 2] (1:58:27 - 1:58:32)

I don't think so. Nothing like that. I don't think so.

I mean this case on peanut butter it was a good name.

[Speaker 3] (1:58:32 - 1:58:41)

But I think I think peanut butter it was exactly the time where it was just happening. And we in Food All created a machine and where we were selling and people could take out the peanut butter.

[Speaker 2] (1:58:41 - 1:58:48)

I've seen that. You can take any peanut butter. Correct.

But it's really taken off now. I mean it's a trend. Food All is crazy.

[Speaker 1] (1:58:49 - 1:59:35)

Because you named Food All I want to give you an insight on what I saw. So what I did there was raspberries just put there. I'm talking about I think Santa Cruz food all.

So the raspberries. So it was let's say priced at for example 1000. There was right next to it I think there was like Brazilian raspberries or something there was some country's name in it.

Same and that was 2000 something that was expensive. I don't exactly know the price. But there was just one country name.

I kept it both of them together. And then I just stood there to see what happens. The 2000 one got finished quicker than the 1000 rupee one.

So Food All is a market like people if you add a story to it that it's Brazilian or Portuguese or something people buy. Is that true?

[Speaker 3] (1:59:35 - 1:59:38)

The origins of metal. Origins of metal.

[Speaker 1] (1:59:38 - 1:59:49)

It was very crazy to me just to write an origin and it will fly faster than the 1000 rupee one because the price was crazy. If the price is higher do people automatically assume higher quality?

[Speaker 2] (1:59:50 - 2:00:33)

Yes within a band. Explain. So for example if you basically say you guys No, no, no.

I think that's true what you're saying. No, no. See look I mean let me give you let me give you my fitness example.

We charge more than our competitors who are in the same sort of space. I don't know happy low x, y, z whatever. We charge more.

We charge by 20% more. The minute you get to 50% more there is actually a basket cost. See because by the way 500 grams last for See basically if you want to buy something you know you have some amount that you spend on grocery.

Right?

[Speaker 1] (2:00:33 - 2:00:36)

Can't you buy that bag that they give you and put everything in it?

[Speaker 2] (2:00:36 - 2:01:15)

No, no, no. Just hear me out. So you know there is a certain amount of money I want to spend.

Right? It can be at a premium but it can't break the bank. So for example if I am spending a 1000 rupees on 500 grams of peanut butter suddenly you start to think a little differently.

But if I am spending 200 rupees more there is a break point. Right? So I don't know whether that's making sense.

Right? So there is a band for every one of these. Within that band I think premium people think it is actually you are charging a little bit more.

The packaging makes a difference. All of that makes a difference. But I don't know maybe Kishore you can comment on it but if you charge five times for a utilitarian thing then I think it gets to be tough.

[Speaker 1] (2:01:15 - 2:01:20)

I have to say like digressing here my favorite kind of shopping is supermarkets.

[Speaker 2] (2:01:20 - 2:01:20)

Yeah.

[Speaker 1] (2:01:21 - 2:01:23)

There is some the only kind of shopping I would go do in person.

[Speaker 2] (2:01:23 - 2:01:24)

Yeah.

[Speaker 1] (2:01:24 - 2:01:38)

There is something so therapeutic about being in a supermarket picking up all these random boxes which have like weird colors on them. So they have got something in the physical shopping bang on. I don't know how much research has gone into it.

[Speaker 4] (2:01:38 - 2:01:39)

A lot of research.

[Speaker 3] (2:01:39 - 2:02:17)

A lot of research. So there are codes for every category. So you will find similar color codes for a

particular category.

So every category is thought in a particular way and if you move away from that code it just doesn't sell. The consumer gets used to a certain like if you look at the toothpaste you will find the red and white as a color code. If you move away from that it becomes difficult.

So packaging design how the mind works I think so much research has gone into building a brand packaging design everything. So you guys said health if you necessarily add into every product is not selling more.

[Speaker 1] (2:02:17 - 2:02:19)

It doesn't mean that exactly.

[Speaker 3] (2:02:20 - 2:02:56)

But the odds of it selling more will go up. If you add a health add. Maybe for a while.

I think something which has not been discussed also is whatever you create what is the longevity of that. And what does brand mean? Brand means you are getting instead of a commodity of X rupees a kilo you are getting X plus 20 percent 30 percent something.

That's what the brand is all about. And you have to position the brand in a way that you keep on getting that premium. Until when you will be able to get that premium.

So as a peanut butter now how is he building the brand that it will have that longevity to get that premium throughout the year. Throughout the lifetime. I think that's where the brand will stand out.

[Speaker 2] (2:02:57 - 2:03:05)

Sorry. Just to maybe just complete that. I think the longevity point I really think is important.

Because I think brands get built up over decades.

[Speaker 3] (2:03:06 - 2:03:09)

But if you build on growth hacking how will the brand longevity happen?

[Speaker 2] (2:03:09 - 2:04:21)

I think there are two different things Kishore. I think there is a distribution and how do you optimize the distribution. It's like getting the right mall space.

In your days you would get the mall space. I think that's a different problem than building brand, building product and so on. Which is absolutely important for me to do.

So I'm saying growth hacking is the new way of getting a great space in a mall. The analogy. I think here on brand building I think this consistency point is important.

You have to be known for something that compounds over time. It can be taste. It can be so for example in the peanut butter I think there is usually oil separation that happens.

Because it's emulsified. So we have done an emulsification which is make sure that it still separates but it doesn't feel like oil. So when you take it and taste it when you open it it just is nicer.

It can be a small thing. It can be a large thing. But you need something that differentiates this and is consistent over time.

Or if you have a fashion brand you need some design direction that may change but the ethos is still consistent over a long period of time. Because I think it takes compounding to build a brand. And my point is they are not at odds with growth hacking.

My point is growth hacking is distribution for me. Steam distribution.

[Speaker 3] (2:04:22 - 2:04:53)

So like two brands which comes to my mind in the new digital world one was Mamath which was built around onion as an ingredient. Was it? Yeah.

Onion oil was the ingredient and through which now they have extended the brand to many products and categories but they… Why did onion oil work for them? I think people had memories about onion oil being healthy for the hair.

But nobody had… Nobody had thought about it. And they came into that market.

And there was another brand which was built around coffee. Which is? M Caffeine.

[Speaker 2] (2:04:53 - 2:04:55)

M Caffeine. Yeah.

[Speaker 3] (2:04:55 - 2:05:29)

Do you know of any other things like onion oil which have not been realized? We are just… My son-in-law is launching a brand called In Beauty Space which is…

Which is milk as a base. Dairy as a base. The science of milk.

And milk again has been a lot of connotation around beauty but nobody uses milk. They use milk as an insignia. They use it in the packaging.

But they don't use milk in the product but they use it in the packaging. So milk has a lot of connotation in Indian culture. So you are saying pick something from…

I think Ayurveda many people have overwhelmed.

[Speaker 2] (2:05:29 - 2:05:40)

But everything old in new form is coming in. See I think there are two ways to sort of play the beauty game. I think there is an Ayurveda versus science axis.

[Speaker 1] (2:05:40 - 2:05:48)

Ayurveda market has been overdone? I can see Kama and Forest Essentials as the leaders in that premium and Patanjali at the bottom.

[Speaker 2] (2:05:49 - 2:06:04)

I think beauty as a market is still so under penetrated. There is room for many many brands. I do think you need some real differentiation however.

What could be Just putting Ayurveda doesn't mean anything. I think you need efficacy and you need to actually build a little bit of real research.

[Speaker 1] (2:06:04 - 2:06:12)

Why doesn't anybody describe efficacy or why does somebody not compare product A to B based on efficacy?

[Speaker 2] (2:06:12 - 2:06:57)

So firstly by the way I do think people do more. So at least when I was growing up I don't think I ever looked at the back of a bottle on what the ingredients are. My kids today by the way look through every ingredient and then whether it's cruelty free paraben free these are things that don't register.

But I think the next generation actually does look at this and does look at the ingredients. So firstly I think that is changing. I think except for maybe Is there a factor of affluence or is that India won largely?

India won. India won for sure but I also think it's awareness. So that 120 million people will care about these things.

Very much. Very much. And the 120 care more about it now because there is more information available online and content and so on.

So I think there are people talking about it so there is more awareness.

[Speaker 1] (2:06:58 - 2:07:33)

So we did add on this. So every time you are going to build a brand which is in a cluttered category you can either build it by aspiration or education. So you can either aspire people for your product to buy them that your product is significantly better value or you can educate them about the efficacy and the stuff that you were talking about.

So for example Minimalist did the exact same thing. Minimalist came here started educating people on certain ingredients, certain things which were always there. But nobody talked about it so honestly and transparently.

And that's what works. So either you educate people or you aspire people to do and build your brand in a certain way.

[Speaker 2] (2:07:33 - 2:07:35)

Especially in a cluttered category.

[Speaker 1] (2:07:35 - 2:07:36)

Cluttered category.

[Speaker 2] (2:07:36 - 2:07:37)

That's what I'm talking about.

[Speaker 1] (2:07:37 - 2:07:56)

Like when you do basic product you need to be because and this works by the way even in tier 2, tier 3 villages as well. You educate them on certain things. They buy.

So this works. So we did health. Kind of helps but not necessarily the only factor in determining which product you would pick.

[Speaker 4] (2:07:56 - 2:07:56)

Yeah.

[Speaker 1] (2:07:57 - 2:09:26)

What about and we said breaking down the ingredients using what is not harmful matters to the 120 people 120 million people in India 1. What about sustainability and climate change? I see like whenever I look at a pitch from a consumer facing brand everybody by default has health, sustainability.

These things are very generic and common. Clean beauty. If everybody is doing them is there any value left in them?

I think it should be done. But is it a sales point in the manner that people are selling it? So there are three phases of any beauty brand or FMCG.

This I am only learning from Korea because Korea has been ahead of it. So there were three phases. First one was beauty.

Just like beauty products they will come with a certain level of value. You buy it, function and you go ahead. Second was performance.

So performative beauty they call it. Functional beauty they call it. They spot on say this product will make your acne disappear.

Functional. Solves the problem. Very soft.

And then third level comes with the clean beauty. Because I don't think in India performative beauty is being deployed so well. Clean beauty this is my view I think we are far from that.

But I am telling you we looked at 100 pictures from brands in food and beauty. And 95 of them have sustainability written in their pitch deck somewhere. It's like how AI was in tech in the last 5 years.

[Speaker 2] (2:09:26 - 2:09:37)

Everybody had to put it on a pitch deck. But I think it's a pitch deck thing. I don't think it's a differentiation thing.

In my view I mean the real question is will somebody pay a premium for it? I think the answer will be almost yes.

[Speaker 3] (2:09:37 - 2:09:39)

Same thing about organic also in a way.

[Speaker 2] (2:09:40 - 2:10:04)

Correct. I am saying will somebody pay a premium for it because it costs more to get to be sustainable? The answer is almost always no.

If the answer to that is no there is no economic model. So I think should one do it and be responsible the answer is yes. Is it a selling factor for a customer to be able to pay more?

My current sense is no. Kishore would you like to go with the insights like some of them from

what we are discussing?

[Speaker 3] (2:10:05 - 2:11:14)

I think we when we started understanding the new age consumers who are digital first consumers and we looked at their color of pursuit the new lifestyles and we found something very interesting. We found a group of a lot of women coming together and getting into especially in restaurants you can see them bunch of them together not in the evening time not in the morning time you used to see them. I think it's happening because of a lot of free time and people want to go out and experience a lot of new things and I think getting that freedom to go out then there is a chemical know it all like we were mentioning a child wants to read everything behind so there are a lot of consumers now who wants to live read everything what's written on the back of the pack and they're very conscious about the ingredients getting used.

Another community we are looking at is gated communities people who live in gated apartments and yeah it must be the Belandur community I don't know. So this is another community. So I think community and I think they have a lot of common interests they play a lot together.

[Speaker 2] (2:11:15 - 2:11:17)

We try and play a lot together too.

[Speaker 3] (2:11:18 - 2:11:26)

And another huge another lifestyle which is eggs free life. I don't want gluten. I don't want this.

I want this.

[Speaker 1] (2:11:26 - 2:11:45)

Well I think there are so many no's in the preferences of So in a way are you saying India is now so broad and diversified that instead of saying we will build for even India a which is 120 million people you need to break it down to micro niches and build specifically for them.

[Speaker 3] (2:11:45 - 2:11:55)

You can build a brand around that and then it can expand to because ultimately you have to enter a category. Is that how a brand should be built 0 to 1 identifying a micro niche not going too broad?

[Speaker 1] (2:11:56 - 2:11:56)

You can't go broad.

[Speaker 2] (2:11:57 - 2:11:58)

Very difficult to build.

[Speaker 3] (2:12:00 - 2:12:37)

You have to become the big fish in a pond first. And then enter in somewhere like how Mamarth entered in. And now they have expanded into many many categories.

Would that also mean for categories which are really large with ITC and HUL and Marico and all these companies there is no point wasting time to try and compete with them? I think they know that they have a very strong balance sheet and ultimately every brand which is getting built which will be successful will be bought over by them. Because they will take it to that next 200 to 1,000 crores.

So no point building there. No, they have the distribution, they have the reach.

[Speaker 2] (2:12:37 - 2:12:41)

Directly competing with one of their products without some differentiation, I think there's no point.

[Speaker 3] (2:12:42 - 2:13:19)

They don't allow you. Earlier we had a brand called Tasty Treat which was into biscuits and we garnered quite a substantial market share. In Bourbon we captured 3%, in Wafer Biscuit we captured 25%.

But the amount of cases they came after us on everything. By cases what do you mean? Your brand is identical, similar.

They'll find something or the other. They will not let you survive. They believe that shelf space and the mind space belongs to them and it belongs to nobody.

And they will not let anybody come into that. And when they buy you, do they buy you at a premium?

[Speaker 2] (2:13:19 - 2:13:23)

Yes. I think all the recent D2C purchases have been at a premium.

[Speaker 1] (2:13:23 - 2:13:26)

But I think the odds of succeeding there are so low that you should not attempt it.

[Speaker 2] (2:13:27 - 2:13:29)

That's what I was going to say. I think it's not bad.

[Speaker 4] (2:13:30 - 2:13:30)

Yeah.

[Speaker 3] (2:13:31 - 2:13:36)

And because they can't do that innovation, they can't build it. And secondly, you have to start somewhere in a niche.

[Speaker 4] (2:13:37 - 2:13:37)

Right.

[Speaker 3] (2:13:37 - 2:13:43)

Not that Catchwell has not attempted. They attempted something like a good life. Long name.

[Speaker 2] (2:13:44 - 2:14:13)

I think it didn't work. Yeah, yeah. So I think the niche thing is because see, can you compete?

So I think the only counter to that is my sense. And I think even that is changing quite rapidly. If you asked me three, four years ago, I would say most of the big players were not digitally very good.

So you could actually still create some scale online and then figure out a way to see if that was enough. I don't think that's true anymore. I think all of them are now quite good digitally.

And so I would certainly not go head-to-head competition, especially if you're starting.

[Speaker 4] (2:14:14 - 2:14:14)

Right.

[Speaker 3] (2:14:14 - 2:14:29)

Would you like to go with another insight? Kishore is the OG. He can give us hundreds in a line.

I would say if somebody has to start a brand around something, I would rather do it for gamers and gamblers. There's not a single brand for them and they are huge in numbers.

[Speaker 2] (2:14:30 - 2:14:31)

Gaming company?

[Speaker 3] (2:14:31 - 2:14:32)

People who game a lot.

[Speaker 2] (2:14:33 - 2:14:36)

Okay. Chair for them, keyboards for them.

[Speaker 3] (2:14:36 - 2:14:39)

Whatever. No, no, maybe some brand around them.

[Speaker 2] (2:14:39 - 2:14:40)

Brand around them as well.

[Speaker 3] (2:14:41 - 2:14:56)

You will be subconsciously talking to them in a particular way and they will relate to you. Midnight Scrollers, that's a huge community. Like New Tropics, stuff like that.

Not that product. I think they are a group of people who have a community. They're a community by themselves.

[Speaker 2] (2:14:56 - 2:15:00)

They're a community and can you build a product for the community. So you're not talking about utilitarian stuff.

[Speaker 4] (2:15:00 - 2:15:01)

It's positioning.

[Speaker 2] (2:15:03 - 2:15:05)

That's the way of hitting a micro niche.

[Speaker 1] (2:15:07 - 2:15:08)

Another insect?

[Speaker 2] (2:15:11 - 2:15:11)

This is good.

[Speaker 3] (2:15:13 - 2:16:08)

Like my daughter wanted to get into something around children. So we thought of getting into through a furniture brand. Not a furniture brand but getting into furniture as a category.

But then she thought of a name that how can we design it around the child and how you can work around the well-being of the child and the imagination of the child and child's growth. So we called the brand Smartsters. We entered through a category which is very niche.

Study tables. India has 2.5 crore babies produced and even 12% of that is 30 lakhs in the community which we want to make them spend money on. Then into beds.

We can get into toys. It's much around childhood.

[Speaker 1] (2:16:09 - 2:16:19)

But like if I slept on a Smartsters bed from when I was 5 to 15, when I'm 22 and making a shopping decision will I remember Smartsters? You will not.

[Speaker 3] (2:16:19 - 2:16:21)

But we are getting to that audience only.

[Speaker 2] (2:16:21 - 2:16:34)

There's enough of a replacement market. I think children's market. It's for some reason there are not many large brands.

There's not a single brand. So I think there's a huge opportunity in children's clothes, children's accessories.

[Speaker 3] (2:16:34 - 2:16:42)

So this brand now can be extended into clothing also but very limited line of clothing which talks educational messages.

[Speaker 1] (2:16:42 - 2:16:56)

Another very like intrinsic to the conversation question I had. How important is it to have many SKUs if you're starting a new brand in fashion, clothing, cosmetics?

[Speaker 2] (2:16:56 - 2:16:57)

It's a great question.

[Speaker 3] (2:16:57 - 2:17:15)

Or is it better to start a brand with fewer SKUs? I think it depends on the category you're getting in. Let's talk about fashion.

In fashion, I would say if you're doing a D2C, not more than 60-70 options to start with. And that's

across sizes. Sizes are separate.

[Speaker 2] (2:17:15 - 2:17:21)

So 60-70 options in full size sets. I would agree with that. I think the only…

Sizes are separate.

[Speaker 3] (2:17:29 - 2:17:34)

Sizes are separate. manage otherwise. Is there a way to build these brands?

[Speaker 1] (2:17:34 - 2:17:37)

You create a bunch of inventory and keep it.

[Speaker 3] (2:17:37 - 2:18:00)

So you're able to fulfill? I believe that I come from a physical world and the digital world is very different in fashion. And I believe digital brand in fashion has to do X number of stock turns able to rotate it how fast?

[Speaker 2] (2:18:00 - 2:19:29)

How much? It's working capital management, Nikhil, right? So I, by the way, fully agree.

I think firstly, the only tweak I have is in general, online values width more than depth. The reason is purely algorithmic. What happens is you have 600,000 SKUs in a month.

Number of SKUs that are tagged to a same brand name is one weightage in an algorithm that basically then says you're a large brand and therefore you get automatically more visibility. So width is valued more than depth because you have no shelf space limitation in the online world. Therefore, by definition, when you're doing it online versus offline, you need more options, right?

I 100% agree, I think, with Kishore. I think in online, I'm going back a little bit to my McKinsey sort of days, right? It is important to think about what I call design for fast turnaround, right?

And what I mean by that is, by the way, you know, a standard lead time for making a product, maybe 60, 90 days, but we don't operate like that. So the question is, what can you standardize, right? So can you keep the same fabric and can you customize it, right?

Can you sort of dye the fabric different colors but keep the base fabric, gray fabric the same? So I think quick turnarounds, which is, I think, Kishore's point, and thinking about a manufacturing back-end supply chain that works with width is really critical. Incidentally, by the way, I think it's equally critical for beauty.

[Speaker 1] (2:19:30 - 2:19:32)

Can you start a beauty brand with 60, 70 SKUs?

[Speaker 2] (2:19:33 - 2:19:33)

You need much fewer.

[Speaker 3] (2:19:34 - 2:19:36)

So you need much less, right?

[Speaker 2] (2:19:36 - 2:19:39)

Like 5 SKUs, 10 SKUs? Yeah, so 10 SKUs you're fine.

[Speaker 3] (2:19:40 - 2:19:47)

I said 60 options, not SKUs. What is the difference between 60 designs? In all sizes.

[Speaker 2] (2:19:48 - 2:19:56)

Stock-keeping unit versus a, right, option. But I think it's, you know, I think this width versus depth is, I think, one of the most different, interesting things.

[Speaker 3] (2:19:56 - 2:19:58)

totally in the digital world.

[Speaker 2] (2:19:58 - 2:20:18)

In the digital versus the, and I think again, this is an interesting growth hack. If you can figure out a backend system that can churn out fast number of options that get catalogued very quickly, you can sort of build on generative AI so that cataloguing becomes faster, then you have another sustainable advantage, right, to figuring out how do you actually win in this.

[Speaker 1] (2:20:18 - 2:20:34)

What is the role of AI in all this? Tomorrow, will there be a time where I go online, I think of what kind of T-shirt I want, what kind of cosmetic product I want, AI generates it for me right away and ships it to me?

[Speaker 2] (2:20:35 - 2:22:15)

So, I think there is very, I'm sorry to sound more mundane and boring, but I think there is real value in data science and machine learning in the business operations of fashion. So, I just want

to take a minute to do it. I think, I'll come to the most extreme example, we did some of that experimentation, but I think it's more an experiment in the Mintra world, right, but I'll tell you what the most difficult problem in fashion is.

It's actually demand forecasting. At some level, how much inventory to make, what to make, what to et cetera, and have that ready. I think if you use machine learning and data science algorithms, we're using it now, you are able to forecast with better accuracy, right?

What are the factors, what are the moving parts? So, the biggest thing is the same SKU, right, option SKU doesn't repeat. What a machine learning algorithm is able to figure out is what you call a clustering.

One black dress is similar to another black dress, which is similar to another black dress, therefore use the history of the previous data to predict what a new option is going to do. If you can get that algorithm right, then your ability to forecast accurately becomes much better. And if you have more and more data, which you do in an online world, you're able to do it dramatically better.

I'll give you another interesting example. If you take pricing, when you discount a product when the inventory keeps going down, and what do you price it at? Actually, it's a very difficult problem to do and most people do it unscientifically.

You can change your price. converted into a science. It's fully, I mean, we have converted it, right?

So, for example, for us, one of the big tech products that we build is pricing. It's data science-led pricing. Again, you have a volume price elasticity curve for every SKU.

It doesn't matter whether it's a fashion SKU, my fitness SKU, etc. for the algorithm.

[Speaker 1] (2:22:15 - 2:22:22)

How relevant or cardinal is delivery time? Say, we're talking about platforms, right?

[Speaker 2] (2:22:22 - 2:22:22)

Yes.

[Speaker 1] (2:22:23 - 2:22:31)

If you can bring manufacturing time down to, 24 hours, will you eventually get to a world where you don't need to have any inventory?

[Speaker 3] (2:22:31 - 2:23:03)

Somebody orders you manufacture and ship? Nikhil, you know, when 3D manufacturing came about, we thought supermarkets will be over. There'll be 3D manufacturing machine.

You go there and produce whatever you want and take it home. But it didn't work. It didn't happen.

But supermarket is wide in terms of raw ingredients. But a lot of products could have been made. A lot of things could have been made.

Maybe the raw material was the monopoly. Something was there. Otherwise, 3D manufacturing could have solved almost every product.

Especially fashion, it seems to make sense. A lot of things. A lot of home goods.

[Speaker 2] (2:23:04 - 2:23:33)

No, you're saying fashion, you're saying no inventory or 3D manufacturing. So I think it's a very difficult, I mean, theoretically anything is possible. But I would say, I think it's a little bit far away in my view.

I think, is it possible to use machine learning to reduce inventory and reduce wastage? The answer is absolutely. And I think it's differentiated enough that if you build this as a real capability, you know, you get 2, 3, 4 percentage points more.

Or profits, that makes a big difference.

[Speaker 1] (2:23:33 - 2:23:46)

I saw some devices. I think the reason I buy a lot of things offline, not online, especially shoes, like my running shoes which I wear in the gym for example, is you have to touch them and feel them.

[Speaker 2] (2:23:46 - 2:23:46)

Yes.

[Speaker 1] (2:23:47 - 2:23:48)

Is there a solution to that problem ever?

[Speaker 2] (2:23:49 - 2:23:49)

No.

[Speaker 3] (2:23:49 - 2:24:14)

No. I think there has been some development, but not there yet. But it might come about.

But the sense of touch and that emotion and the feel which you go through, still long, long time. So you're saying for those categories, don't even attempt to build online businesses? It might change to a certain extent.

I think there will be.

[Speaker 2] (2:24:14 - 2:24:28)

I mean, my read, by the way, is look in shoes. I think there's touch, feel and size. Size, by the way, today you go on Myntra, there's a size finder for you.

It turns on the camera of your phone, there's 3D and you get the size. You still don't get the touch and feel, but you solve a third of the problem.

[Speaker 1] (2:24:28 - 2:24:49)

But let me get more specific. We have an investment in a common friends company called Vedu. Main street marketplace.

High-end sneakers. Do you think if I'm buying a shoe for 800 rupees or 1000 rupees, I would be okay with punting online? But if I'm buying a shoe for 10-20 thousand rupees, I would never shop online?

[Speaker 2] (2:24:50 - 2:25:11)

No, it's not true. You would? I would still shop online.

I think what is different though is the level of trust in the person who sells it needs to be dramatically higher. It is true that beyond 5000 the volumes drop precipitously. And you would have used the brand once.

[Speaker 1] (2:25:11 - 2:25:24)

What if I've not used? We're talking about people who are building a new brand. Are we saying that if you're going 0-1 in a new brand, say for example, if you want to build a sneaker priced more than 20,000 rupees online?

[Speaker 3] (2:25:24 - 2:25:25)

Very difficult.

[Speaker 2] (2:25:25 - 2:25:26)

Very difficult online.

[Speaker 3] (2:25:26 - 2:25:27)

Don't attempt it.

[Speaker 2] (2:25:27 - 2:25:31)

I won't buy it. I would not do it. You go offline in that case.

[Speaker 3] (2:25:32 - 2:25:40)

I think people will take it to their homes. Here is what you can solve.

[Speaker 1] (2:25:40 - 2:25:47)

If you see genuine user testimonials, you might buy it online. Does anyone believe that anymore?

[Speaker 2] (2:25:48 - 2:25:54)

I think people do believe it. Reviews and ratings people believe. I think they obviously do a little bit of research.

[Speaker 1] (2:25:54 - 2:25:57)

saying you can buy it.

[Speaker 2] (2:25:57 - 2:26:13)

Just to be very clear so people don't get the wrong views. I don't think it's okay to get fake reviews. I do think it's okay to solicit reviews which are honest reviews.

It can be a bad review.

[Speaker 1] (2:26:13 - 2:26:16)

Amazon will send you an email saying can you review this.

[Speaker 2] (2:26:16 - 2:26:26)

That's right. So I'm not for a minute talking about getting reviews randomly. I'm saying by the way do it in an actual manner.

Hopefully a product is also a good one. So people will give you a good review.

[Speaker 1] (2:26:26 - 2:26:37)

Another big thing online shopping they say 20-30% are fakes. If you can't trust a platform to tell you it's Can I tell you the core of what the problem is.

[Speaker 2] (2:26:37 - 2:27:02)

It's actually a very nuanced problem. This is from my days. 30 plus percent of products in fashion get returned.

The return goes to a warehouse. There is a warehouse guy who cannot understand the difference between one Nike and another Nike. Let's say the customer returns a different Nike to you.

There is a chance that it can go into the inventory.

[Speaker 3] (2:27:02 - 2:27:13)

It happens. Is that how most people talk about online? Of course.

There are scamsters who have been created out of this new economy. So people are buying correct shoes and then return a fake shoe.

[Speaker 1] (2:27:14 - 2:27:17)

Is it that hard for Amazon to imprint a barcode?

[Speaker 2] (2:27:18 - 2:27:43)

I think everything can be solved. By the way, people find new ways around it. For example, we used to sell ethnic wear.

One of the things we did was put a tag that is really difficult to take off. People would buy ethnic wear, go for a wedding, go for the occasion, and then return it. You have a 15-day or a 30-day return policy.

[Speaker 1] (2:27:44 - 2:28:00)

So should we say here that there are so many savvy scamsters out there, if you're building a brand 0-1 in cosmetics, fashion, shoes, whatever, be really careful with forming a returns policy because you will likely get scammed.

[Speaker 2] (2:28:01 - 2:28:03)

Not at all, Nikhil. It's very small.

[Speaker 1] (2:28:04 - 2:28:16)

I was just saying that in fashion specifically, necessarily, these are not scamsters. A large majority of people just believe in buying three options, trying one of them, and then return the other.

[Speaker 2] (2:28:18 - 2:29:21)

No, but my sense by the way is firstly, if you're starting a new brand, unless it's a very high-end brand, I would not worry about doing fakes and returns. The reason is you're not a Nike. The reason, by the way, they're doing some of that is because it's a Nike shoe, right?

You know, if it's brand X or brand Y, they're not going to do it. So I would not worry. However, can I just reframe it?

I think you should worry about fit and return percentages if you're in fashion. What is a fit and return? So, in fashion, in beauty, and everywhere in e-commerce, there are returns.

It's the nature, it's a shopping feature because you don't touch and see. Returns actually can change the economics of a business because if you have 30%, 35% coming back, you pay for the reverse logistics, the inventory gets stuck, et cetera. So as you think about launching a new product, getting your fit right and communicating that fit through an image is again a very important thing because otherwise what happens is you launch a product and you find that it's sold very well.

Month two, by the way, 50% comes back. You have a real problem. So I think getting the fit right is important.

[Speaker 1] (2:29:21 - 2:30:09)

So next, we'll go into Raj's insights from building brands around influencers. Unfortunately, we missed the boat and we only got 1% or something in this brilliant company he's building. And now he's raising a round which is three times as big as the last one so we can't afford it anyway.

But maybe you tell us some insights around the influencer piece and how to build brands around content and distribution which is individualistic in nature. So I'll tell you, I don't think brand building is different in offline world or a digital first or a social first. Brand building fundamentals are same.

I just feel that every time a new generation of buyers come, there's a layer added to be added.

[Speaker 4] (2:30:10 - 2:30:10)

Yeah.

[Speaker 1] (2:30:11 - 2:30:13)

So the first set of brands were built on function.

[Speaker 4] (2:30:14 - 2:30:14)

Okay.

[Speaker 1] (2:30:15 - 2:30:29)

The second set of brands were built on emotion. Now, so function plus emotion. Right.

Now I think the brands are going to be built on function, emotion, and community. So that's what we're talking about. So that's the basic insight of what we're trying to do.

[Speaker 4] (2:30:29 - 2:30:29)

Right.

[Speaker 1] (2:30:29 - 2:32:20)

So to give it more in like to simplify it better, like my product needs to be better than all the other products or has to be some differentiative distinctive value. It has to stand for certain level of emotion. For example, let's say Red Bull is adventure.

Okay. So that's an emotion that you appeal to an emotion. So is your brand becoming an emotion?

Right. I keep giving example because the most common one. Yeah.

And then I think the third layer which is getting added is the attention in the community part. So if you don't have the community of people who can who are technically acting as evangelist for you, it gets very difficult beyond a point to build a brand and to scale it. So that's like to mix all of these three.

That's where the influencer comes in picture. So we as a company, we crack function and emotion for a product. And then we take on influencers attention and community building ability and their community to mix all of these three things.

So that's how I think the brands of the future are going to be built. It's already happening around US where prime drinks we saw. You guys know prime drinks, right?

In a year, 250 million dollar sales. Then same thing happened with Mr. Beast Feastables which is now I think declining a bit. Yeah.

What is working for say Fenty Beauty, Mr. Beast, these guys but is not working for say for example Bollywood because none of the brands propagated by Bollywood seem to be working. Here's what I feel, I can't say at large celebrities around the world. I can talk about two problems which I see with Bollywood celebrity-led problem in India.

First, authenticity. Okay. So I was just telling you about a stat that Gen Z's believe in advertising.

They're okay with it. They trust seven out of ten Gen Z's believe in influencer marketing as well.

[Speaker 4] (2:32:20 - 2:32:20)

Yeah.

[Speaker 1] (2:32:20 - 2:33:08)

They're fine. But if as an influencer I'm telling them and trying to organically push it by not disclosing that this is an advertised product they don't believe it. In fact, there's a cancel culture going on.

They're like, this is a lie, he sells anything. So you have to be very honest about it. So that's the first thing.

So I think with Bollywood celebrities and stuff, the authenticity is not getting built. That's the first. Second, so is there not a lot of I'll just add to this and like why I believe this thing.

The second and the most important thing in India specifically few Bollywood brands that have started. One day they come up like and be like, hey, this is my brand. Use it.

There's no backstory. An actor is changing every year as per the roles and the storytelling that they're doing.

[Speaker 4] (2:33:08 - 2:33:08)

Right.

[Speaker 1] (2:33:09 - 2:33:24)

There's no certain level of values which are getting built over the years. With an influencer for five years they're building on one value. But does that mean cricketer brands work?

So cricketer brands work because they only have one value. But which cricketer brand is really working in India? Virat Kohli and Puma.

[Speaker 2] (2:33:24 - 2:33:31)

I think by the way that's not his brand. It's an endorsement. But I think by the way for me the most interesting one I mean still playing out but HRX.

[Speaker 3] (2:33:32 - 2:33:32)

Yeah.

[Speaker 2] (2:33:32 - 2:33:33)

It's by the way something that we.

[Speaker 3] (2:33:33 - 2:33:34)

But that's an outlier.

[Speaker 1] (2:33:35 - 2:33:35)

No.

[Speaker 2] (2:33:35 - 2:33:45)

Sorry. By the way that's true to community then. It's very true.

And it's completely true what you said which is it's consistent with Hrithik's personality. I think he genuinely believes in fitness.

[Speaker 3] (2:33:45 - 2:33:48)

Can I ask you a question? Tiger Shroff started Proud.

[Speaker 2] (2:33:48 - 2:33:49)

Why didn't it work?

[Speaker 3] (2:33:51 - 2:33:58)

But Tiger is more India too. Yeah? Yeah.

And that's why.

[Speaker 2] (2:33:58 - 2:33:59)

I think that's one.

[Speaker 3] (2:33:59 - 2:34:01)

Hrithik is India one still.

[Speaker 2] (2:34:01 - 2:34:07)

Sorry that's one. I think the other thing also is I think Hrithik by the way was India one was consistent also picked the right platform.

[Speaker 3] (2:34:07 - 2:34:08)

And the right product also.

[Speaker 2] (2:34:09 - 2:34:11)

I was coming to the product and platform both were very good.

[Speaker 3] (2:34:12 - 2:34:14)

You had the distribution and the reach also. Correct.

[Speaker 1] (2:34:15 - 2:34:18)

Also I believe that the simple theory which I.

[Speaker 3] (2:34:19 - 2:34:29)

I always see a celebrity making a wrong fit between the cohort of the customers. Can I derive on that thought and ask you which celebrity should create what kind of a brand?

[Speaker 1] (2:34:29 - 2:34:35)

One or two examples? Ranveer Singh. Protein.

Should build an energy drink.

[Speaker 2] (2:34:36 - 2:34:37)

Energy. Energy.

[Speaker 1] (2:34:37 - 2:34:39)

Energy. Energy, protein, anything.

[Speaker 2] (2:34:39 - 2:34:41)

Energy. Energy I think would be the one.

[Speaker 1] (2:34:41 - 2:34:44)

I think Ranveer Singh can also pull off a sexual wellness brand very well.

[Speaker 2] (2:34:44 - 2:34:44)

Yeah.

[Speaker 1] (2:34:44 - 2:34:45)

Which he's also doing I think.

[Speaker 2] (2:34:45 - 2:34:46)

He's doing that.

[Speaker 1] (2:34:47 - 2:34:53)

And what should I sell if I were a brand what would I sell? This is interesting. You wouldn't tell me the truth otherwise.

[Speaker 2] (2:34:54 - 2:34:54)

Quite luxury.

[Speaker 3] (2:34:59 - 2:35:12)

So every every star would have some value system. Some values which one has to as a brand. Like Katrina has built a beauty brand.

Has it done well though? That's not done badly. That's done well actually.

[Speaker 2] (2:35:12 - 2:35:16)

Nike eventually bought it. The products are also good by the That's doing well.

[Speaker 3] (2:35:16 - 2:35:19)

What happened to Deepika? I don't know how well it is doing.

[Speaker 2] (2:35:19 - 2:35:29)

I think it is overpriced. It's very early days also. It's also high ASP.

I don't think it's doing well. It's overpriced. Don't know but the price points are very high.

Deepika and Anant are friends.

[Speaker 1] (2:35:31 - 2:35:32)

So he will defend.

[Speaker 2] (2:35:33 - 2:35:38)

No I mean if the product is good more power to her to be successful. I don't know if it's successful or not.

[Speaker 1] (2:35:38 - 2:36:57)

Can I also add something? I think what we were saying all three of us in the beginning you need to have a differentiative product in the beginning. Even if you're selling two products.

So I was telling you it's easier to build an addition category than a replacement category. And lot

of celebrities have done like a replacement category. Can you broaden that thought?

What is addition? So it's like let's say if I am I love skin care routines. I have already a three-step skin care routine.

I buy a let's say a face wash, a cream and a sunscreen. I should like somebody should not sell sunscreen to me. Somebody should sell one added product not try to replace what I existingly believe.

What could that be? So that could be let's say scrub on 15 days once in 15 days. That could be a night cream that could be a serum before I apply my moisturizer.

And how does somebody build the need for a product outside of the three? That's what he said a long term keyword like long tail keywords you try to find out. You also try to do the Google search where you try to see search volume watch categories are growing up.

And then you try to find out products where there are not enough products where you can build a category. So if already there's something existing at large which has destroyed with you with your community and attention are going to tackle on the same thing. I think there are higher chances of failing.

[Speaker 2] (2:36:57 - 2:37:35)

The other thing that I think celebrity led brands need to be thoughtful about is how do you get the product right? See, I'll tell you all of the detailed assortment planning, price planning for HRX. It was all done by the Myntra Private Branding at some level.

It's a joint, it's a collaboration and so on. But I think you should not confuse your values and what you want to stand for with product expertise. Two very different things.

Was that at your time, HRX? Yes. Did you work on it like with him?

Yeah, yeah. See, I'll tell you, I think the first is athleisure as a space was growing.

[Speaker 4] (2:37:36 - 2:37:36)

Category, yeah.

[Speaker 2] (2:37:36 - 2:38:09)

It was a category that I think was a good bet on. Second, it was very consistent with them. Third, in India by the way, you have Puma, Reebok, Nike, Adidas, and then nothing.

Right? So, this was at 50% of the price point. And therefore, very affordable, applies to India 1.

I mean, it wasn't an India 2 product, it was an India 1 product. But it was a differentiated offering

in a growth market and it made athleisure accessible to many. And they didn't overuse Rittik also.

So, you're not shouting on the top. No, no, you're not shouting on the top.

[Speaker 4] (2:38:09 - 2:38:11)

Raj, I have a question for you. Okay.

[Speaker 3] (2:38:11 - 2:38:12)

What watch are you wearing?

[Speaker 1] (2:38:14 - 2:38:17)

Watch? Watch? Yeah.

Cartier? Cartier? I don't know.

[Speaker 2] (2:38:17 - 2:38:18)

Okay.

[Speaker 1] (2:38:18 - 2:38:39)

What shoe are you wearing? Jordans. What T-shirt are you wearing?

T-shirt is Senses. There's a small brand. What cell phone are you using?

iPhone. What trousers are you wearing? It's a tailor-made trouser.

Why? If I were to sum up your consumption, what car do you drive?

[Speaker 2] (2:38:40 - 2:38:40)

BMW.

[Speaker 1] (2:38:41 - 2:38:43)

If I were to sum up his consumption.

[Speaker 2] (2:38:43 - 2:38:49)

His consumption is dramatically greater than mine. I think it's the one conclusion I come to. You're signalling right now.

But that's okay.

[Speaker 1] (2:38:50 - 2:38:53)

We know about your wine collection. Let's not go there.

[Speaker 2] (2:38:54 - 2:38:54)

Virtue signalling.

[Speaker 4] (2:38:54 - 2:38:55)

It's a problem.

[Speaker 1] (2:38:55 - 2:39:30)

I thought it hit Bangalore less than other cities. But it seems to be coming here. But why is why is why are Indian made brands such a small component of you?

This is Indian. This is Indian. These are only two things.

Yeah. But out of the 50 lakhs of spend you told me you're summing up for thousand rupees. Including your car.

On the fun side, I'll tell you the shoes and the watch is given by my brother. So let's just put it that way. But like coming to the point.

But I'm guessing you're not wearing Bata. Bata is actually Italian.

[Speaker 4] (2:39:32 - 2:39:33)

That's not even Indian.

[Speaker 1] (2:39:34 - 2:39:50)

But why is that? You? So I think I tell you the major reason is because we've not been exposed by the brands to build a signal value which are Indian.

Okay. So give an example.

[Speaker 4] (2:39:51 - 2:39:51)

Yeah.

[Speaker 1] (2:39:51 - 2:40:35)

So something let's say so I'm in that phase where right now I'm just making money. I want to show off my preferences and choices. Like I want to put that out.

What I love about what he's saying is unlike so many other people I've spoken to, he's not virtue signaling. It's a beautiful quality. Like he didn't evade the question that he drives a BMW.

I think it's such a thing that should be appreciated. Like you did a little bit and he did not. I think it's such a disservice to society where people pretend to be saints.

And I'll tell you this. The people who pretend to be most saintly are the most immoral of them all. I'm not talking about you.

[Speaker 2] (2:40:37 - 2:41:01)

I think by the way, you know, I think you have a little bit of what actually signaling is, which seems to impact a little bit more. I don't think it's as serious, right? I think it's a casual thing.

I think people behave very differently. I think exercising too much importance to signaling of various kinds is also a problem. Right?

I think that's also a reverse problem.

[Speaker 1] (2:41:01 - 2:41:03)

But this is signaling. This is mainstream now.

[Speaker 3] (2:41:04 - 2:41:18)

Like whatever you're doing in life, if it's you. By the way, I developed a philosophy which has worked very well with me is whatever you do in life, the heart and the mind has to converge. Yeah.

And I have no problem with anything ever. Yeah.

[Speaker 2] (2:41:18 - 2:41:33)

I, by the way, fully, I mean, it's hard to not agree, I think, right, with some of this. But I think my point is you do what you feel comfortable with. I don't think you should judge signaling, reverse signaling or any of it.

I think each to each their own.

[Speaker 3] (2:41:33 - 2:41:40)

The question is, are you doing what you're truly I think you're learning about your personality and that will reflect on your behavior and your actions.

[Speaker 4] (2:41:40 - 2:41:41)

Yeah. And I'm saying that's okay.

[Speaker 2] (2:41:41 - 2:41:51)

Knowing a personality type, it doesn't mean by the way that you, I think you should absolutely own what you are. Yeah. But I think it is okay to have very different what you want.

[Speaker 4] (2:41:52 - 2:41:52)

Yeah.

[Speaker 2] (2:41:52 - 2:42:00)

I think that's the point. Which is fine. But the question underneath this all is, are you what you are?

[Speaker 1] (2:42:00 - 2:42:07)

Are you signaling what you are? Or are you trying to be what you think you should be? And that in itself is a signal.

[Speaker 2] (2:42:07 - 2:42:37)

I think it's a very difficult sort of complicated question. But my answer by the way is actually quite simple. I actually believe that whatever I feel comfortable with, I do.

I don't particularly need to sort of be contrarian in order to sort of prove a point either. Right? I mean, just to put this in perspective, right?

I mean, just because you don't have consumption in one way doesn't mean you don't consume in another way. I mean, to each our own, right?

[Speaker 4] (2:42:38 - 2:42:38)

Yeah.

[Speaker 2] (2:42:39 - 2:42:43)

You consume in wine and not consume... Yeah, yeah. Each of us does it in our own way, right?

[Speaker 3] (2:42:43 - 2:42:57)

And I think what you enjoy... I have a... Like, I always believe that I am what I am.

Inside, outside, I have always been the same. But the other side of the spectrum, the people who are judging you, don't look at you that way. A lot of people misread me.

[Speaker 4] (2:42:57 - 2:42:59)

Yeah. I get that.

[Speaker 3] (2:42:59 - 2:43:08)

Because people believe you are pretentious, you have something else. And I have faced these issues quite a lot. You know, this is something I'm only realizing for myself now.

[Speaker 1] (2:43:08 - 2:43:29)

I spend the vast majority of my life pretending to be something I thought I should be by virtue of my peer group, society, the people I looked up to, all of that. I'm not there yet, but I think I'm, I've started being a lot more authentic in life and it's so refreshing. If somebody asked me like questions, right, I'm like, yeah, that is me.

[Speaker 3] (2:43:29 - 2:43:32)

Now, am I hurting you? If I'm not hurting you, it's my business.

[Speaker 2] (2:43:33 - 2:43:33)

Yeah.

[Speaker 3] (2:43:34 - 2:43:35)

As long as I'm being included in it.

[Speaker 2] (2:43:35 - 2:43:36)

No, no, I agree.

[Speaker 3] (2:43:36 - 2:43:50)

Secondly, maybe when I was much younger, I used to be judgmental. If he's like this, he used to be like this. But I think now I'm totally out of judgment.

I don't judge anybody by whatever he's wearing or whatever he's driving.

[Speaker 1] (2:43:50 - 2:43:51)

He's itchy to say something.

[Speaker 3] (2:43:52 - 2:43:55)

I can see the lips moving, but the sound not coming out.

[Speaker 2] (2:43:55 - 2:44:03)

No, no, no, no. I agree a bit with Kishore. I still find myself judging too much.

Yeah. And I think you have to consciously avoid it.

[Speaker 1] (2:44:03 - 2:44:06)

No, I was a lot judgmental, crazy.

[Speaker 2] (2:44:06 - 2:44:06)

Okay.

[Speaker 1] (2:44:07 - 2:44:11)

And I feel like that's the thing to inculcate and encourage people to do is stop judging.

[Speaker 2] (2:44:12 - 2:44:12)

Yeah, yeah.

[Speaker 1] (2:44:12 - 2:44:19)

Everybody like, you know, I agree. Everybody is constantly judging and taking joy and pulling other people down or like.

[Speaker 2] (2:44:20 - 2:44:32)

You have opinion great, but you know. Yeah, but I think and the other thing I like what you mentioned, which is you do whatever you want as long as it doesn't hurt someone else. Don't get right.

I mean, if you're causing harm, then it's different. But otherwise, I think it shouldn't matter.

[Speaker 1] (2:44:33 - 2:45:38)

Interesting thought coming back to Raj. Okay. Sorry for digressing.

Continue. What was I telling? We were talking about different Indian brands.

Right. So we, as I tell you, okay. What was cool for us till now, as I was growing up, American movies, American sports stars and American brands, because they were limited.

They were not accessible. They were like, you know, you don't see all of your friends wearing Jordan at one point. You don't see all everybody driving German cars, everybody wearing a certain level of, let's say, European watches and stuff like that.

But you can't see that. I can see that. No, actually, I can't see that Kishore can see that.

We saw the world kind of come out of socialism hyphen communism. Yes. Being cool to

becoming uncool.

Russians can say that the Chinese can say that because they were oppressed for a certain amount of time and they're overcompensating for a period of time. But I think India largely has been open since the 90s, right? I'll tell you, more than 90s is like where I've been born and brought up.

[Speaker 2] (2:45:39 - 2:45:41)

My city, my neighborhood.

[Speaker 1] (2:45:41 - 2:46:18)

Got it. There was, I don't remember in like 300 houses in my colony there even one guy had like a BMW. I remember when we were growing up, in my school, I was the coolest guy in 12th class.

That's 12th. When I bought a fast track. So because I come from that, I'm not talking about larger India.

I'm just talking about my apartment. And I remember bringing in a way I came up. I used to look at other people and then as my, so now my brother started going, my brother studied in UK.

So I was, I didn't study there. He studied there. So he got exposed to all of this.

And then he started getting exposed to all of this and he started telling us about all of these things.

[Speaker 2] (2:46:18 - 2:46:59)

I started following, I started finding now these little things online and I was like, wow, even I like it. I think there's an opportunity since you're talking about brands in Indian luxury. I think, you know, I would prefer an Indian luxury.

I think there is. Yeah. And I think there is.

You mean ethnic or you mean? No, no. I think Indian luxury.

I don't mean ethnic, right? I think there's an opportunity for handcrafting for luxury. I think across a range of categories, I think, you know, five years ago, seven years ago, I would have said no, but I think now there's a lot of meaning.

People want to actually have some sense of origin in place. I don't think you can build a very large business. But I think you can certainly build a very interesting brand.

[Speaker 1] (2:47:00 - 2:47:04)

And would you say somebody should sell that through the lens of patriotism because that could work?

[Speaker 2] (2:47:04 - 2:47:14)

It could work. I don't know what a patriotism. No, I think luxury, you should not sell with patriotism.

But I think artisans and all that you can do. I don't know whether it's patriotism or not.

[Speaker 1] (2:47:15 - 2:47:19)

But artisan and storytelling is now you're supporting a larger cause, not patriotism.

[Speaker 2] (2:47:20 - 2:47:26)

Patriotism is like a very, very different emotion. No, but you're saying made in India, right? Is that something that I think can work?

[Speaker 3] (2:47:26 - 2:47:29)

I think the first brand which is being built in luxury is Sabya.

[Speaker 2] (2:47:30 - 2:47:30)

Yeah.

[Speaker 3] (2:47:31 - 2:47:33)

And if you look at the new store. Ultralux.

[Speaker 2] (2:47:33 - 2:47:44)

Because he owned a culture. I think it's very interesting. I think so.

Because he owned a culture. No, no. And I think he's taken it global.

I mean, the New York store. I mean, it's like quite interesting. So I think there is an opportunity here for sure.

[Speaker 3] (2:47:45 - 2:47:50)

But that's ethnic. I'm talking about. But he's doing a lot of other products also.

[Speaker 2] (2:47:50 - 2:47:51)

If you look at his bags.

[Speaker 3] (2:47:52 - 2:47:53)

Jewelry. I think.

[Speaker 2] (2:47:53 - 2:47:55)

See, I think there's a story there.

[Speaker 1] (2:47:56 - 2:49:02)

So all of these brands, if you look at luxury brands, they're built around culture. If you pick on that culture and then sell a story, it's that. Okay, influencer brands.

What else to keep in mind? Say I'm starting a brand in cosmetics. I want to partner with say actor X, Y, whatever.

What should I look out for in the actor which should resonate with the product I'm building? And how do I go about it? What do I watch out for?

What will work for me? First you have to write down. So you have completely skipped the Y category, Y product.

You've chosen that. No, tell me that also. It has to be additional.

It can't be replacement. It can't be at a price lower than what is available in the market right now. It has to be at a slightly higher price because it has to feel like upgrade.

Yes. What else? So apart from that, now how you go about choosing a celebrity or an influencer?

I think first you should choose people who are at the tipping point. Not really big, not small. Because if you build like if you build with number one, there's no way going up.

Like it's just there's someone number two, number three, number five waiting to replace that.

[Speaker 2] (2:49:03 - 2:49:03)

Right.

[Speaker 1] (2:49:03 - 2:49:36)

So for example, if you want to build with Virat Kohli, I don't think this is the right time. It was like he's already at a peak. I think you should build it with someone.

This is my theory. You should build it with that because they are on a tipping point. So you're betting for because as they grow your brand will also grow.

Is there a number you can attach to social media influence? Let's say for example Virat Kohli has a hundred million followers on Instagram. More than number I would say.

So, okay. Don't go with anyone who's under million. Let's just put that.

[Speaker 2] (2:49:36 - 2:49:37)

Okay. Right.

[Speaker 1] (2:49:37 - 2:50:06)

If you want to build it. But more than that, what really matters is do they have a potential to go to let's say 15 million or 20 million or 15 million. Doesn't matter you catch them at 1 million or 5 million or 8 million.

Do they have potential to go 10x from here? Is the question that you should be asking. And how do you gauge that?

So there are a couple of signs. One is tipping point based on how fast they have gotten to where they have gotten. Second is, is there a science of repeating what they are doing?

So for example, let's say pick up a musician or an artist.

[Speaker 4] (2:50:06 - 2:50:06)

Right.

[Speaker 1] (2:50:06 - 2:50:17)

If somebody is like, hey I sing from my soul and heart and I do this. You know that you have to go deeper and talk to this guy like at a certain level to figure out. Because soul and heart is not going to work for long.

[Speaker 4] (2:50:17 - 2:50:17)

Right.

[Speaker 1] (2:50:17 - 2:52:29)

Right. It definitely work. You need to have that eventually.

But does this guy understand science behind spreading the music the way it spreads? Example. Right.

So do they understand the science and the craft of what they are doing so that they can do it at scale with larger people? That's the first thing that you figure out. Second is, are there

establishments pumping money on them?

So for example, if there is a musician, think are there global music brands or labels putting massive money on them or no? Or if there is like a mainstream YouTuber, are there larger consumer brands who have made them brand ambassadors or putting money on them? Because what happens these guys, like these larger establishments will pump money and make your small influencer a larger influencer and put in upfront.

So you don't end up putting that much money on them. So that's the second and the most. Third is, the emotion that they stand for.

Every creator, every celebrity has some kind of emotion in their PR story. If it's Shah Rukh Khan, it's like success story and love. If it's about, let's say talk about 10 gamers.

There are 10 gamers playing 10 games. And playing same games at the same time. But they all have different communities.

Because one would stand for Rags to riches story. One would stand for humor story. One would stand for adventure and being just like a very wild creator.

So you need to catch on a specific emotion and then map that emotion with the brand that you're creating. So these are the first three signs that you pick on before you choose a celebrity. And then, the fourth and the most important thing which is that, do these creators want to build a brand with you?

And they think that brand is going to be as significant in their life as their music career or their influencer career is or not. Because if they see you as somebody that, hey, I'm going to do it as a brand endorsement. I'll just come today and do it.

Can you summarize this for us? I'm a new guy creating a new brand. I have 50 lakh rupees to start a brand.

Let's say cosmetics. Three main points I would look to find the right partner who is a popular person, influencer. First, if they're asking you for money, don't work with them.

Okay. Only share equity.

[Speaker 2] (2:52:29 - 2:52:30)

Only equity.

[Speaker 1] (2:52:31 - 2:52:57)

Don't do anything. Because if they're asking for money, they're technically downsizing their risk. You don't want to work with that partner.

Pick them before they become really popular. Yes. Pick them before they're really popular.

Third is, choose on the emotion. Like, what are the people talking about? What is their emotion?

What do they stand for? What are the certain level of pattern they've built? Because if you look at Shah Rukh Khan, he'll only play movies where he's emotionally available for women.

That's like a pattern that he's picked up. Interesting. So, everybody has this pattern.

[Speaker 2] (2:52:58 - 2:52:58)

Yeah.

[Speaker 1] (2:52:58 - 2:53:16)

That's third. Then, the most important thing that becomes really important when you're working with an influencer is, are there more people creating content on them? Like, are there enough fan pages and community creating content on them?

[Speaker 4] (2:53:16 - 2:53:16)

Right.

[Speaker 1] (2:53:16 - 2:54:03)

If they're only creating content and that's only getting out in the world, it's technically not that great of an influencer to work with. Because you need people who announce something. Who write about them.

So, you need someone who just talks about something and then there are fan pages and communities and other people to create content on them. You are a great creator. Right?

People create content on you. So, that's a picking up on that. So, you need to pick up on that.

And I'll add the last layer of influencer led brands. Can your influencer organically create content which doesn't look like sales around the product that you're building with them? Because if your creator has to come up and be like, Hey, buy my water bottle.

And in their entire life they've never talked about water or bottle.

[Speaker 4] (2:54:03 - 2:54:03)

Yeah.

[Speaker 2] (2:54:05 - 2:54:18)

It's just gonna be, it's gonna be bad. Yeah. You know, I, just as an aside, on topic on this, I actually once had the chance to meet Kris Jenner and the Kardashians just during my Myntra days.

[Speaker 1] (2:54:18 - 2:54:21)

You have a parallel life with Deepika and Kardashians and all that, right?

[Speaker 2] (2:54:21 - 2:54:29)

No, no. It's all business, man. I mean, I don't have any time for socializing.

So, anyway, I met them. 10 cheers. 10 cheers.

Signaling.

[Speaker 4] (2:54:29 - 2:54:30)

Signaling. Not pretentious.

[Speaker 2] (2:54:32 - 2:55:15)

I'm gonna live with my signalling and own my signalling. Right? So, it's very interesting.

I think your fourth point or maybe the third point was the most biggest thing. I think, I don't think they did any of this consistent yay or all of that. But they knew the engagement level of their followers and they knew the number of followers and they knew they wanted to build a business that would last beyond them.

I don't know whether there's a certain mindset of an influencer which I think is perhaps the most important for success. I think, you know, for example, Hrithik, right? Wanted to build a legacy.

I think wanted to build something. I don't know if that, I mean, maybe the equity part is the part that sort of makes that come alive. But for me, I think getting that right more than anything else makes this successful, right?

I think that's why they built such large brands.

[Speaker 1] (2:55:15 - 2:55:21)

Because you need to understand your community, right? Because Kim Kardashian understood her shape wear was the most talked about.

[Speaker 2] (2:55:21 - 2:55:22)

That's why she started.

[Speaker 1] (2:55:22 - 2:55:26)

Kylie understood her lips were the biggest thing that was catching on.

[Speaker 2] (2:55:26 - 2:55:26)

Look at the cosmetics here.

[Speaker 1] (2:55:26 - 2:55:54)

Each of them. And how do you recognize these trends in the market? Like, it's constantly changing, right?

Like, all these women were very voluptuous at one point. Now they're skinny. Like, the needs and the trends that sell in a market are constantly changing.

So if I'm starting a brand today, how do I recognize that trend? Where do I look at it? Is it a top-down funnel?

Should I look at the Kardashians, see what they're doing and build a brand around that? Or would that be ahead of its time?

[Speaker 3] (2:55:55 - 2:56:00)

I think we have to keep our eyes and ears open and you have to follow anything which is getting popular.

[Speaker 2] (2:56:00 - 2:56:01)

I think so.

[Speaker 3] (2:56:01 - 2:56:03)

And you'll always find something or the other.

[Speaker 1] (2:56:03 - 2:56:08)

Would it be fair to say what the Kardashians are doing now will be popular in India in X amount of time?

[Speaker 2] (2:56:08 - 2:56:18)

I don't know. I don't know. I don't think so, right?

Eventually we didn't bring them to India because I don't think it actually appealed. Right? So, I think it has to be local to your market.

[Speaker 1] (2:56:18 - 2:56:44)

The belief system is different everywhere. So I don't think what works there will work here. Right.

Any other insights? Influencer, please. What else?

How much equity do you give them? Depends. So we started 50 to somewhere like around 10 to 20 percent.

Depending on the amount of time they give? No, no. Depending on the category and the investment which will be required for us to build it versus what they bring on table.

[Speaker 2] (2:56:44 - 2:56:46)

And they only put time, no capital?

[Speaker 1] (2:56:46 - 2:56:47)

No. They don't put capital.

[Speaker 2] (2:56:48 - 2:56:49)

But they share.

[Speaker 1] (2:56:49 - 2:56:54)

But the sharing is on the profit level. Not on any licensing, any royalty, nothing else.

[Speaker 2] (2:56:54 - 2:56:57)

So there's no percentage of revenue that they get? Nothing. Blah, blah, blah, etc.

[Speaker 1] (2:56:57 - 2:56:59)

If the brand makes money, it makes money.

[Speaker 2] (2:56:59 - 2:57:00)

Otherwise you don't get it.

[Speaker 1] (2:57:00 - 2:57:05)

He's done a perfume, a cooker. No, a perfume mixer. And the third one is?

[Speaker 2] (2:57:06 - 2:57:06)

Beauty. Beauty.

[Speaker 1] (2:57:07 - 2:57:21)

And each of those brands are selling 2 crores? No, no. Not right now.

Third brand is getting launched in October. But first and two together, they're doing around 2-2.5. No, got it. Which is only like 3-4 months ago.

[Speaker 2] (2:57:21 - 2:57:30)

Yeah, yeah. It's great. But I'm saying, but the interesting thing is it's really when the brand makes money, you get some portion of the profit, not otherwise.

And you give them only equity.

[Speaker 1] (2:57:30 - 2:57:41)

And this is very tricky. Like we have a fund around consumption and you know, it's called Collective Gruhas. And we were looking at stats of popular people who launch brands.

[Speaker 4] (2:57:41 - 2:57:41)

Yeah.

[Speaker 1] (2:57:42 - 2:57:57)

We were looking at, let me not name her, but one very popular actress with over 50 million followers who launched a certain brand recently. It only sold like a few hundred. So, I don't think it's the popularity that is key.

[Speaker 2] (2:57:57 - 2:57:57)

Oh yeah.

[Speaker 1] (2:57:58 - 2:58:03)

It is the combination of all these factors. Too many factors. Plus there's a big thing versus being known and being influenced.

[Speaker 2] (2:58:03 - 2:58:26)

You have an influencing power versus being known. No, no. And that's one.

The second is what I was earlier saying, right? I think you have to separate out product price value proposition from influence. I think you cannot sell, I mean, even to India 1, right?

Yeah. You cannot sell something very, what they don't want. So I think your assortment of this

has to be left to, I wouldn't say professional, but at least some experts.

Right? Me too you can't sell.

[Speaker 3] (2:58:27 - 2:58:32)

We had a very interesting state in our earlier economy on, we used Sachin as a brand ambassador.

[Speaker 4] (2:58:33 - 2:58:33)

Yeah.

[Speaker 3] (2:58:34 - 2:58:57)

We created a brand, Sachin brand represented his childhood and every mother or parents wanted somebody to be like Sachin. That was the brand essence on which we worked. It didn't work as much.

We worked with Jai Surya, Henshik Roney, Mark Vox, it worked phenomenally well. All the foreign stars. Then we had Dhoni.

I think that was just phenomenal. Yeah. And very early days when he had long hair.

[Speaker 4] (2:58:57 - 2:58:58)

Which one?

[Speaker 3] (2:58:58 - 2:59:02)

FBB. We created a whole campaign. Which brand was this?

FBB.

[Speaker 4] (2:59:02 - 2:59:04)

Okay, Fashion Big Bazaar. Yeah, Fashion Big Bazaar.

[Speaker 3] (2:59:04 - 2:59:06)

So we changed our name that time with Dhoni.

[Speaker 4] (2:59:06 - 2:59:06)

Yeah.

[Speaker 3] (2:59:07 - 2:59:22)

And we continued with Varun Dhawan, Katrina. So it's been a journey. But misses was, not many misses.

We used to take two stars, one from the east and one from the north. So we used Bipasha.

[Speaker 2] (2:59:23 - 2:59:23)

Right.

[Speaker 3] (2:59:23 - 2:59:42)

Because in India today to launch a brand, a D2C brand, you need two stars. One from the south and one from the north. Kishore's daughter is building some incredible brands.

Would you like to talk a little bit about it? Because people watch, look it up. I think they are in the journey.

Would you like to say? They are a company which they are building as a venture builder.

[Speaker 4] (2:59:43 - 2:59:43)

Okay.

[Speaker 3] (2:59:43 - 3:00:10)

So they are building ventures. Zero to one. Everything is zero to one.

And they build around nine ventures. Which is your two favorites amongst the nine? Which are your two?

I think there is a new one which is coming up. Which is going to be a new lifestyle space for the new age brands, influencers, creators. It's a new departmental store.

What is it called? It's going to be called Broadway. Oh.

So it's a departmental. It's a live theater. It's a F&B.

It's a supermarket. It's a beauty store. Oh, interesting.

[Speaker 1] (3:00:11 - 3:00:12)

Experience. Yeah, experience.

[Speaker 3] (3:00:13 - 3:00:15)

We are starting live commerce there.

[Speaker 4] (3:00:15 - 3:00:16)

Yeah.

[Speaker 3] (3:00:16 - 3:00:31)

And there is a maker's lab. You can show how your product is being made. There is a content studio.

Everything is ticketed. Ten events a day. Big events.

There is definitely an opportunity for you to collaborate somewhere. That's the first store which we are. I think that's looking good.

[Speaker 4] (3:00:31 - 3:00:32)

Second favorite?

[Speaker 3] (3:00:33 - 3:00:38)

I think second favorite is the Smartsters as a brand.

[Speaker 2] (3:00:39 - 3:00:40)

Smartsters as a brand.

[Speaker 3] (3:00:40 - 3:01:12)

Yeah. Because we went into furniture and now getting into other categories. And how do you go about acquiring the client then?

I think the same. What? Physical, digital, all together.

I don't believe in that theory of 0 to 20, 20 to 50, 50 to 100. I don't believe in that theory. I believe brand has to be right.

The positioning has to be right. And you have to keep on acquiring customers. Keep on learning on the way.

If your brand is wrong, nothing is going to go right. The one thing like I have a point of contention on, like by the time this comes out, this deal will probably be done.

[Speaker 1] (3:01:12 - 3:01:26)

But we are doing Blue Stone. So like me, Ranjan, and Sanjeev Pichandani are doing it together. What worked incredibly well for them is when they were online only, they plateaued at a certain

point.

[Speaker 2] (3:01:26 - 3:01:27)

And they had to get to offline too.

[Speaker 1] (3:01:27 - 3:01:39)

The minute they went to offline, they scaled by a crazy factor. Work for Blue Stone did not say, for example, work for Nika. Nika stores did not work.

[Speaker 2] (3:01:39 - 3:02:53)

So can I tell you the difference in my mind? One is a brand, the other is a platform. I think they are two very different things in my view.

By the way, I fundamentally believe, I think that more than 100 crores without offline, it's very hard to sort of build over time. I think we've talked about this earlier. Carrot Lane, Blue Stone, I think even more important because the ASPs, the price points are very high.

Therefore, you need even more. I think if you're a platform and not a single brand, then by the way, platforms work on traffic and choice. Brands, by the way, you're establishing through this offline, you're establishing trust, you're establishing touch and feel.

Can we talk about that a little bit? Do platforms work today? Of course they do.

Yeah. Of course they do. I mean, Myntra, Nika, Amazon, all are platforms, right?

Of course they work. They aggregate. What do platforms do?

They've spent money to aggregate traffic and their brand stands for something. Myntra, you know, is great brands at great prices. Right?

Nika, I think, is around beauty and now, of course, extending into other categories like fashion, etc. But I think they've established a loyal set of customers who keep coming back regularly for choice and delivery.

[Speaker 1] (3:02:53 - 3:03:10)

If I were to switch it up, we spoke about zero to one if you're creating a brand. If you're an investor looking at platforms, how would you value them multiple-wise? Would you look at GMB?

Would you look at sales? Net sales. Net sales?

And what multiple would you attribute?

[Speaker 2] (3:03:11 - 3:03:13)

Again, depends on the delivery and the profitability.

[Speaker 1] (3:03:14 - 3:03:17)

A lot of them are going so broad that they all are becoming the same.

[Speaker 2] (3:03:17 - 3:03:55)

No, no. I think there's a vertical versus a horizontal. I mean, verticals are people who focus on one sector versus not.

See, look, I mean, I think eventually the question is can you make a ton of money? I mean, I think you can't get away from free cash flows at some level. So the question that you have to believe at some level for a platform is at what percentage market share can you start to make real money?

And that varies. In Amazon in the US it took 20 years or whatever. I forget the exact number of years before it started generating money.

So I think that's how you'll start to have value. I think it's a little bit more not your current cash flows. It has to be some projection of future cash flows.

[Speaker 1] (3:03:55 - 3:04:08)

Even if you were to leave cash flows, because very few of them have positive cash flows. If you were to look at a net sales multiple, would you say, like we discussed earlier, you said for 4 to 6x is roughly the range. For beauty and fashion 4 to 6x.

[Speaker 2] (3:04:08 - 3:04:11)

But not for platforms, right? No, no, not for platforms. I'm saying this was we discussed for brands.

[Speaker 1] (3:04:11 - 3:04:15)

Yeah, obviously. Do you think ONDC kind of things are a threat to platforms?

[Speaker 2] (3:04:16 - 3:04:48)

No. I think ONDC can be maybe in the long... I think they're not a threat to platforms.

I think they can unlock smaller players in terms of selling. Right? Smaller brands in terms of selling.

Because it allows you to have direct access. What does a platform do? Platform has spent all its

money on traffic and brand.

Right? ONDC doesn't solve the problem. ONDC disaggregates the different parts of e-commerce.

Right? I think it's very useful. I do think ONDC can add value to brands.

I'm not sure they're a replacement to platforms.

[Speaker 1] (3:04:49 - 3:04:52)

What I think will happen if you were to ask me like I'm no expert in this field.

[Speaker 2] (3:04:52 - 3:04:53)

No, no. But it'd be interesting to hear you.

[Speaker 1] (3:04:53 - 3:05:01)

I think the margins like when I value a platform play ONDC I think will drive down the margins of platforms.

[Speaker 2] (3:05:02 - 3:05:03)

Considerably. Got it.

[Speaker 1] (3:05:03 - 3:05:37)

Because I might not take the arbitrage if the price difference is 5%. But if the price difference is paying 30% on Flipkart versus 5% on ONDC. I think a lot of people by virtue of word of mouth will go for it.

And another very like cardinal question I missed is different platforms have different business models. Like Amazon has a warehouse where they'll stock and then supply and all of that. Let's say for example Nika has a different one.

Flipkart has a different one. What model is working today and what will work tomorrow?

[Speaker 2] (3:05:38 - 3:06:39)

So there are sort of fundamentally two models just to simplify this. Maybe I'll take this as an e-commerce platform question. One is what's called a pure play marketplace.

A pure play marketplace purely connects buyers and sellers. The inventory sits with the brand and the brand ships it out to the customer. That's one model.

The other model is what is called fulfilled by the platform. You can have fulfilled by Amazon, fulfilled by Flipkart, etc. There the inventory physically sits in a Flipkart warehouse or a Myntra

warehouse or an Amazon warehouse.

Right? These are broadly the two different models. What works well for what depends on volume and value.

If you're selling gardening equipment or if you're selling anything which is bulky then going through an Amazon or a Flipkart model where it's in their warehouse is always cheaper because they can get it to all parts of India, they can get it to you faster, etc. If you're selling a fashion product maybe doing a pure play marketplace from your own is fine because you can still get it to them. It doesn't cost you that much more.

So it's purely economics driven I think. In my mind. So it's volume value ratio.

[Speaker 1] (3:06:40 - 3:06:53)

Right. If you had 1 crore rupees and you had to build a brand today, I'm going to go through each one of you. What would you do?

Where do you see the opportunity? How would you do it? Like give me a 30 second answer.

[Speaker 3] (3:06:53 - 3:06:54)

Can we start from them?

[Speaker 1] (3:06:54 - 3:06:55)

I want to know their answer.

[Speaker 3] (3:06:56 - 3:07:09)

Kishore, would you like to? Like my background has been clothing and all other categories. I would look at opportunity in two places.

One is household wares to create a brand out there. Household wares mean?

[Speaker 2] (3:07:09 - 3:07:09)

Home decor.

[Speaker 3] (3:07:10 - 3:07:44)

Not home decor. I would say anything which goes into home. The cutlery, the crockery, any household goods.

Why? I think that's an interesting product category which people keep. They buy quite often in a way that there are new designs which can be created.

You can enter this market easily through new design sensibilities or through something else. Another thing which I would do will be in fashion. Try to do at least 10-12 stock tons in whatever you design towards.

If you had to figure your differentiation, what would it be? Like maybe a single color.

[Speaker 1] (3:07:45 - 3:07:49)

A brand which only does one color. One color. That's very interesting.

[Speaker 3] (3:07:49 - 3:07:50)

What color would that be?

[Speaker 2] (3:07:51 - 3:07:53)

It's already done. It's kingdom of white.

[Speaker 3] (3:07:54 - 3:08:04)

But white might be done. There might be so many other colors. There are many options.

You can do a particular fabric. You can do a particular thing. But I'm again looking at longevity, whatever you do.

Right. Like black, I think, is an ingredient.

[Speaker 2] (3:08:04 - 3:08:06)

Yeah, could be. Right.

[Speaker 3] (3:08:06 - 3:08:07)

Okay. Your turn.

[Speaker 2] (3:08:07 - 3:08:10)

I would do pets.

[Speaker 1] (3:08:11 - 3:08:12)

What around pets?

[Speaker 2] (3:08:13 - 3:08:38)

I would do accessories for pets as opposed to food, I think. Accessories, you mean like? Leashes, pet cleaning, pet grooming.

I think it's a market with high gross margins. You can create differentiated products. I think it's a 10-year sort of growth story.

The other area I would think about is actually athleisure. I still think there is lots and lots and lots of space.

[Speaker 1] (3:08:38 - 3:08:40)

I think my bliss club is trying to do Lululemon.

[Speaker 2] (3:08:40 - 3:08:52)

Bliss club is doing it with its life. So, you know, yeah. So, I think there is one.

But I think there are many that can actually happen. And I think it's a trend that I think and I would like to it's an interesting one to incubate.

[Speaker 1] (3:08:53 - 3:08:55)

Can I tell you, I'm a Lululemon fanatic.

[Speaker 2] (3:08:55 - 3:08:56)

Yeah. Okay.

[Speaker 1] (3:08:56 - 3:09:14)

I'm talking socks, t-shirts, pants, underwear, bags, caps, everything. It's like Nike plus 25%. If you buy it in the US or in Canada or whatever.

Whatever I have tried like which wants to be like Lululemon.

[Speaker 2] (3:09:14 - 3:09:15)

Nothing has come close?

[Speaker 1] (3:09:15 - 3:09:17)

Not. Forget close.

[Speaker 2] (3:09:17 - 3:09:17)

From a fit standpoint?

[Speaker 1] (3:09:18 - 3:09:51)

Just from a comfort. Comfort and fit? Like Lululemon has no branding, right?

They never have a logo or anything. You even pull out their tag. So, there is no tag even.

The entire thing is I feel like how you can move in that fabric? How you can sweat in that fabric? How how light and comfortable that fabric feels?

Like I wish I had stock. Unfortunately, I have zero stock of Lululemon but it's like a 40 billion dollar company now. How can anyone ever compete with them?

If they have that much resources and money to make better fabric, better fit, better everything?

[Speaker 3] (3:09:52 - 3:10:07)

The longitude of any fashion business is not so large because you're as good as your last season in a fashion business. But is that fashion or is it fashion plus tech? I think fashion plus tech, there are two players who have played it.

Maybe Lululemon, somebody in athleisure and Uniqlo. Uniqlo.

[Speaker 2] (3:10:07 - 3:10:07)

And both have been very successful.

[Speaker 3] (3:10:08 - 3:10:15)

And both have been quite successful. But tech earlier never used to work in fashion. But I think another thing to tell our people is Sorry, sorry.

[Speaker 2] (3:10:15 - 3:10:38)

I have just one thing just on that. I, by the way, think you don't need to compete with the Lululemon. I think there is again in India one there are multiple segments.

I think the Lululemon segment is probably living in the building like a few other buildings and so on, right? I mean they're aware global brand. I don't think it's particularly expensive but I think it is something that is still premium.

[Speaker 1] (3:10:38 - 3:10:39)

It's like Nike.

[Speaker 2] (3:10:39 - 3:10:41)

I think a t-shirt will be 4-5000 rupees.

[Speaker 1] (3:10:41 - 3:10:43)

Nike plus 30 percent.

[Speaker 2] (3:10:43 - 3:11:13)

Nike plus 30 is it? Okay, fine. I mean it's not available widely here either.

Anyway, so but I think there is an affordable athleisure that I think even the Bliss Club What is Bliss Club known for? I think it's fit. Right?

And therefore fit in a following. I think it's possible to crack fit. I actually think Indian body types are different.

By the way. So I think if you build an Indian athleisure brand you can build it for India. You can build the fits, right?

I think the fabric technology I mean Kishore knows this better but I think it's widely available. I mean you have to go global but I think it's widely available.

[Speaker 1] (3:11:13 - 3:11:30)

I think it's like a science like just making a Lululemon say shirt or t-shirt the way it feels it could be placebo talking. Right. I might be like talking out of my a** here but it genuinely feels It can be sold out.

[Speaker 3] (3:11:30 - 3:11:30)

Yeah.

[Speaker 2] (3:11:31 - 3:11:32)

Correct. Fanatic.

[Speaker 3] (3:11:32 - 3:11:36)

And I think he is following more because it's a 40 billion dollar company more than India.

[Speaker 2] (3:11:36 - 3:11:39)

I find it very interesting. The stock price or the fit? Or both?

[Speaker 1] (3:11:39 - 3:11:48)

Both. I feel like Patagonia Lululemon These are brands which are built around stories. No, it's not a lifestyle.

[Speaker 2] (3:11:48 - 3:11:59)

Actually Lululemon created a lifestyle. Even Patagonia, right? I mean what a great story.

Where I mean he donated all of his shareholding to I feel like that's becoming such a big part of building a brand.

[Speaker 3] (3:11:59 - 3:12:03)

And I think anyone That's what we always said greed, fear and altruism. Altruism builds a brand.

[Speaker 1] (3:12:04 - 3:12:11)

Zero to one I think has to like so bear in mind with what he just said because that story has to start from the beginning to the end.

[Speaker 4] (3:12:11 - 3:12:11)

Yeah.

[Speaker 1] (3:12:11 - 3:12:12)

It can't change along the way.

[Speaker 4] (3:12:13 - 3:12:13)

Interesting.

[Speaker 3] (3:12:14 - 3:12:19)

We have an interesting brand which is like IDFC Bank. Very stories about altruism.

[Speaker 2] (3:12:19 - 3:12:21)

Correct, correct, correct. We're pro.

[Speaker 3] (3:12:22 - 3:12:24)

Yeah, we're pro. We're pro. Even Tata in a way.

[Speaker 2] (3:12:25 - 3:12:25)

Yeah.

[Speaker 3] (3:12:26 - 3:12:30)

Raj? I would build men's beauty brand.

[Speaker 1] (3:12:32 - 3:13:39)

And New category. New category. It's growing.

I think men are equally insecure about how they wanna look. Or maybe just wanna improve the way they wanna have their under eye. Or like you know just hide their dark spots, blemish, everything.

And I think there's not enough there are not enough brands to do it. That's why. Is that more acceptable?

Can I ask this question? Because there is I don't know that many men who wear makeup. I probably don't even know one.

But there is such a stigma around a man wearing makeup. Would you package it in a manner where it does not sound like makeup? Yeah, so here's a way to do it, right?

If I come and give you that Hey, here's let's say XYZ concealer and stuff like that. And you put it under your eye. You do it.

Probably a large majority of men would buy it today. But if I come up with a different form and just be like this is gonna sort your under eye. And don't call it like concealer or something.

What would you call it? I don't know. It's not in the back of my head.

I can't think of it. But I'll think of it package it in a different way.

[Speaker 4] (3:13:39 - 3:13:40)

But it has to be a problem solution.

[Speaker 1] (3:13:40 - 3:13:44)

Problem solution. It's just under eye is a problem. Here's it is.

[Speaker 4] (3:13:45 - 3:13:45)

Functionality.

[Speaker 1] (3:13:45 - 3:14:26)

So that's what because I think there's not enough brand. Would you get a celebrity who is the epitome of masculinity to sell something like this? So because I do most of the creator and celebrity led.

I would in this because there's such a fresh category I would rather pick up on people who are normal just like me than celebrities and build on their stories. For example? For example, I'll give this to 100 people for free.

Ask their reviews. And make their reviews as a story like this is the new thing for men as well. In which influencer would you pick?

I would do very micro influencers. I would do 100 small influencers. Then like become like a big influencer.

Is that a new trend in branding? Like would you go to thousands of micro versus macro?

[Speaker 2] (3:14:27 - 3:14:28)

Yeah. Yeah. Absolutely.

[Speaker 1] (3:14:28 - 3:14:46)

Because this is in this category I'm not selling aspiration. In this category I'm solving a problem. So if there was an aspiration or a community play probably I would have picked up on a larger influencer.

But because I'm only picking up on a problem and solution because the category doesn't exist. You have to invest a lot in category building and category creation.

[Speaker 4] (3:14:46 - 3:14:46)

Yeah.

[Speaker 1] (3:14:46 - 3:14:56)

Then I'll do it. I have an investment in a company called Co-Fluence which is probably the leading tech of aggregating micro influencers. This is with Quant?

[Speaker 2] (3:14:57 - 3:14:57)

No.

[Speaker 1] (3:14:57 - 3:15:27)

No, no. Co-Fluence is with Sriram in Hyderabad. Oh, Sriram.

Yeah, yeah. But I'll tell you this ecosystem has changed so much. I think the influencer ecosystem, right?

So such a spike with gambling money, crypto money, all of that. Suddenly there seems to be like a vacuum which has come about there. There is a reworking of the ladder of how much which influencer gets paid which is going to be so drastically different from last year.

It's chaos in that industry.

[Speaker 4] (3:15:27 - 3:15:27)

Interesting.

[Speaker 1] (3:15:27 - 3:15:50)

Co-Fluence by far is the best in my opinion. But I think that industry needs a fresh funnel like yesterday. Yeah.

Of people spending marketing money behind it, micro influencers. Yeah, definitely. In fact, there was a survey recently that you get convinced by your friends the most.

Friends and family. Second, you get convinced by people who you follow but are not that known.

[Speaker 4] (3:15:50 - 3:15:50)

Yeah.

[Speaker 1] (3:15:51 - 3:16:04)

And third, you get convinced by influencers. The celebrity in this comes like sixth or seventh number. And somehow people have this stupid notion that the efficacy of Indian nutraceuticals will be lesser than foreign ones.

Right. Somebody has to break that.

[Speaker 2] (3:16:04 - 3:16:04)

Correct.

[Speaker 1] (3:16:04 - 3:16:08)

So if somebody creates a brand there, it has to be around proven efficacy.

[Speaker 2] (3:16:08 - 3:16:14)

Proven efficacy. I think efficacy has to be the key. And I think there's a very interesting opportunity there as well.

For sure. Anyway.

[Speaker 1] (3:16:14 - 3:16:20)

If I had, I just remembered something. If I had to create a brand today, I think it would be around seniors.

[Speaker 2] (3:16:20 - 3:16:22)

Yeah, we spoke about it.

[Speaker 3] (3:16:23 - 3:16:27)

Seniors and I think interesting. There is somebody working on it already.

[Speaker 2] (3:16:27 - 3:16:27)

Yeah.

[Speaker 3] (3:16:27 - 3:16:32)

I feel like the influencers I would hire would also be old people who are still relevant.

[Speaker 2] (3:16:32 - 3:16:32)

Yeah.

[Speaker 3] (3:16:33 - 3:16:36)

That is one of the new consumer groups we have identified in the new top 30.

[Speaker 4] (3:16:37 - 3:16:37)

Very interesting.

[Speaker 2] (3:16:39 - 3:16:40)

I think it's an opportunity.

[Speaker 3] (3:16:40 - 3:16:43)

I'd say it's an opportunity that not many people are fighting over.

[Speaker 2] (3:16:43 - 3:16:45)

to give all their wealth to their children. And not competitive.

[Speaker 3] (3:16:45 - 3:16:47)

No, they are not wanting to give all their wealth to their children.

[Speaker 2] (3:16:47 - 3:16:47)

Yeah.

[Speaker 3] (3:16:47 - 3:16:49)

They want to enjoy life. Right.

[Speaker 2] (3:16:50 - 3:16:53)

So their ability to pay, it's not particularly competitive. Interesting.

[Speaker 1] (3:16:53 - 3:17:05)

One point of failure when you were starting a brand 0 to 1 that happened, that you think other people can learn from. What not to do. One common reason why brands starting will fail.

[Speaker 3] (3:17:06 - 3:17:12)

I think we did, I think in my journey we counted, we did close to 120 brands or labels or whatever you call it.

[Speaker 4] (3:17:12 - 3:17:13)

Yeah.

[Speaker 3] (3:17:13 - 3:17:48)

And I would say we must have got 20 wrong. And whenever we analysed what went wrong was the name, the type style, the logo, what you call it, the, what you call the brand codes, the category codes being wrong. And product and the pricing.

So these were all the reasons for. If you had to pick the top reason? I think it's sometimes just the name.

Wow. The name is incredibly valuable. And the logo.

Name and logo. Yeah.

[Speaker 4] (3:17:49 - 3:17:49)

Wow.

[Speaker 1] (3:17:49 - 3:17:50)

Anant?

[Speaker 2] (3:17:50 - 3:18:09)

Thinking. I think for me, I think when we have compromised quality for speed of launch, it's been bad. Right?

So for example, you have a deadline to launch. Right? You need to sort of.

[Speaker 3] (3:18:09 - 3:18:12)

But I believe that's all hygiene. Product has to be right only.

[Speaker 2] (3:18:12 - 3:18:22)

No, no, but I'm saying, by the way, you know, it's my failure we're talking about, not yours. Fair enough. So I think, you know, my sense is, for me, I think it is a little bit of, you know, product quality.

[Speaker 3] (3:18:22 - 3:18:24)

I think we are soon reaching four o'clock.

[Speaker 2] (3:18:26 - 3:18:53)

Yeah. It's getting well beyond my bedtime. So, I think it's basically for me when we've compromised on quality.

Not quality, but whatever, right? All the small details. Some shortcuts, yeah.

Shortcuts, right? You know, you have not got the fit completely right. You have not got the packaging completely right.

And you sort of push for speed. Right. I think that's actually been, and the consequences last for a very long time.

Right. You don't realize it. But I think, therefore, taking the time to do it is important.

[Speaker 1] (3:18:54 - 3:19:22)

One mistake, I think, I'll go with more of when you start as a solo founder and you have just two, three people eventually. I think very, very basic thing I want to tell, like, I think we should prepare a checklist and go through that checklist every month of hygienic details. Giving you example, I made a major mistake when first time I started selling on Amazon.

Just the tax, I chose luxury good instead of essential. Yeah, yeah. We spoke about this.

[Speaker 2] (3:19:22 - 3:19:23)

Yeah, yeah, yeah.

[Speaker 1] (3:19:23 - 3:19:32)

Just, I was selling essential goods. I was selling disinfectant sprays. Yup.

And I chose luxury goods. And that costed me 22 percent. Right.

[Speaker 2] (3:19:32 - 3:19:33)

What is that, GST?

[Speaker 1] (3:19:33 - 3:19:47)

GST. And that was 22 percent. I mean, it changes everything. Can you not change it?

No. I can change it after once I figured out. But the cycle is so long, I figured out after three months, I ended up losing a lot of money.

[Speaker 2] (3:19:47 - 3:19:48)

Yeah, yeah.

[Speaker 1] (3:19:48 - 3:19:53)

And made nothing. In fact, so my profit on that was 12-13 percent. I lost 10 percent.

[Speaker 4] (3:19:53 - 3:19:54)

I would have distributed it for free.

[Speaker 1] (3:19:56 - 3:20:13)

So, that was the problem. So, I think you should make a checklist like a hygiene of 20-30 things. And go through that every month so that even if you're making some mistake, you can correct it next month.

Specifically, when you're starting very individual, solo, lean team. Because there are no checklists. We don't know structure.

It's like we just want to do everything.

[Speaker 2] (3:20:14 - 3:20:14)

Right.

[Speaker 1] (3:20:14 - 3:21:18)

Okay, so the last part, we normally do a charity with every episode. We thought we'll do it differently as an experiment this time. So, in all that we spoke about, we will pick an entrepreneur in either fashion or cosmetics or any of the industries we discussed who would otherwise not have got funding.

And we will fund by virtue of this podcast. Okay. Under the age of 22.

Under the age of 22? Some young entrepreneur for this particular episode. So, I mean, I want to open it up to you guys and we'll figure out the filtering mechanism.

We'll put out an application. We will review and finalize together which company that should be. Sure.

But I'm saying specifically 22 because these guys find it much harder to raise funding. Okay. Typically in college, side project.

Right. They're not at zero but they're in the journey of zero to one essentially. Sure.

Funny young people when they started like.

[Speaker 3] (3:21:18 - 3:21:19)

Yeah. Yeah, yeah.

[Speaker 1] (3:21:19 - 3:21:21)

Like him. Like him?

[Speaker 3] (3:21:22 - 3:21:23)

Hope we find somebody like him.

[Speaker 1] (3:21:24 - 3:21:40)

In the last episode we had the Zepto guys and you know, the one thing they said that was so incredibly cool is they got a grant of 40 lakhs from this fund when they were 18 and that's what helped them build Zepto. Amazing. Yeah.

So we'll figure out an investment between all of us.

[Speaker 2] (3:21:40 - 3:21:42)

We'll finalize. Sure.

[Speaker 1] (3:21:42 - 3:21:46)

Is there an amount of money you'd like to commit towards that investment? You can decide on everybody's behalf.

[Speaker 2] (3:21:46 - 3:21:47)

I can also, whatever.

[Speaker 1] (3:21:48 - 3:21:50)

Yeah, just pick a number so we can just close it.

[Speaker 2] (3:21:53 - 3:21:55)

I don't know, 10 lakhs, 20 lakhs?

[Speaker 3] (3:21:55 - 3:21:57)

Yeah. Whatever. Same, whatever.

[Speaker 2] (3:21:57 - 3:21:58)

Yeah, I'll do the same.

[Speaker 3] (3:21:58 - 3:21:59)

Same, I'll do the same.

[Speaker 1] (3:21:59 - 3:22:03)

Should we do 10, 10, 10, 10? 40 will be enough? Yeah.

[Speaker 3] (3:22:03 - 3:22:05)

If Zepto started with 40 lakhs, it's not bad.

[Speaker 2] (3:22:05 - 3:22:05)

Yeah.

[Speaker 3] (3:22:06 - 3:22:08)

Yeah, if Zepto started with 40.

[Speaker 2] (3:22:09 - 3:22:19)

Okay, fine. Alright. But I'm very, I think it's a great idea.

I never thought about it. I think under 22 would be quite an interesting. Finding would be so hard.

Finding is also going to be hard, right?

[Speaker 1] (3:22:19 - 3:22:31)

So we'll put out an application. Okay. We'll have some preset filters.

Okay. We'll bring it down to say 10, 15 companies which are finalized. Okay.

Then we'll do a Zoom call between the four of us and pick one of them. Very interesting.

[Speaker 4] (3:22:31 - 3:22:32)

Terrific. Nice.

[Speaker 1] (3:22:32 - 3:22:36)

And I think it's a great idea to help those people who would not have gotten funding otherwise.

[Speaker 3] (3:22:36 - 3:22:40)

In fact, it's interesting an alternate to a charity.

[Speaker 4] (3:22:40 - 3:22:40)

Yeah.

[Speaker 2] (3:22:41 - 3:22:42)

In fact, maybe much better also.

[Speaker 4] (3:22:43 - 3:22:44)

Should we do a larger amount?

[Speaker 2] (3:22:44 - 3:22:48)

So it'll be game changing? We can do two. Whatever.

Or we can do two companies.

[Speaker 1] (3:22:48 - 3:22:53)

So should we do 20 lakhs each and two companies 40 lakhs? Yeah, that's much better.

[Speaker 2] (3:22:53 - 3:22:55)

Yeah. I think it'll increase the probability also.

[Speaker 1] (3:22:55 - 3:22:56)

Done.

[Speaker 4] (3:22:56 - 3:22:58)

And we will ask them to incorporate.

[Speaker 1] (3:22:59 - 3:23:11)

We can also ask them to incorporate all they learnt on this episode. There's going to be a long many hours session of insights they can learn from. Yeah.

But that's it. Thank you all for coming.

[Speaker 2] (3:23:11 - 3:23:11)

Great. Thank you.

[Speaker 1] (3:23:12 - 3:23:14)

And look forward to having you guys again.

[Speaker 2] (3:23:14 - 3:23:25)

Thank you. It was great. Can we cut this session?

I think he's going to promote that section. So are you going to be around for a few days?

[Speaker 4] (3:23:25 - 3:23:27)

No, I'll be leaving tomorrow morning.

[Speaker 2] (3:23:27 - 3:23:49)

How long are you here? Tomorrow morning. You guys all commuted, man.

I came down. I live. I have the shortest commute of the lot.

Best. Design your life in a way that the podcast also goes down. So just out of your 11 episode history, are you more efficient or less efficient?

It's going to be the toughest cut, bro. Yeah, I seem to be the only one who's worried about anything.

[Speaker 3] (3:23:49 - 3:23:53)

I feel like we could go on like three, three and a half hours. Three and a half hours?

[Speaker 4] (3:23:54 - 3:23:59)

No way. No way.